CONSULTATIVE DOCUMENT

DRAFT FINANCIAL RESOURCES RULES

FOR SECURITIES AND FUTURES INTERMEDIARIES

IN HONG KONG

January 1992

SFC 證券及期貨事務監察委員會
SECURITIES & FUTURES COMMISSION

38th Floor, Two Exchange Square
8 Connaught Place, Hong Kong
Telex: 61919 SECUR HX
Tel. 8409222 Fax: 5217836

Consultation on the Draft Financial Resources Rules for Securities and Futures Intermediaries in Hong Kong

Views of interested persons are sought on proposals contained in the attached Consultative Document for the introduction of financial resources rules ("FRR") under s28 of the Securities & Futures Commission Ordinance ("SFCO"). The proposed rules would replace those currently promulgated for securities dealers under s65B of the Securities Ordinance ("SO"); there are currently no corresponding requirements for futures dealers and proposals are made for this category. Advisers are not covered by the present rules and their position is also considered.

Background

1. The Securities Review Committee ("SRC") recommended in its report that the Commission should set "basic minimum capital and liquidity rules" for securities and futures intermediaries. It also referred to a number of issues which should in its view be considered in drafting new rules.

2. Before accepting the recommendations some fundamental issues need to be addressed. Firstly why have FRR? There are several answers to this question. A dealer is in a strong fiduciary position in relation to large sums of money and other highly liquid assets belonging to clients. To protect investors, other dealers and the system as a whole there must be a high level of certainty that the dealer is financially sound. As with other financial service activities such as banking where similar circumstances prevail, financial soundness must be assured by a regime of capital adequacy requirements and other financial regulation. No regulated securities and futures industry in the world functions without a framework of financial regulation.

3. Another question is, why change the current FRR at all? The principal reason is that the current system does not adequately reflect the risks of undertaking securities business. The industry in Hong Kong for which the first rules were developed in 1986 has changed dramatically. There has been a change in the mix of trading activity and an increase in the variety of instruments traded in the securities and futures industries. These have created new risks and the need for their proper management.

   The FRR need to be revised to cope with the high proportion of international business transacted out of Hong Kong. The FRR need to be flexible and forward looking to track Hong Kong's progress as an international financial centre.

4. Also the current rules do not reflect good market practice in several areas and they contain ambiguities and illogicalities. In some areas they are unduly oppressive whereas in others they do not recognise some rather obvious and significant risks. These deficiencies reinforce the need for change.

5. Although the considerations in para. 3 are important, Hong Kong is unique in that no other sophisticated market has such a large number of securities dealers who either deal for themselves and connected persons or conduct simple agency business on the local market. They form an important segment of the market and their special contribution and needs have been recognised in drafting the proposals. We have designed rules which provide the simplicity which is needed by this group while ensuring that prudential risk management is not lost sight of.

6. Another consideration is that with the growth of the local market, the opportunities provided by new products and the easy access to other profitable markets, the small but forward looking player of today might wish to develop the range of the business he undertakes. The rules are structured in such a way that he can make the move into other areas according to his own pace taking on the additional rules as he needs. Any rigid division into categories of player is avoided. The rules are principally geared to the business activity and not to the player. If the dealer wishes to extend the scope of his activity he will be able to do so without having to make a quantum leap from a simple set of rules to one which is complex.

7. This paper is the first comprehensive review of financial requirements for securities and futures dealers and advisers in Hong Kong. It is necessarily complex as the industry is itself complex.

8. In developing the proposals due consideration has been given to the views of the SRC, the special needs of investors and the securities and futures industries in Hong Kong, the current thinking of the International Organisation of Securities Commissions ("IOSCO") on the harmonisation of capital adequacy rules for securities houses worldwide, IOSCO's proposals for harmonisation of rules for international securities houses and banks, and the capital adequacy regimes in leading international and regional markets. The proposals take account of the views of a number of professionals in Hong Kong who have been consulted during the development phase. They have also been considered by the Commission and its Advisory Committee.

9. The review has enabled us to devise proposals which provide significant and immediate benefits to dealers some of which have already been passed on to the market. The easing of the pre-1991 subordinated loan requirements is a case in point. In these proposals the more significant benefits to dealers are the replacement of two requirements, the net capital and liquidity margin requirements, with a single liquid capital requirement; the reduction in discounting factors ("haircuts") on house positions; the relaxation of the discounts on book debts related to their age which are currently quite harsh; and the recognition of some assets which do not arise from dealing in securities as liquid. At the same time provision has been made for risks which have not been covered in the current rules such as off-balance sheet risks and those arising from short positions. Although all dealers including the smaller agency brokers are likely to benefit from the relaxations contained in the proposals, the additional requirements will tend to affect the larger securities houses.

Outline

10. Chapters 1 and 2 of the Consultative Document are a self contained unit which provides background information and a comprehensive summary of the proposals; Chapter 9 tabulates the changes from the existing rules for securities dealers. Readers might find it convenient to study these three chapters and then to follow the cross-references to other chapters if more detailed information is desired.

11. Chapters 3 to 5 develop basic principles for securities dealers although the concepts are relevant to all professionals and businesses falling within the ambit of FRR. Risk exposures in securities dealing are analysed and proposals for their measurement made in Chapters 6 to 8. Futures dealers are considered in Chapter 10, advisers in Chapter 11 and professionals in collective investment schemes in Chapter 12.

12. Considerable research and analysis has been carried out in drafting the proposals and some of the studies have been summarised in Appendices. The Appendices also include proforma computations of liquid capital designed for the use of accounting staff in the registered entities in compiling returns and need not detain other readers except those who wish to have further details.

Proposals

13. The Licensing Proposals published by the Commission in 1990 for public consultation broadly divide registered entities into two categories, those who handle client assets and those who do not. The FRR follow this categorisation; detailed capital adequacy requirements are proposed for the first category in view of the risks involved, while simple solvency tests are proposed for the latter.

Securities Dealers

14. Securities dealers currently have to satisfy two tests. One for capital adequacy and another for liquidity. It is proposed to replace these with a single liquid capital requirement which requires that a registered dealer maintain its actual liquid capital ("ALC") in excess of a prescribed level, the required liquid capital ("RLC").

15. ALC is calculated on the same basis as the current liquidity margin test, although with some refinements. Liquid assets ("LA") are calculated, using ageing and discounting criteria to take account of counterparty risk and position risk. Ranking liabilities ("RL") are generally all the liabilities except approved subordinated loans which are treated as quasi-capital.

ALC = LA - RL; and

ALC must be greater than RLC at all times.

16. Following worldwide practice and the recommendations of the SRC it is proposed that the required level of liquid capital for a securities dealer should vary with its level of activity although there should be a floor level which represents the absolute minimum. It is proposed to use "aggregate liabilities" as the indicator for the level of activity. The arguments for and against the possible measures of activity are rehearsed in Chapter 5. Our research, which analysed the balance sheets of all active securities dealers in Hong Kong, indicates that 5% of liabilities currently carried by dealers would yield a satisfactory activity measure. It is proposed to have a floor requirement of $3M for corporations and $500K for sole trader. These have been set using the current requirements of $5M and $1M as benchmarks. The proposed RLC of a corporate securities dealer is therefore equal to $3M or 5% of liabilities, whichever is the greater; for a sole proprietor it is the greater of $500K and 5% of liabilities.

17. The proposed requirements are designed to ensure that the majority of entities would be able to satisfy them without having to introduce more financial resources than they currently maintain in their businesses. Our tests indicate that over 90% of entities currently registered with the Commission would be able to meet the requirements. Assuming that the majority of entities are unlikely to maintain more capital than is commercially necessary, this tends to indicate that the proposed RLC is appropriate both in terms of commercial prudence and prudential supervision.

Futures Dealers

18. At present financial resources rules for futures dealers in Hong Kong are those prescribed by the HKFE for its members. We have used these rules as a benchmark to develop proposals for all futures dealers in Hong Kong.

19. The existing HKFE requirement has a number of components:

(a) issued share capital;

(b) liquid capital called Adjusted Net Admissible Assets ("ANAA") (a concept similar to the proposed liquid capital test for securities dealers); and

(c) a debt-equity ratio.

Our conclusion is that the first and the last tests are largely covered by the liquid capital test and are therefore not essential for a test covering all futures dealers. This conclusion is supported by the fact that the HKFE relies mainly on the ANAA test for regulating its members. Accordingly, a framework based on the ANAA test is proposed for all futures dealers. This would not prevent the HKFE from retaining its existing system.

Advisers

20. Under the Licensing Proposals, registration as advisers is confined to those who do not handle client assets. Advisers therefore pose few financial risks to investors and the need for liquid capital is not as important as it is for dealers. Nevertheless, it is important that those who provide investors with financial advice should at least be solvent and accordingly a solvency test is proposed for this category.

Collective Investment Schemes ("CIS")

21. Professionals involved with CIS form a distinct class and they are grouped together in the proposals. The requirements depend upon whether they handle client assets or not and are consistent with those proposed for dealers and advisers respectively. Recognition is also given to the capital requirements in the Code on Unit Trusts to ensure that there is consistency in the regulation of this group.

22. Anyone wishing to provide the Commission with comments on the enclosed Consultative Document should do so no later than 16th April 1992 in writing to:

The Securities & Futures Commission
32/F., Alexandra House
16 Chater road
Central
Hong Kong

For the attention of the Secretary to the Commission

Intermediaries Supervision Department

16 January 1992

INDEX

Page

GLOSSARY

Where it relates to a provision which is currently being proposed in the financial resources rules, it will be designated as "an FRR proposal".

ALC	A dealer's actual liquid capital, which represents the difference between liquid assets and ranking liabilities *(an FRR proposal).*
Ageing	A mechanism to progressively reduce amounts receivable (CAD clients and brokers) for the purpose of computing liquid assets based on the age of the debts, i.e. how long the debts have remained outstanding from due settlement date. Corresponding adjustments may be made to amounts payable by reference to age.
ANAA	Adjusted Net Admissible Assets.
ANC	Adjusted Net Capital.
Approved Overseas Banks	Overseas banks which are supervised by central banks of OECD countries; the list can be added to on application by dealers *(an FRR proposal).*
Approved Subordinated Loan	A subordinated loan which has been approved by the Commission.
Arbitrage	A trading technique that involves the simultaneous purchase of actuals or futures in a given market against the sale of similar or identical actuals or futures in a different market with the expectation that the difference in price between the two transactions will result in a profit.
At-the-money	The relationship of an option to the underlying securities/futures contract. Whether call or put, long or short, the strike price of the option is equal to the current price of the underlying securities/futures.
Authorised Institution	A bank, a restricted licence bank or a deposit-taking company as defined in the Banking Ordinance (Cap. 155).
Bank Trading Days	Bank trading days with specific exception of Saturdays *(an FRR proposal).*
CAD	Cash Against Delivery. *In this Review, the term "cash clients" is used as being synonymous with "CAD clients".*
Call	An option contract that gives the purchaser the right, but not the obligation, to enter into a contract to buy the underlying securities/futures at a stated strike price any time prior to the option's expiration date.

CCASS	(Proposed) Central Clearing and Settlement System, only available to SEHK trades.
CFTC	The Commodity Futures Trading Commission, US.
CIS	Collective Investment Schemes.
CM	Clearing Members.
CNS	Continuous Net Settlement, a CCASS terminology.
Counterparty Risk	For the purpose of this Review, counterparty risk covers risks relating to all the amounts receivable by a dealer which arise from securities dealings, including those receivables from sole proprietors and group companies. It does not however cover fees and commission receivables which arise from securities dealings.
CTO	The Commodities Trading Ordinance Cap. 250.
Exempt Dealer	A person may be declared to be an exempt (securities) dealer where it meets the criteria set out in section 60 of the SO.
FCM	Futures Commission Merchants.
Finance Company	This refers to the company to which dealers assign or transfer their margin clients receivable.
Floating Profit/Loss	Revaluation profit/loss in respect of open futures positions.
Free Delivery	A delivery of securities which take place before the broker receives payment from the counterparty.
Futures Trading Advisers	These are referred to as commodity trading advisers in the CTO.
GCM	General Clearing Members.
Gensaki	A Japanese repurchase and reverse repurchase transaction.
Haircut	A discounting technique to account for risk arising from house positions as widely adopted by regulators.
Handling of Client Assets	For the purpose of this Review, it has been taken to mean custody, control and/or the ability to deal with, transfer and dispose of client assets (whether these include money at any time). An exception is made where no client assets are handled other than cheques which are made directly payable to third parties and where these are promptly despatched.
Hedge	An attempt to reduce risk by either: (1) taking a futures or option position opposite to an existing or anticipated cash position; or (2) shorting a security similar to the cash position.
HIBOR	Hong Kong Inter-Bank Offer Rate.

House Positions	Investments held by dealers for short term trading or long term investment purposes.
HKCC	The Hong Kong Futures Exchange Clearing Corporation Limited.
HKFE	The Hong Kong Futures Exchange Limited.
HKSCC	The Hong Kong Securities Clearing Company Limited.
HSI	Hang Seng Index, Hong Kong.
ICM	Individual Clearing Members.
Introducing Broker	Means a securities or futures dealer which, upon meeting prescribed qualifying criteria, is subject to a RLC or ANAA requirement of HK$500,000 *(an FRR proposal).* *This does not constitute a separate category of dealers for licensing purposes.*
IOSCO	The International Organisation of Securities Commissions.
In-the-money	An expression of the relationship of an option to the underlying securities/futures contract. For a call, both long and short, the current price of the underlying securities/futures contract is higher than the strike price of the option. For a put, both long and short, the current price of the underlying securities/futures contract is lower than the strike price of the option.
Investment Grade	This is terminology adopted by IOSCO from that used by rating agencies to refer to better quality debt instruments.
Licensing Proposals	A consultative document issued by the Commission on proposed changes to the licensing regime in November 1990.
Margin Trading	A way of trading where dealers finance trading by their clients against collateral deposits.
Mark-to-Market	Means revaluation of securities positions to market quotes.
NASDAQ	National Association of Securities Dealers, US (being a Recognised Stock Market which is an OTC market).
MOF	Ministry of Finance, Japan.
NCM	Non-Clearing Members.
NMS	National Market System, securities designated NASDAQ, NMS are subject to harsher criteria than other securities traded on NASDAQ.

OECD Countries	Countries belonging to the Organisation for Economic Co-operation and Development which include Australia, Austria, Belgium, Canada, Denmark, Germany, Finland, France, Greece, Iceland, Irish Republic, Italy, Japan, Luxembourg, Netherlands, New Zealand, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, UK and the US. *Note, however, that some of the stock markets in the above mentioned countries are not recognised stock markets.*
OTC	Over-The-Counter.
Out-of-the-money	An expression of the relationship of an option to the underlying securities/futures contract. For a call, both long and short, the strike price of the option is higher than the current price of the underlying securities/futures contract. For a put, both long and short, the strike price of the option is lower than the underlying securities/futures contract.
Overseas Futures Subsidiary	Any futures dealer which is registered (or is entitled to do so) on the basis that it is a 100% wholly owned subsidiary of a member of a Specified Exchange.
Position Risks	Risks arising from the holding of house positions due to market price fluctuations.
Price Difference	A method to compute the risk adjustments arising from CAD transactions based on the differences between book values and market values of the underlying securities.
Put	An option contract that gives the purchaser the right, but not the obligation, to enter into a contract to be short the underlying securities/futures at a stated strike price any time prior to the expiration of the option.
RLC	The required liquid capital of a dealer which, for corporations, is equal to the greater of HK$3M and 5% of liabilities.
Recognised Stock Market	Any stock market denoted in the schedule to the Specification Notice 1990.
Reverse Haircut	For a short position, the haircut which is normally deducted from the long position will be added to ranking liabilities.
SBL	Stock Borrowing and Lending Arrangements.
SEHK	The Stock Exchange of Hong Kong Limited.
SFA	Securities and Futures Authority Ltd., UK, which merged the old The Securities Assocation (TSA) with the Association of Futures Brokers and Dealers (AFBD).
SFCO	The Securities and Futures Commission Ordinance Cap. 24.

SIB	The Securities and Investment Board, UK.
SO	The Securities Ordinance Cap. 333.
Special Debt Instruments	For the purpose of this Review, these have been taken to cover specific types of debt instruments which are neither interest-rate bonds nor interest-rate commercial paper. Interest-rate covers both fixed and floating rates.
Specified Exchange	An exchange specified in the Second Schedule to the CTO.
SRC	The Securities Review Committee.
T+	Trade Date plus x number of days.
The Code	The Code on Unit Trusts and Mutual Funds (issued by the Commission in August 1991).
The Specification Notice	The Securities (Specification of Approved Assets, Liquid Assets and Ranking Liabilities) Notice.
The 1991 Notice	The Securities (Specification of Approved Assets, Liquid Assets and Ranking Liabilities) (Amendment) Notice 1991.
Total Liabilities	For the purpose of computing the 5% of total liabilities, this has been defined as total liabilities excluding approved subordinated loans and contingent liabilities not recognised under generally accepted accounting principles.
USM	Unlisted Securities Market, UK.

CHAPTER 1

INTRODUCTION

1.1 The objective of the paper is to review the capital adequacy requirements for securities and futures intermediaries in Hong Kong, and to make recommendations relating thereto. These are referred to as financial resources rules ("FRR") in the Securities and Futures Commission Ordinance ("SFCO") and the two sets of terms will be used in the paper to refer to the same concept.

Background

1.2 FRR are relatively new to securities dealers registered in Hong Kong as detailed provisions were first stated in 1986 in section 65B ("s65B") of the Securities Ordinance ("SO"). The Commodities Trading Ordinance ("CTO") does not contain any FRR for futures dealers. Investment advisers and futures trading advisers (including investment managers responsible for portfolio management) are not subject to any form of financial regulation under the present regime. In future, FRR for registered entities will be promulgated under s28 of the SFCO.

1.3 The need to critically review the existing rules was recognised by the Securities Review Committee ("SRC") whose detailed recommendations in this regard are set out in Appendix 1. Of particular relevance is the comment in its Report that "Capital adequacy is one of the most important parts of the regulatory apparatus given the priority of ensuring systemic stability and the protection of investors" [SRC Report: para. 10.42]. The SRC recommended that the Commission should set "basic" minimum capital and liquidity rules for securities (and futures) intermediaries; first, a basic requirement to exclude financially inadequate intermediaries and secondly, a test designed to cover the risks of the business.

1.4 The proposals in this Review are based on an analysis of the financial risks to which registered entities in Hong Kong are exposed and the financial resources they are likely to need. The problems identified in the SRC Report have been addressed in this Review, which also examines ambiguities, illogicalities, and unduly harsh elements in the current rules which have been identified during the course of inspection visits by the Commission staff or raised by practitioners in the industry. The practical problems identified centre largely on the securities dealing area because it is the only one which is currently subject to legislation relating to capital adequacy requirements.

1.5 The paper is organised with most of the general discussion in Chapters 3 to 8. The effect of the new recommendations is then dealt with for securities dealers in Chapter 9. Futures dealers are considered in Chapter 10, advisers in Chapter 11 and professionals concerned with collective investment schemes in Chapter 12. This will enable each category of professional to focus on those recommendations which are of direct relevance to its sphere of activity. The proposals for each class of registered entity are summarised in Chapter 2 with cross-references to the detailed analysis provided for the interested reader.

1.6 Every effort has been made to design requirements which will be suitable for local conditions as well as being compatible with international standards, especially those being developed by the International Organisation of Securities Commissions ("IOSCO"). The draft "Capital

Adequacy Directive" devised by the European Economic Community has also been considered but has not had a major impact on our thinking in this Review. While due consideration has been given to international standards, the special needs of Hong Kong have been given priority and we have concluded that s65B needs refinement rather than a major overhaul. The general changes proposed to the existing s65B, which would affect the majority of entities, have been kept to a minimum by providing choices, where appropriate, in the measurement of certain risks so that the application of the rules is kept as simple as possible. At the same time, rules have been developed which will be appropriate for the larger international securities houses. Therefore those dealers who carry greater risks will be required to observe the relevant, additional provisions in preparing their capital computations. The comprehensive proposals have been framed to cater for present market needs as well as possible future changes in the market and the changing needs of intermediaries.

1.7 The Commission has actively participated in discussions within IOSCO concerning convergence of certain aspects of capital adequacy requirements between banks (who adhere to the Basle Convergence Accord) and non-bank securities dealers (operating in member states of the IOSCO Technical Committee which includes Hong Kong). The views formulated by IOSCO are to be discussed with the Basle Committee of Banks. However in their latest format they are not inconsistent with the draft proposals in this Review.

Purpose of financial regulation

1.8 The main objective of financial regulation is to ensure that registered participants in the securities and futures industry have sufficient financial resources to cover the risks associated with the types of activities in which they are engaged and that they exercise sound control over their financial risks. Additionally they must have sufficient financial, technological and human resources to be able to fulfill their obligations to clients. Minimum entry rules can provide safeguards against financially inadequate businesses by requiring all entrants to demonstrate a minimum level of commitment before commencing business; additional risk-related and volume-related requirements are required by on-going businesses to cover constantly changing exposures associated with house positions and counterparty receivables and payables.

1.9 Financial regulation cannot eliminate failures of intermediaries or rule out investor losses however well designed it is. It can certainly minimise the risk of registrants facing financial difficulties and potentially disrupting the stability of the marketplace. If the first line of defence provided by the capital adequacy requirements fails to forestall the insolvency of a dealer, measures established to protect client assets held or controlled by that dealer should provide a fall back and reduce investor exposure. Furthermore, investors and market participants alike who have incurred financial losses may claim from compensation funds, fidelity funds and guarantee funds set up by regulators and clearing houses.

1.10 Since financial regulation involves time, effort and costs to those on whom it is imposed, it is necessary when drafting rules and regulations to strike an appropriate balance between "cost" and "regulatory prudence". We hope that this has been achieved in the framework proposed.

1.11 FRR, reinforced by adequate record keeping, good internal controls, reporting and inspection/supervision programmes, coupled with safety measures such as compensation funds, insurance arrangements and segregation of client assets, plus additional rules and regulations governing the role of auditors, should provide an appropriate framework in which regulators can supervise, and registrants monitor, all the finance and risk related aspects of a securities or futures business. Proposals for FRR are developed in this paper.

Regulated businesses in Hong Kong

1.12 For the purposes of this study, regulated businesses in Hong Kong comprise those businesses which are registered with the Commission and some others over which it has a supervisory responsibility.

1.13 In broad terms, the following categories of registrants are identified in the Commission's "Review of Licensing Regime 1990" ("the Licensing Proposals").

(a) a dealer category which includes: securities dealers, futures dealers, investment managers who handle client assets (other than those who would benefit from the "professionals exemption") and investment and futures trading advisers who handle client assets, and

(b) an adviser category consisting of registrants who render advice for a fee or sell investment products but who do not handle client assets.

1.14 Managers and distributors of Unit Trusts and Mutual Funds form a separate category and may be currently registered as dealers, exempt dealers or advisers, depending upon certain aspects of their business.

1.15 All **securities dealers** (except for those granted exempt status) are subject to FRR as set out in s65B of the SO and its subsidiary legislation. Proposals are developed in Chapters 3 to 9.

1.16 Under the present regime, the relevant Ordinances do not impose FRR on **futures dealers.** Instead, financial regulation is exercised indirectly on the basis that a business that is registered as a futures dealer must be

(a) a member of the Hong Kong Futures Exchange Limited ("HKFE");

(b) a member of an exchange specified in the Second Schedule to the CTO ("specified exchange"); or

(c) a 100% wholly owned subsidiary of a member of a specified exchange ("overseas futures subsidiary").

1.17 Whilst the Commission could potentially rely on FRR imposed by the respective exchanges for the first two categories of futures dealers, the third category does not have to conform directly with the rules of any regulator or exchange. The lack of FRR, especially for the third category, poses a real problem in practice. Some "overseas subsidiaries" visited by the Commission showed a net deficit on their balance sheets; nevertheless the Commission has only a very general authority under "fit and properness" to insist on their financial positions being improved. The Review contains recommendations for this category of registrant in Chapter 10.

1.18 Under the present regime, **introducing brokers** who operate in the securities and futures industry are classified as dealers and are subject to the same regulation. While their status for licensing purposes will remain unchanged, the different nature of their operations and thus their risk exposures makes it desirable to treat them as a special case for the purpose of defining financial resources requirements.

1.19 In the Licensing Proposals, the Commission suggests that advisers should only be subject to a basic solvency requirement provided they do not handle client assets. This will be developed further in Chapter 11.

1.20 Managers and distributors in the Unit Trusts and Mutual Funds industry (**"Collective Investment Schemes" - "CIS"**) form a special category who are supervised by the Commission. They are considered in Chapter 12.

1.21 Under the present regime, **branches** of overseas corporations are able to apply for registration as securities and futures intermediaries. However, overseas entities which carry out dealings in Hong Kong through branches fall within the ambit of the Securities Ordinance and other related Ordinances, for example the s65B computation is based on the balance sheet of the entity not the branch. To avoid this and the consequent obligations to comply with the relevant Ordinances, overseas entities have established subsidiaries in the territory in preference to setting up branches. Branches have been considered in Chapter 8, although branches have not as yet assumed a significant presence in Hong Kong.

1.22 The **"lead regulation"** concept advocates the streamlining of regulation for the greater benefit of both the regulators and the regulated by assigning primary regulatory responsibility for a financial institution to the supervisory authority which regulates the "core business" of the institution. The assignment might be to a domestic regulator (for example in relation to banks which undertake securities business) or to an overseas regulator (for example in relation to branches).

1.23 Under the present regime, the Commissioner of Banking is responsible for the financial regulation of authorised institutions some of which may have securities dealing as a function ancillary to their main activities. These include those granted exempt dealer status by the Commission and which conduct securities business of a de minimis nature, as well as those which are registered as dealers with the Commission in view of their extensive retail securities dealings. The Commission recognises "lead regulation" in this sphere and looks to the Commissioner of Banking for monitoring the capital adequacy requirements for any authorised institutions conducting securities business.

1.24 IOSCO has recently decided to address the issue of the regulation of financial conglomerates. As a first step, member states of the IOSCO Technical Committee have provided information relating to their respective jurisdictions which is currently being collated. The Commission will be developing its own ideas for Hong Kong in this area with regard to the work of IOSCO.

1.25 This is the first comprehensive review of the Hong Kong FRR since they were introduced. Given the globalisation and increased volatility which are now prominent features of financial markets, it is not surprising that the Review contains a substantial number of recommendations, many of which "tighten up" the requirements.

CHAPTER 2

EXECUTIVE SUMMARY OF PROPOSALS

2.1 The proposed new financial resources rules will apply to securities and futures dealers (under the Licensing Proposals, any person who handles client assets will be required to register as a dealer); in addition advisers, including managers of collective investment schemes, who do not handle client assets will be required to meet a solvency test.

A. FINANCIAL RESOURCES RULES FOR SECURITIES DEALERS

2.2 Broadly speaking the proposals are designed so that the same methods of calculation apply to all dealers, although in some areas dealers are offered choices between different methods, for example, between methods involving a simple system of calculations which require less complex record keeping and frequency of adjustments (suitable for the small agency businesses) and methods involving more complex record keeping and data capture systems which reflect the more detailed calculations recommended by IOSCO (suitable for internationally active dealers). The more complex options will tend to produce a lower requirement than the simpler options but they will also generally involve higher operational costs. It is proposed that when the new system commences, each dealer will indicate the options he has chosen when submitting a financial return.

The framework (Chapters 4 & 5)

2.3 For dealers it is proposed to establish a **single liquid capital requirement** which has as its foundation stone the concept that a dealer should at all times have liquid assets which exceed liabilities by a sufficient amount to act as a cushion or a buffer [para. 4.12].

2.4 It is proposed that each dealer will have to maintain at all times liquid capital which is equal to the greater of:

(a) HK$3M for corporations and HK$0.5M for sole proprietors; and

(b) 5% of liabilities.

This is the dealer's required liquid capital ("RLC") [para. 5.22]. The concept means that after a certain level of business activity is achieved, ***the RLC will vary as the level of activity varies***, using the level of liabilities as the parameter for measuring the level of activity [para. 5.8]. For corporations the RLC is a constant of HK$3M until liabilities reach HK$60M, but rises thereafter by HK$1 for each HK$20 increase in liabilities; for sole proprietors the RLC is a constant of HK$0.5M until liabilities reach HK$10M.

2.5 A dealer's actual liquid capital ("ALC") at any point in time is calculated by subtracting its ranking liabilities ("RL") from its liquid assets ("LA")

i.e. ALC = LA - RL.

To be in compliance with the proposed rules a dealer's ALC must never be less than its RLC.

2.6 Dealing partnerships will use the current system for calculating their RLC, viz., each partner who is a corporation will count for HK$3M, and each other partner who is not a dealing corporation will count for HK$500,000 [para. 5.25]. It is proposed to recognise introducing brokers as a separate category for the purposes of FRR, but not for licensing. They will have to maintain liquid capital whick is equal to the greater of $500,000 and 5% of liabilities [para. 5.24].

2.7 In developing the proposed levels for the RLC we have had regard to the dictates of regulatory prudence, existing standards in Hong Kong and internationally accepted standards. ***The proposed RLC levels are, with very few exceptions, below the actual liquid capital levels currently maintained by dealers.*** Although most dealers tested will have no problem complying with the new requirements, it is nevertheless proposed that there will be a transition period during which dealers will be able to plan how they will structure their finances to comply with the new regime.

* * *

The paper then discusses various issues relating to liquid assets and ranking liabilities under the following categories:

Chapter 6 - Position risks
Chapter 7 - Counterparty risks
Chapter 8 - Other capital adequacy considerations

* * *

Position risks (Chapter 6)

2.8 Position risks are the risks that positions held by dealers in securities may not be readily realisable at the values stated.

2.9 The proposed framework retains the concept of discounts (or "haircuts") as the appropriate way of recognising position risk. Dealers will be required to mark their house positions to market on a daily basis and all house positions will be accounted for on a trade date basis [paras. 6.10 and 6.11]. ***With few exceptions, the proposed haircuts are much more generous than those currently used.***

2.10 For **equities** the major difference from the existing s65B requirement is that it is proposed to replace the existing 40% haircut for equities listed in Hong Kong with lower haircuts of 20% for HSI stocks and 25% for others [paras. 6.13 and 6.15].

2.11 It is proposed to have a haircut of 15% for liquid equities making up the FTSE 100, the S&P 500 and the Nikkei 225 in the UK, US and Japan respectively [para. 6.15]. For other equities listed on recognised stock markets in these countries and in other OECD countries, a 20% haircut is proposed; for recognised stock market in non-OECD countries, the haircut will be 30% [para. 6.12].

2.12 The 40% haircut is retained for warrants listed on the SEHK and recognised stock markets in the OECD countries; however, it is proposed that all other warrants be subject to a 100% haircut [para. 6.17].

2.13 In the case of **debt instruments**, the existing simple haircuts will apply, but with a reduction from 20% to 10% for selected government issues including Hong Kong [para. 6.20]. With the exception of certain special debt instruments [as defined in para. 6.26], dealers will be able to opt for differential haircuts ranging from 2% to 20% [para. 6.19].

2.14 Units in authorised **unit trusts and mutual funds** will bear a 20% haircut except for warrant and leveraged funds which will attract the existing 40% haircut [para. 6.21].

2.15 **Short positions** will be treated the same as long positions on the grounds that the risk is no less. Short positions are to be marked to market daily and the same haircuts applied as if they were long positions but added to ranking liabilities [para. 6.27].

2.16 In the case of **futures positions**, it is proposed to not reflect futures margins on the face of the computation as a separate category or to add any provision to ranking liabilities, but all required margins which have been paid are excluded from liquid assets [para. 6.29].

2.17 Although **options** are not held by many dealers proposals have been developed for writers and traders to ensure that the rules are comprehensive. Long option positions which are not subject to any margin requirement will be accorded the same treatment as warrants; where a margin has been set it is proposed to exclude the margin requirement from liquid assets instead of deducting a haircut. In respect of short exchange-traded option positions, it is proposed to exclude the required margin from liquid assets, whereas for OTC traded options, in addition 100% of the premium will be included as a ranking liability [paras. 6.30 to 6.33].

2.18 Proposed treatment of sundry items:

(a) Paper gold and gold bullion will be subject to a 10% haircut [para. 6.23].

(b) Payments for or towards the purchase of securities pending listing in Hong Kong, and on recognised stock markets in the UK, US and Japan will attract a 10% haircut; in the case of issues pending listing on other recognised stock markets, the haircut will be 20% [para. 6.24].

(c) Over-the-counter instruments will continue to be subject to a 100% haircut, except for those traded in the UK (USM), US (NASDAQ-NMS) and Japan (Nihon Tento Securities) [para. 6.28] which will be haircut by 30%.

(d) For concentrated positions (i.e. when a dealer holds 5% or more of an equity issue or 25% or more of a debt issue, or where a dealer's holdings of any one issuer's securities amount to 25% or more of his ALC) the haircuts will be 150% - 200% of the "normal" haircut [paras. 6.34 to 6.37].

(e) The Commission will be prepared to consider modifying the standard FRR for dealers who are arbitrageurs or hedgers [paras. 6.38 to 6.43]. Due to the wide variety of strategies which might be used, it is proposed that dealers who wish to qualify for modifications should discuss their arbitrage stategies and hedge programmes with the Commission. These will be dealt with on a case-by-case basis except for certain common hedging techniques which are referred to in para. 6.42.

(f) The treatment of securities underlying repurchase and reverse repurchase transactions has been clarified [para. 6.44] as the existing requirements are too vague.

(g) No fundamental change is proposed in respect of stock borrowing and lending agreements ("SBLs"), although the rules that currently apply to SBLs regulated by the SEHK will now apply to all agreements whether they are executed in Hong Kong or elsewhere [paras. 6.45 to 6.46]. The Commission would be prepared to consider applications to modify the rules in special cases where the rule is inappropriate to an overseas situation.

Counterparty risks (Chapter 7)

2.19 Counterparty risk is the risk that the other party to a transaction might renege on his obligations to a dealer. Counterparties have been identified and their obligations under transactions have been dealt with as follows.

2.20 **Client receivables:** It is proposed to relax the present requirement which excludes from liquid assets the full amount of a cash against delivery ("CAD") receivable after it has been outstanding for more than five bank trading days. Under the proposed new rules the full exclusion will apply to a receivable only when it is outstanding for more than one month after the due date of settlement. If it is outstanding for 5 days or less, the receivable will be included in full, as is the case now. The dealer will be able to choose between two options for client receivables outstanding for 6 days to one month. He may **opt** to mark the security to market daily and include as a liquid asset the lesser of the amount receivable or the market value provided he has the legal right to dispose of the securities on client default, or he may opt to use an ageing basis - 80% of the receivable qualifying as a liquid asset up to two weeks and 50% thereafter up to one month. The normal accounting provisions for bad and doubtful debts will apply as an overriding criterion [para. 7.18].

2.21 Client receivables - "**free delivery basis**": these are amounts due from clients where delivery of stock has been made to them. The present requirements exclude from liquid assets any such client receivables which are more than 5 days old. It is proposed to retain this requirement because the dealer is clearly more at risk where he may have parted with the securities before receiving the sale proceeds [subpara. 7.18(b)].

2.22 **Broker receivables**: The dealer can **opt** to mark the security to market, and account for any adverse price movement, or opt for an ageing approach similar to that proposed for CAD amounts receivable, but the percentages are less strict to reflect the lower risk [paras. 7.24 to 7.26]. Thus 100% of broker receivables up to 2 weeks old and 50% of those balances between 2 weeks and 1 month old will be allowed as liquid assets. Receivables over 1 month old will not qualify as liquid assets. Again, the normal accounting provisions for bad and doubtful debts will apply as an overriding criterion.

2.23 The **assignment of debts** to another company will be accepted [paras. 7.27 to 7.29] subject to the following conditions:

(a) the debts are assigned to an authorised institution or to another registered dealer;

(b) the assignment is effected pursuant to a valid and legally enforceable agreement;

(c) the assignment is made without recourse to the dealer;

(d) the assignee settles on a strict CAD or a margin client basis; and

(e) the clients must be notified and consent to the assignment.

2.24 **Amounts payable:** Because a position risk arises in respect of amounts payable to CAD clients when clients are late in making delivery of scrip, it is proposed to add a further provision to ranking liabilities. A dealer can opt to mark the position to market daily and add any adverse price movement that arises or he may opt to use a simple ageing approach - adding 20% for amounts outstanding over 2 weeks and up to 1 month after the due settlement date; 50% for amounts over 1 month; and 100% for amounts over 2 months [paras. 7.30 to 7.34].

2.25 **Sole proprietor, partner and group company receivables arising from securities dealings:** It is proposed to treat amounts receivable as a result of trading by sole proprietors, partners or group companies as liquid assets if they settle on the same basis as margin clients otherwise they will be treated as receivables arising on the basis of free deliveries and will not qualify as liquid assets after five days [paras. 7.35 to 7.38].

2.26 **Repurchase and reverse repurchase agreements:** With a repurchase agreement, the normal haircuts will apply to the seller's sold position; in addition, where applicable, the excess of the market value of the position over 150% of the loan received is to be included in ranking liabilities. For reverse repurchase agreements, it will be necessary to make full provision for the shortfall between the market value and the loan advanced. Gensaki transactions will be subject to rules based on current requirements set by the Ministry of Finance in Japan [paras. 7.39 to 7.44].

2.27 **Central Clearing And Settlement System ("CCASS"):** The proposed treatment of assets and liabilities arising from the operation of CCASS is tentative and may have to be modified when the CCASS rules and regulations are submitted to the Commission and approved by it [paras. 7.45 to 7.52].

2.28 **Margin lending risks:** The Commission has recently relaxed the unencumbered rule stated in section 4(i) of the Securities (Specification of Approved Assets, Liquid Assets and Ranking Liabilities) Notice (the "Specification Notice"). However, to reinforce the existing industry practice of prudent lending, it is proposed to apply haircut deductions on the collateral pledged by margin clients in determining the admissible value of margin receivables [para. 7.67].

2.29 Dealers will have to use the computation method which compares the amount receivable with (discounted) collateral value and to take the lower of the two on a client-by-client basis [para. 7.67].

2.30 Dealers will have to arrange separate overdraft facilities to fund the margin lending such that the margin collateral is segregated and banks should be properly notified of the third party interest in the collateral [para. 7.68]. At any point in time the overdraft in margin lending must not exceed the aggregate of the margin client receivables.

2.31 There will be special requirements where margin client receivables are transferred to a finance company. For example, the company must be an authorised institution supervised by the Commissioner of Banking or must be registered as a dealer with the Commission [para. 7.71].

Other capital adequacy considerations (Chapter 8)

2.32 **Reporting entity:** With regard to the reporting entity it is proposed that in respect of a group the registered entities will be required to comply with the FRR individually on an unconsolidated basis [para. 8.3]; and for sole proprietors all businesses under the same business name [para. 8.4]. For branches, the company to which the branch is affiliated will be obliged to comply [para. 8.5] with liquidity rules and the financial regulations in Hong Kong [para. 2.37].

2.33 **Other amounts receivable and assets:**

(a) Amounts receivable from sole proprietors, partners or group companies will qualify as liquid assets as long as they are adequately secured, and in the case of group companies only if they are due from an authorised institution or a registered dealer [paras. 8.11 and 8.12].

(b) All other amounts receivable will qualify for inclusion if they are adequately secured insofar as the dealer can demonstrate that he is able to dispose of the security at any time. The amounts will be includable up to the value of the security less the appropriate haircuts [para. 8.13]; other than in the case of group companies, the receivables should not be more than 2 calendar months old.

(c) Accrued fees and commissions will be recognised provided there are legally binding agreements to confirm the dealer's entitlement to the income [para. 8.14].

(d) The following assets will qualify as liquid assets:

(i) cash at bank [subpara. 8.15(a)];
(ii) accrued interest and declared dividends receivable [subpara. 8.15(b)];
(iii) deposits paid to SEHK and transfer deed stamps for the purpose of the Stamp Duty Ordinance [subpara. 8.15(c)];
(iv) prepaid expenses [subpara. 8.15(d)]; and
(v) prepaid tax and tax reserve certificates [subpara. 8.15(e)].

2.34 **Ranking liabilities:** The new framework contains only a few proposals to amend the existing rules for ranking liabilities. Approved subordinated loans are still excluded from liabilities, although the criteria for their approval have been modified a little [paras. 8.16 and 8.18]. The other changes to ranking liabilities are in respect of short positions [para. 2.15], accounts payable [para. 2.24] and off-balance sheet risks [para. 2.35].

2.35 **Off-balance sheet risks:** Some dealers will have to recognise certain off-balance sheet risks as they could have a significant impact on their financial position [paras. 8.19 to 8.33]. A summary of the requirements for the various off-balance sheet risks is tabled below; none of these are explicitly covered by the existing rules.

Off-balance sheet risk adjustments

		Proposed rules
(a)	Financial guarantees [paras. 8.22 to 8.25]	10% of the amount of the guarantee or submission to Commission (except for the specific cases noted in para. 8.25)
(b)	(Sub)Underwriting commitments [paras. 8.27 and 8.28]	haircut of 1-10%
(c)	Foreign exchange exposures [para. 8.29]	5% on net absolute position

(d)	Exchange rate contracts [para. 8.30]	haircut of 0.2% up
(e)	Interest rate contracts [para. 8.30]	haircut of 0.05% up
(f)	Note issuance facilities [para. 8.31]	haircut of 1-5%
(g)	Long/Short positions in option contracts [paras. 6.30 to 6.33]	see para. 2.17
(h)	Repurchase & reverse repurchase agreements (including gensakis) [paras. 7.39 to 7.44]	see para. 2.26

2.36 **Sole proprietors:** A number of means have been developed to deal with the problems associated with "mixing" the securities and non-securities related assets and liabilities which are inherent in sole proprietor business activities. It is proposed that sole proprietors are permitted to choose from three options [paras. 8.34 to 8.37].

(a) to incorporate;

(b) to provide a bank guarantee, whereby in the event of bankruptcy the Commission could call in funds to satisfy claims; or

(c) to provide an annual solvency declaration, the effectiveness of which will be strengthened by a requirement to promptly notify the regulator of subsequent changes in the business. Also, if a dealer chooses the solvency declaration option, he must be prepared to be monitored more closely by the regulator, for example by more frequent visits and requests for information.

2.37 **Branches:** It is proposed that where the registered business is a branch of an overseas company which is regulated by an authority acceptable to the Commission, the Commission will seek a Memorandum of Understanding ("MOU") with that authority. Under the MOU, the Commission would receive on a regular basis information and returns relating to the home company incorporating the branch. The Commission would rely on the overseas authority, as the lead regulator, to supervise the company effectively. When there is no lead regulator arrangement the branch will have to maintain a performance bond or an irrevocable guarantee for the amount of the RLC with the Commission and the overseas company will be required to comply with Hong Kong's FRR as an entity [paras. 8.38 to 8.41].

2.38 **Early warning system:** It is proposed to introduce an "early warning system" to ensure that the management, the Exchanges and the Commission are made aware early of falling capital levels. Securities dealers are to inform the Commission (Stock Exchange where appropriate) when their ALC falls below 120% of the RLC or when it falls by 50% when compared with previously reported figures. All futures dealers are to adopt the system used by the HKFE [paras. 8.42 to 8.44].

Testing the impact of the proposals for securities dealers

2.39 In order to assess the impact on individual dealers of the whole package of proposals, testing was undertaken on a sample of 45 dealers.

The results are set out in Appendix 5. Of the 45 in the sample, 44 would have complied with the proposed requirements assuming unchanged assets and liabilities. The one dealer who would not have been in compliance was an unusual case.

The new proposals for securities dealers are designed to cover the wide spectrum of businesses operating in Hong Kong and are therefore necessarily lengthy and at times complex. However, it is envisaged that the bulk of the rules will not be relevant to the majority of local dealers because they do not engage in many of the business activities which give rise to the risks that the rules cover.

* * *

The paper then goes on to give in Chapter 9 a summary of the effects on securities dealers of the above recommendations, with an illustration of the liquid capital computation [Chapter 9, Part B] and a comparison of the proposed recommendations with the existing rules [Chapter 9, Part C].

* * *

B. FINANCIAL RESOURCES RULES FOR FUTURES DEALERS (Chapter 10)

2.40 For the Commission's FRR it is proposed to use a **modified** version of the **membership classification** system adopted by the Hong Kong Futures Exchange and recognise five classes of futures dealers: non-clearing members ("NCMs") and clearing members ("CMs") who trade as principals only, NCMs who can deal for clients, CMs who can deal and clear for clients, and CMs who can clear for all persons including NCMs [para.10.24]. In addition a category of introducing broker is to be recognised for capital adequacy purposes.

2.41 The HKFE requirements as amended following the October 1987 crash are used as the base for the FRR for futures brokers. It is proposed to modify the requirements and to extend them to cover all futures dealers registered with the Commission.

2.42 It is proposed to dispense with the minimum share capital and debt equity ratio tests and have a **single Liquid Capital requirement** which will be the greater of

(a) a minimum floor requirement; and

(b) 4% of segregated clients funds.

2.43 Futures dealers will have to maintain at all times Adjusted Net Admissible Assets ("ANAA") greater than the base requirement. Admissible assets and ranking liabilities are defined along similar lines as liquid assets and ranking liabilities for securities dealers [paras. 10.73 to 10.74].

C. SECURITIES ADVISERS AND FUTURES TRADING ADVISERS (Chapter 11)

2.44 The requirements set out in this paper are based on the Licensing Proposals. If intermediaries handle client assets (whether or not these include money) in the sense of having them under their control or being able to deal with them, they will be classified as dealers and will be subject to FRR with a RLC which is the greater of HK$3M for corporations or HK$500,000 for sole proprietors and 5% of liabilities. If intermediaries handle client money only as forwarding agents or as a post box, and do not handle any other kind of client assets at all, they will be classified as advisers and will be subject to a **solvency test** requiring that they must have positive net tangible assets at all times. This means that discretionary fund managers who manage client portfolios will have to register as dealers and be subject to FRR (unless they structure their affairs so that they do not handle client assets or they have been granted exempt dealer status).

D. COLLECTIVE INVESTMENT SCHEMES ("CIS") (Chapter 12)

2.45 The treatment of professionals in collective investment schemes will depend on whether they are registered as dealers or advisers.

(a) If they are registered as dealers, they will be subject to the same RLC as other securities dealers [para. 2.4].

(b) If they are registered as advisers, they will be subject to the same **solvency test** as other advisers [para. 11.9]. Advisers who are CIS Managers will also be subject to the capital requirement in the Code on Unit Trusts and Mutual Funds (currently HK$1M in share capital and capital reserves).

CHAPTER 3

OVERVIEW

Existing financial resources rules for securities dealers

3.1 The existing financial resources rules (FRR) for securities dealers in Hong Kong as set out in s65B of the SO require them to maintain a minimum net capital and liquidity margin level at all times. The s65B computation which includes the requirements in the Specification Notice is applied to all dealers, irrespective of their size, the nature of their operations and the markets in which they deal.

3.2 S65B requires that a registered dealer shall provide and at all times maintain in his business as a dealer a net capital of not less than HK$5M (for a corporation) or HK$1M for a person other than a corporation. A registered dealing partnership shall provide and at all times maintain net capital which amounts to not less than the aggregate of HK$5M for each corporation which is a partner and HK$1M for each other person who is a partner. Net capital represents the excess of "approved assets" over "ranking liabilities" (the composition of both is set out in the Specification Notice.)

3.3 In addition, a registered dealer must at all times maintain in the dealing business a liquidity margin of not less than 10% of the minimum net capital requirement i.e. HK$500,000 for corporations and HK$100,000 for other persons. The liquidity margin represents the excess of "liquid assets" (as defined in the Specification Notice) over "ranking liabilities".

3.4 "Approved assets" as set out in the Specification Notice include only those tangible assets which form part of the firm's securities business discounted by scales of percentages to take account of both position risk and counterparty risk. "Ranking liabilities" include all the liabilities of the dealer that would be regarded as liabilities under generally accepted accounting principles (including contingent liabilities) but exclude subordinated loans approved by the Commission. Off-balance sheet risks are only taken into account if they would normally give rise to a liability or contingent liability under generally accepted accounting principles.

3.5 In commenting on these requirements the SRC concluded that:

(a) On balance, the level of the Hong Kong net worth requirement is not unreasonable [Appendix 1, Part A Note 3].

(b) The position risk haircuts seem tough on broker-dealers with an active own account business; they are much tougher than elsewhere [Appendix 1, Part A Note 4].

(c) The current requirement does not treat assets which do not form part of the firm's securities dealing business as approved or liquid assets and seems unduly punitive to firms which undertake other activities [Appendix 1, Part A Note 5].

(d) Off-balance sheet risks should be provided for [Appendix 1, Part A Note 6].

3.6 The SRC also expressed a view on the broad framework for establishing an appropriate capital adequacy structure [Appendix 1, Part A Note 9]. It concluded that the capital requirements should ensure that:

(a) proper account is taken of differing business volumes;

(b) all risks are adequately covered but excessive capital is not required to cover particular risks;

(c) the requirements are broadly fair as between different types of business; and

(d) they are easy to understand and apply.

We agree with these conclusions and the recommendations contained in this Review are designed to be consistent with this framework.

The International Organisation of Securities Commissions ("IOSCO")

3.7. IOSCO has for some time been studying the issues relating to capital adequacy for internationally active securities firms from a world-wide perspective. At its Annual Meeting in September 1989, the members of IOSCO agreed that there is a need for a common conceptual framework regarding the capital requirements for internationally active securities firms and that the framework should contain the following elements:

(a) Liquidity and solvency should be covered by a standard that provides for a firm to have sufficient liquid assets to meet its obligations given the risks it faces.

(b) Marking of marketable securities and futures positions to market is necessary to prevent firms from storing up losses and also to give a true picture of a firm's position.

(c) Risk-based requirements should cover all the risks to a firm, and in particular, should contain:

(i) a base requirement reflecting the scale of a firm's activities to capture non-measureable risks;

(ii) position risk requirements (for both on and off balance sheet items) reflecting the price volatility of individual securities with provisions for concentrated positions and allowances for risk reduction measures such as hedging; and

(iii) settlement or counterparty risk requirements reflecting the risk of non-performance in a timely manner.

The capital held by each firm must exceed the sum of the risk-based requirements. In terms of defining the "Capital Base", IOSCO acknowledged that certain types of financing such as subordinated loans should be able to serve as capital in addition to owner's equity but that there should be limits on the amount of these forms of financing relative to owner's equity.

(d) Different capital requirements, based on the type of business being conducted by the firm, should be established so that firms wishing to enter the securities business demonstrate a level of commitment to the business. Capital requirements should not, however, be set so high as to adversely affect competition in the marketplace.

3.8 The framework established by IOSCO, and amplified by later research studies presented at the 1990 Annual Conference, is consistent with the conclusions of the SRC mentioned in paras. 3.5 and 3.6. Furthermore, the existing Hong Kong s65B requirements already possess most of the major ingredients of the IOSCO framework with the notable exceptions of a base requirement reflecting the scale of a firm's activities to capture non-measureable risks and of certain aspects of off-balance sheet exposures. These weaknesses in the Hong Kong system were also mentioned in the SRC Report [paras. 3.5 and 3.6]. Accordingly, the thrust of the recommendations in this Review is that s65B needs refinement rather than a major overhaul.

Structure of analysis

3.9 To facilitate both the analysis and the presentation of recommendations, the sections relating to securities dealers are structured in a manner which is consistent with the IOSCO framework:

Chapter 4 *Capital Adequacy Requirement*
Chapter 5 *The Liquid Capital Requirement*
Chapter 6 *Position Risks*
Chapter 7 *Counterparty Risks*
Chapter 8 *Other Capital Adequacy Considerations.*

Following this general discussion the recommendations outlined are brought together in Chapter 9, to demonstrate the overall effect on the securities dealers and to compare with the existing rules.

3.10 Para. 1.7 mentioned that the IOSCO Technical Committee is currently holding discussions with banking supervisors concerning convergence of certain aspects of capital adequacy requirements **for internationally active securities dealers with diversified portfolios of securities.** The aspects relate mainly to those elements of capital requirements which deal with the risks associated with house positions for equity and debt. At present most non-bank securities regulators use what is known as the "comprehensive approach" for determining the "haircuts" to be applied to house positions e.g. a single figure of 40 per cent is used in Hong Kong as the basis for house positions in equities. Under the proposals being discussed between securities and banking regulators, the comprehensive approach would be abandoned in favour of the so-called "building block" approach for the treatment of debt instruments, while the comprehensive approach remains an acceptable alternative for equity securities provided its application yields acceptable results. This approach breaks down position risk into two components - viz. "specific" risk (the "x" factor) which relates to the risks unique to a particular issue and general "market" risk (the "y" factor) which relates to economy wide factors not unique to a specific issue. The "y" factor is net (i.e. long and short positions are netted out for particular markets). Regulators would then establish appropriate numbers for the "x" and "y" factors based on empirical evidence.

3.11 We have decided not to adjust the recommendations in this Report to allow for these recent developments. This is because:

3.11 We have decided not to adjust the recommendations in this Report to allow for these recent developments. This is because:

(a) the convergence proposals are to apply only to **internationally active** securities dealers who have a **diversified portfolio** of **house** equity and/or debt positions. There are few such dealers in Hong Kong;

(b) the details of the convergence proposals are not yet sufficiently well developed nor accepted;

(c) implementation of any convergence proposals will be subject to a considerable lead time; and

(d) the application of the current IOSCO proposals to debt instruments will not present problems while the comprehensive approach adopted in Hong Kong for equities is certain to be acceptable to IOSCO.

CHAPTER 4

CAPITAL ADEQUACY REQUIREMENT

Matching assets and liabilities

4.1 For regulatory purposes assets and liabilities might best be matched on the basis of the time periods by which assets can be realised and liabilities have to be met so that the dealer has sufficient financial resources to meet his obligations as they fall due. Thus as a simplest case a liability due to be settled today could be matched with cash held and funds receivable today. The matching can then be embodied in FRR consisting of multiple tests which require that the assets exceed liabilities in each case where assets are to be "time matched" against liabilities i.e. the time period in which an asset can be liquidated and a liability falls due should be identical. To compare assets that are not easily realisable with liabilities falling due in the short term does not result in a meaningful computation. A multi-layered structure would be as elaborate as the number of time-matching categories identified. These are likely to be numerous in practice. It must of course be noted that the greater the number of layers the more the demands on the resources of dealers and regulators to implement and monitor the rules. This is a practical constraint on the number of financial resources tests which might be set on this time matching basis.

4.2 IOSCO recognises two forms of time matching which focus on liquidity and solvency both of which must be covered in FRR. Liquidity relates to whether a dealer has available sufficient readily realisable assets (for simplicity acceptable assets will be termed "liquid assets" in the rest of the Review) to meet his commitments in the short term; solvency refers to whether a dealer has available sufficient resources to meet his total liabilities as they fall due at future periods. Solvency is broadly equivalent to positive net worth.

4.3 With the recognition of the two concepts, the next step is to determine how they may be reflected in the rules. IOSCO has accepted the two approaches currently used by member states. The first is to set a single capital adequacy requirement which will ensure adequate liquidity and solvency. Many markets such as the UK, US, Japan and Australia adopt this approach and have a liquid capital requirement, the objective of which is to test the position should a dealer have to wind down his activities quickly and repay all of his liabilities ("gone concern"), as well as to test his ability to meet liabilities on a "going concern" basis. Under this requirement, which is a combined test of liquidity and solvency, a dealer must have at all times liquid assets which exceed total liabilities by a sufficient margin to act as a cushion of capital or buffer.

4.4 The alternative approach is to treat liquidity and solvency as risks which require to be separately tested. This has led some countries to set a ratio of liquid assets to short term liabilities as a liquidity test separate from solvency requirements; it is intended to ensure that the firm has adequate day to day liquidity while it remains in business. The liquidity test so designed is additional to a solvency test.

4.5 The current rules in Hong Kong are founded on the alternative approach, providing as they do for net capital and liquidity margin tests. However the two-test approach in Hong Kong has failed to achieve the objectives of such a system. It is worthwhile analysing the reasons for this failure if only that it may assist us in deciding on the approach which is more suitable

(a) The criteria used do not properly reflect the difference in philosophy between the liquidity and solvency approaches. Thus the time matching referred to above [para. 4.1] which is the principal reason for postulating two tests is absent. Approved assets (used in the net capital test) are not materially different from liquid assets (used in the liquidity test) [para. 5.17], the major cause of differences having been eliminated in November 1990 by relaxing the rules relating to margin lending. The liabilities are essentially the same for each calculation. The liquidity margin computation does not compare like with like.

(b) The criteria do not even have the virtue of supportive logic in some particulars. For example, there is no justification for setting the liquidity requirement at 10% of the net capital.

(c) In practice, the current liquidity margin tends to be ignored by dealers who focus their attention on meeting the net capital requirement.

The above observations suggest that if we are to retain the current two-test system, each test needs substantial revision. On the other hand if we decide to opt for a single test, it must reflect both the liquidity and solvency of dealers [para. 4.3 above].

Single capital adequacy requirement

4.6 The advantages of a single capital adequacy requirement founded on liquidity are as follows:

(a) It avoids duplication and minimises complexity.

(b) A radical overhaul of the solvency and liquidity requirements which would produce two separate computations would create a new double structure which the dealers will have to educate themselves to cope with and may require elaborate new data capturing systems and result in additional costs.

4.7 We have not been able to identify any substantive argument against using a single test.

4.8 Thus we consider that the preferred route is to adopt a single computation which focuses on a dealer's liquidity. It focuses attention on the need to ensure that dealers are able to meet, on an ongoing basis, liabilities as they fall due, and in case of difficulties, to be able to wind down their business and repay all claims by customers or counterparties. Liquidity is the essence of securities dealing.

Practical implications

4.9 There are several practical implications for Hong Kong of adopting a single capital adequacy requirement which has liquidity as its foundation stone:

(a) it reduces the set of computations which dealers have to carry out from two to one; and

(b) the concept of "approved assets" in section 3 of the Specification Notice becomes obsolete. The focus will be entirely on "liquid assets" as set out in section 4 of the Specification Notice, subject to amendments as proposed.

4.10 The following assets which are currently "approved" for section 3 are not "liquid" for the purposes of section 4.

(a) interest in immovable property in Hong Kong;

(b) utility and rent deposits;

(c) statutory deposits made under s52 of S0;

(d) contributions to the Exchange compensation fund;

(e) the nominal value of shares in the Exchange company; and

(f) prepaid expenses.

One slight modification is that prepaid expenses should be allowed to the extent that they relate to operating costs due to be incurred in the coming 3 months. Prepaid tax can also be included in liquid assets provided that they meet certain conditions [subpara. 8.15(e)].

4.11 One of the considerations in developing the new rules is to ensure that, other things being equal, the majority of dealers should not be required to inject more capital to achieve compliance as a direct result of disallowing these assets. Empirical studies have provided us with assurance that ***the exclusion of the items in para. 4.10 above from the new liquid capital computation does not adversely affect the financial position of dealers tested.*** For details, please refer to Appendix 5.

Proposal

4.12 ***It is proposed to use a single liquid capital requirement for dealers in the Hong Kong securities industry.*** The requirement has as its foundation stone the concept that a dealer should at all times have "liquid assets" which exceed "ranking liabilities" by a sufficient amount to act as a cushion or buffer.

CHAPTER 5

THE LIQUID CAPITAL REQUIREMENT

A. SETTING THE LIQUID CAPITAL REQUIREMENT

Introduction

5.1 The risks facing securities firms are usually analysed in terms of position risks [Chapter 6], settlement/counterparty risks [Chapter 7], off-balance sheet risks [Chapter 8] and "other risks". This chapter deals with "other risks". They include reductions in revenue, increases in expenses, inability to cope with increased back office workloads, and losses arising from errors and delays in executing client orders. The risks described above are difficult to measure and are therefore usually captured in a cushion of liquid capital set according to a firm's scale of business. Sometimes, however, the cushion is not set according to the scale of activities but instead a very high monetary minimum is set which is meant to be a big enough shock absorber for large and small firms alike. The latter method is the approach usually adopted by countries whose securities industry is dominated by banks and which use banking capital adequacy requirements as their foundation stone.

5.2 Both the UK and Japan use a scale of business approach and require securities dealers to maintain required liquid capital (RLC) calculated with reference to the firm's past experience of annual expenditure. Besides annual expenditure, UK firms involved in margined transactions for clients must also observe a volume of (client) business requirement.

5.3 The US, Canada, Australia and Singapore also use a scale of business approach and require securities dealers to maintain liquid capital calculated with reference to their aggregate liabilities. In the US, there is an alternative method whereby the RLC is linked to aggregate assets, but only the largest retail and investment banking firms tend to adopt this alternative.

5.4 As mentioned in paras. 3.1 to 3.3, Hong Kong lays down fixed net capital requirements differentiating only between corporate dealers, partnerships and sole proprietors in the amount prescribed. The fixed net capital amounts were arbitrarily chosen and do not appear to have a logical basis. This lack of a logical foundation was compounded by superimposing a further arbitrary multiplier of 10% on these amounts to give the fixed liquidity margin requirements. The SRC criticised [Appendix 1, Part A Note 9] this failure to take proper account of the scale of the dealing business and the associated "other risks" in setting the requirement. The proposals in this paper are designed to avoid the deficiencies of the current fixed measures.

Choice of measure

5.5 **Expenditure**

(a) **For:** The expenditure of running a dealing business is less variable than turnover. Turnover is volatile and this volatility is also reflected, although to a lesser extent, in the levels of liabilities. In periods of low activity, a capital measure based on turnover or liabilities will also be low and may not give the dealer either an adequate cushion to keep going until conditions improve, or sufficient time to arrange to raise more capital. A measure based on several months of expenditure will enable him to carry on untroubled for at least an equivalent period.

(b) **Against:** A dealer with high levels of turnover or liabilities may have low overheads. A measure based on overheads would not be adequate to maintain sufficient resources to service the high level of turnover or to settle the liabilities as they fall due. Low overhead levels may well indicate that the operation is undermanned or undercapitalised.

(c) Also expenditure in group situations may not truly reflect the costs of the business. Management fees charged by group companies are often based on totally unrelated considerations such as efficient tax management, group dividend policy and so on. So an expenditure-based requirement may be artificial and reflect the arbitrary nature of the underlying group charges.

5.6 Turnover

(a) **For:** Turnover is usually directly related to risk. A high level of turnover may reflect large numbers of transactions or high-value dealings. The potential for errors and loss is correspondingly higher in such a case and a measure using turnover as a base would better reflect these risks.

(b) Turnover figures tend to be more difficult to manipulate than expenditure or liabilities.

(c) **Against:** High levels of turnover do not necessarily reflect high risks. The dealer may have high-value, low-risk business with high net worth individuals or institutions with prudent investment strategies. Such a dealer would not need to worry about his ability to carry on trading in the short term in adverse conditions.

(d) Turnover, as stated earlier, is perhaps the most volatile of the parameters relating to a dealer's business. A capital requirement based on turnover will be subject to considerable fluctuation. The dealer will not be able to forecast or plan the financial resourcing of his business given this base. The uncertainty may well be intolerable.

(e) No major securities market uses turnover as a measure.

5.7 Liabilities

(a) **For:** The ideas developed in para. 4.2 hinge on the fundamental premise that any capital adequacy test requires an adequate excess of readily realisable assets over liabilities. This excess represents a cushion. If liabilities are used as the basis, the greater the level of liabilities, the greater will be the cushion and therefore the more comfortable the position. The argument for a measure which is proportional to the level of liabilities is difficult to refute.

(b) A percentage of liabilities measure can be easily integrated into the management information system and will be a useful tool for financial control. It fits in easily into the generally accepted framework of prudential financial management and is not a new and unusual concept created by over-zealous regulators. Commercial usefulness is an important consideration in developing a base requirement.

(c) Liabilities are the chosen parameter in several sophisticated markets.

(d) **Against:** A dealer wishing to reduce his RLC might manipulate the liabilities disclosed by setting-off assets, creating inter-group transactions artificially, taking transactions off his balance sheet and so on, especially if the requirement is based on liabilities on selected days such as year-ends and quarter-ends.

(e) A requirement to apply the set percentage on an ongoing basis creates uncertainty and unexpected capital demands. A dealer will not know how much capital he must have until he performs his liquid capital computation.

Choice of parameter

5.8 A further point in favour of choosing liabilities as the parameter is that steps can be taken to neutralise the potential problems. The possibility of manipulation described in subpara. 5.7(d) above can be minimised by laying down standard accounting treatment and clear rules for computing liabilities [para. 5.9]. The problem identified in subpara. 5.7(e) can be reduced if the historic value of liabilities is chosen as the parameter [para. 5.14]. Accordingly, on the basis of the above analysis, **it is proposed** to use liabilities as the parameter.

5.9 Liabilities are to be defined as total liabilities excluding approved subordinated loans. Amounts payable (and corresponding amounts receivable) should be accounted for on a trade date basis. Accounting on the settlement date basis would only be permitted in exceptional cases subject to the approval of the Commission. Liabilities should not be transferred to related companies unless the dealer has first notified the Commission. The set-off restrictions in Chapter 7 must also be observed [paras. 7.22 and 7.23]. Contingent liabilities which are regarded as liabilities under generally accepted accounting principles must also be included in this aggregate of liabilities.

Percentage of liabilities

5.10 Once liabilities have been selected as the parameter for setting a dealer's RLC, decisions have to be made as to the percentage of liabilities which is likely to be adequate to support the risks associated with increases in the scale of operations, but which is also realistic given the level of net capital and liquidity margin currently maintained by our dealers.

5.11 There is clearly no unambiguously correct percentage of liabilities which identifies the additional liquid capital required to support the additional overall level of risk associated with an increase in the scale of operations. Countries using liabilities as a parameter for scale tend to adopt 5% as the figure. This figure was tested using the latest balance sheet data submitted by dealers and found to be suitable for Hong Kong. The results of the testing are discussed in para. 5.26.

5.12 ***It is proposed to take 5% of liabilities as a measure of activity for the purposes of establishing a dealer's RLC.***

Reference date of liabilities

5.13 After deciding on the parameter and the percentage, it is necessary to establish how the test is to be applied. Ideally, the RLC should be calculated using the level of liabilities at the computation date. This method has the virtues of simplicity, certainty and precision as far as the calculation itself is concerned. On the other hand, it suffers from a major handicap in that the resultant requirement may be difficult to predict in advance, given the volatility of share prices as well as the uneven levels of business volumes and indebtedness. For example, if a dealer executes a single large securities transaction for a client and recognises both the amount receivable (asset) and amount payable (liability) on a trade date basis, then 5% of this liability will result in a high short term figure which would not be "representative" of that particular dealer. The dealer is thus not able to plan his capital buffer in advance with any certainty. It would be easier to compute the requirements based on some historic value of liabilities.

5.14 In the alternative, if we adopt for computation purposes, the liabilities figure as per the latest set of audited accounts, it suffers from the drawback that it is out-of-date and does not reflect the dealer's current financial position. As a compromise, **it is proposed** to take the average of the last four quarterly figures. The use of averages will iron out fluctuations and enable the dealer to plan his liquid capital requirements with some certainty.

5.15 For ongoing businesses the liabilities will be taken at an average of the last four quarterly figures. New registrants who do not have a trading record will be subject to the floor level discussed below. Thereafter, the greater of the floor level and the first quarterly figure or the average of available quarterly figures will be used until the second year of operations when four quarterly figures are available.

B. SETTING THE REQUIRED LIQUID CAPITAL FLOOR

5.16 In addition to choosing the parameter which picks up the scale of activities for capital purposes, it is also necessary to set a floor level which, in effect, represents the minimum level of commitment which any dealer would have to maintain to fulfill his obligations to his clients by way of providing sufficient financial, technological and human resources [para. 1.8]. At present, the net capital requirement is HK\$5M for corporations and HK\$1M for sole proprietors. The liquidity margin requirement is \$500,000 and \$100,000 for corporations and sole proprietors respectively. They were arbitrarily set at these levels when s65B was introduced in 1986.

5.17 From a practical point of view, there is no material difference in the computation of the existing liquidity margin and the existing net capital. The only major differences between "approved" assets (used in the net capital computation) and "liquid" assets (as used in the liquidity margin calculation) are the inclusion of immovable property and certain deposits in approved assets. Thus after adjustments for immovable property and deposits [see illustration in para. 5.18], most liquidity margins will tend to approach the net capital levels.

5.18 Assuming that there is no significant reason for fundamentally changing the status quo, the floor level of the new RLC should fall somewhere between the present net capital and liquidity margin requirements. One approach to identifying what the floor level should be is to start with the current net capital requirement and to reduce this by those approved assets which do not qualify as liquid assets. This would provide a current benchmark for the floor level. The table demonstrates the result.

	Corporations HK$'000	Sole proprietors HK$'000	Note
Net capital required	5,000	1,000	
less approved assets which do not qualify as liquid assets			
interest in immovable property	1,250	250	1
nominal value of Exchange seats	100	100	
statutory deposit or contribution to compensation fund	50	50	
	3,600	600	
utility and rent deposits	-	-	2
prepayment	-	-	3
Floor level	3,600	600	

Note

(1) For interests in immovable property, the maximum values which can be included as approved assets have been used in the model.

(2) and (3) These will generally be insignificant.

5.19 A second approach is to examine the actual levels of liquid capital now maintained by all dealers. The results are set out in Appendix 3. Various possible floor levels were tested. It was found that a level of HK$3M for corporations and HK$500,000 for sole proprietors provided the best fit: 92% of corporations maintained liquid capital in excess of HK$3M, and 97% of all sole proprietors had liquid capital in excess of HK$500,000. This is a high level of compliance and is a clear indication that, at these levels, the impact on dealers would be minimal and create few problems. A lower requirement would ignore the levels of liquid capital currently being maintained by dealers on grounds of commercial prudence. A higher requirement would mean that a greater proportion of dealers would have to increase their current liquid capital levels. For example it was found that if the floor was set at HK$3.5M for corporations and HK$700,000 for sole proprietors an additional 12% of corporations and 9% of sole proprietors would have to put in more capital. Thus the levels of HK$3M for corporations and HK$500,000 for sole proprietors are supported by the analysis of the existing levels in para. 5.18 and the empirical studies summarised in Appendix 3. ***It is therefore proposed to set the floor at HK$3M for corporations and HK$0.5M for sole proprietors.***

5.20 Allowances are to be made for dealing corporations which act as introducing brokers and are not contracting parties to a transaction, provided that they do not handle client funds or other assets [paras. 11.5 to 11.6]; it is likely that they will be required to comply with the higher requirements if they do. Clients dealing with introducing brokers are at less risk than when dealing with brokers who are contracting parties. On the assumption that the proposed HK$3M is appropriate for corporations where clients are considered most at risk, it should be possible to revise downwards the floor level for corporations acting only as introducing brokers. **It is proposed** to set the floor level at HK$500,000 for dealing corporations whose business is confined to introductions.

5.21 As few sole proprietors are introducing brokers, no reduction is considered necessary. **It is proposed** that they be subject to the same floor level of HK$500,000 as if they were engaged in the ordinary stockbroking business.

C. THE REQUIRED LIQUID CAPITAL ("RLC")

5.22 The proposal can be summarised as follows: Each dealer will have to maintain at all times liquid capital which is equal to the greater of:

(a) HK$3M for corporations [HK$500,000 for sole proprietors, for partnerships see para. 5.25]; and

(b) 5% of liabilities [as per average of last four quarters paras. 5.12 and 5.14].

This is the dealer's required liquid capital (RLC).

5.23 A dealer's actual liquid capital (ALC) at any point time is calculated by subtracting his ranking liabilities (RL) from his liquid assets (LA).

$$ALC = LA - RL$$

To be in compliance with the proposed rules a dealer's ALC must never be less than its RLC.

5.24 All introducing brokers other than partnerships will be required to maintain an ALC of not less than HK$500,000; introducing broker partnerships will require an ALC of not less than HK$500,000 per partner. The 5% calculation [see para. 5.22 above] will apply but is not likely to have a material effect in the normal case.

5.25 The RLC for a dealing partnership will be as follows:

(a) Partners who are individual partners - the greater of

(i) HK$500,000 x number of individual partners; and
(ii) 5% of liabilities as per average of last four quarters.

(b) Partners which are corporations - the greater of

(i) HK$3M x number of corporate partners; and
(ii) 5% of liabilities as per average of last four quarters.

(c) Others - if they have individuals as well as corporations as parties, a mixed calculation would be necessary.

5.26 To test the combined impact of the floor and the 5% of liabilities requirements, a survey of dealers was conducted in April 1991 using all of the latest balance sheets submitted to the Commission. Their actual liquid capital was compared with floor levels on the one hand and different percentages of liabilities on the other. The results are detailed in Appendix 3. In aggregate terms, out of 541 dealers, 455 have liabilities of less than the level where the 5% requirement is triggered and therefore would have an RLC equal to the floor level. The remaining 86 triggered the 5% of liabilities requirement and had an RLC greater than the floor level, and only 15 dealers would not have met the RLC with their current financial position. They comprised 1 sole proprietor and 14 corporations. In the case of the sole proprietor, the deficit was so low that it would not create any real problem. Of the 14 corporations, 7 were in breach of the existing s65B requirements and are therefore undercapitalised; the remaining 7 were all subsidiaries of financial groups. To carry out the necessary capital restructuring should not be unduly burdensome for these companies.

5.27 We cannot overemphasise the fact that the calculation of RLC as a percentage of liabilities was derived from the actual balance sheets of a large sample of the population of securities dealers in Hong Kong. We have reconfirmed the validity of the proposed calculation with analyses of the latest available balance sheets at October 1991. The figures therefore reflect that which the great majority of dealers consider to be a prudent level of liquid capital which they must maintain for their ongoing needs. ***The concept proposed is therefore empirically sound and avoids the illogicality and arbitrary nature of the current requirement.*** It reflects a fundamental factor, viz. that a securities business must be financially resourced to a level such that its readily realisable assets exceed its liabilities and there is a suitable cushion to serve as a buffer.

CHAPTER 6

POSITION RISKS

A. THE EXISTING RULES

6.1 Dealers are exposed to the risk that the positions they hold in equities and debt instruments may not be readily realisable at full values. At present, the s65B computation caters for position risks by the use of haircuts. In this Chapter, we identify the defects of the current haircuts and discuss appropriate remedial proposals; a comparison between the existing and the proposed rules is summarised in para. 6.47.

The major defects

6.2 The major defects include:

(a) Notwithstanding the requirement that specific investments should be valued at market price in the s65B computation, daily marking to market is not a common practice in the industry. We understand that some dealers only prepare s65B computations on a monthly basis and revalue their positions only for this purpose. This practice will directly affect the impact of the haircuts. Low haircuts may be sufficient to cover price fluctuations if marking to market is carried out daily; not if it is done at longer intervals. On the other hand, high haircuts may unduly penalise dealers who revalue their positions more frequently, say, on a daily basis [para. 6.10].

(b) Unrealised losses may be stored up by a dealer who recognises his house positions only on a settlement date basis [para. 6.11]. The market may have fluctuated substantially from trade date to settlement date. Until these investments are taken into the house positions and on to balance sheets, they will not be marked to market (or subject to appropriate haircuts).

(c) The blanket haircut applied to broad classes of investments seems unduly harsh in some cases as commented by the SRC [Appendix 1, Part A Note 4]. They are generally more conservative than in most other jurisdictions [paras. 6.12 to 6.17].

(d) The criteria for accepting debt instruments as approved and liquid assets are not well defined; debt instruments are required to be negotiable, have a remaining term to maturity of not more than 10 years, and be denominated and traded in Hong Kong dollars or in a currency freely convertible into Hong Kong dollars (unless the Commission disallows any such instrument in a particular case). The criteria for negotiability have not been stated in the Specification Notice. In practice, dealers have had a free hand in counting debt instruments which may be of an illiquid nature and dubious value as approved and liquid assets. The criteria for debt instruments need therefore to be tightened up to avoid abuses [paras. 6.18 to 6.19].

(e) Government issued instruments are subject to less risks than other negotiable debt instruments and should be subject to lower haircuts [para. 6.20].

(f) The current regime applies a blanket 40% haircut to all holdings in unit trusts and mutual funds authorised in Hong Kong irrespective of their investment portfolios. This is an oversimplification which ignores the varying quality of the constituent securities; for example, a warrant fund is clearly more risky than a money market fund but they are currently treated alike [para. 6.21].

(g) Units in unit trusts and shares of mutual corporations not authorised in Hong Kong have a haircut of 100%. This is unduly harsh where such trusts and funds are subject to compatible, if not more stringent, regulation overseas [para. 6.22].

(h) Holdings in paper gold schemes authorised by the Commission are not recognised as assets [para. 6.23].

(i) There is no haircut for gold bullion and payments made for or towards the purchase of securities pending listing [paras. 6.23 to 6.24] though they are subject to risks.

(j) Foreign exchange and other off-balance sheet risks are not included [para. 6.25].

(k) Certain types of debt instruments such as convertible debt instruments are not addressed in the existing rules [para. 6.26].

(l) Risks of maintaining short positions are not recognised [para. 6.27].

(m) Over-the-Counter ("OTC") stocks are subject to a 100% haircut which may be unduly harsh for stocks traded on the more sophisticated and better regulated OTC markets [para. 6.28].

(n) Risks relating to positions in futures or options which may exceed book asset values have not been specifically provided for. When a dealer has written options which are in-the-money, he may or may not have provided for the potential loss which can be very substantial [paras. 6.29 to 6.33]. Although few dealers currently maintain any position in options, we have borne in mind proposals to develop an exchange-traded option market in Hong Kong in the near future.

(o) The extra risks associated with the holding of concentrated positions per issue or issuer are not recognised [paras. 6.34 to 6.37].

(p) There is no allowance for arbitrageurs and hedgers [paras. 6.38 to 6.43].

(q) Some Japanese dealers participate in gensakis which are a kind of repurchase and reverse repurchase agreement. Treatment of such transactions is not clear under the existing rules [para. 6.44].

6.3 However, it is necessary to put these defects into perspective. A review of a sample of audited accounts reveals that few securities dealers carry extensive house positions at their year-ends. Their major exposures tend to lie with amounts receivable which have arisen from securities dealing. Sole proprietors tend to book their own investments in and out of the firm's accounts in order to meet the s65B net capital requirement. Our understanding is that sole proprietors prefer to hold investments outside the dealing business. They are inclined to transfer these investments to the accounts of the dealing business as and when they experience difficulty in complying with s65B, such as when a trade involving large sums remains unsettled for some time. The investments will be transferred out once the trade has been settled and the s65B position resolved.

6.4 Dealing corporations often do not hold large investments when they form part of groups. The group policy is generally to hold the investments in companies within the group which are not subject to securities regulation and therefore not subject to haircuts. The adverse effect of locking in extra capital if investments are held in the dealing entity is thereby avoided. This policy of not holding its investments in the dealing company is helpful to the group as a whole as it means a more efficient distribution of capital within the group. For the purpose of our analysis it is an indicator that haircuts may not be a material factor in group situations, except of course that if the haircuts are not severe, the group may not have to avoid holding investments in the dealer company. Another consequence of the above practice of not holding investments in the dealing company is that the latter seldom needs to adopt hedging techniques.

6.5 The above practices notwithstanding, it is a fact that the current rules fail to deal satisfactorily with position risks and need revision.

B. THE NEW "POSITION RISK" FRAMEWORK

General

6.6 Some dealers in Hong Kong hold relatively large and diversified positions, both in terms of security type and market. However, in Hong Kong the vast majority of dealers only invest in SEHK listed securities, trading in a limited range of equities, warrants and to a lesser extent, bonds. In the main, these are small operations with limited resources in accounting support and therefore, it is desirable to set generalised rules so that these dealers will not be obliged to spend too much time and effort in complying with the rules. On the other hand, such generalised rules may not be suitable for larger more diversified dealers who prefer differential haircuts to best reflect the mix of their substantial portfolios. This Chapter addresses the alternatives as far as position risks are concerned and proposes options which will be available to dealers.

(a) **Equities: selected prime index stocks**

To differentiate selected prime index equities stocks and apply thereto haircuts which fall below the standard rates, **or**

Not to differentiate them and apply the standard rates [para. 6.15].

(b) **Debt instruments: categorisation**

To analyse debt instruments into 2 broad categories: government and other qualifying debt instruments and apply blanket haircuts, **or**

To analyse debt instruments into Categories A, B and C according to their credit ratings and so on and apply different haircuts based on their remaining terms to maturity [para. 6.19].

6.7 Given the choices which dealers will have to make, they will be required to indicate on their returns, the method which they have adopted for the purposes of the return.

6.8 This Chapter has been arranged in such a way that most securities dealers in Hong Kong can focus on paras. 6.10 to 6.24 which primarily address subparas. 6.2(a) to (i). Para. 6.25 [in response to the issue raised in subpara. 6.2(j)] refers to off-balance sheet risks which are addressed in Chapter 8. Only those who employ sophisticated investment strategies should be interested in paras. 6.26 to 6.44 covering subparas. 6.2(k) to (q). These are likely to be internationally active firms. Paras. 6.45 to 6.46 refer to stock borrowing and lending ("SBL") arrangements. Para. 6.47 is a summary comparing the existing rules with the proposed rules.

6.9 It should be made clear at the outset that this Chapter applies to positions held for short term trading as well as long term investment purposes: the determining factor is the realisability of the underlying assets and not the purpose for which they are held. All readily marketable house positions will qualify as liquid assets and be subject to the same haircut deductions. In the main, the liquid assets under the FRR will be the same as "current assets" in accounting terms.

Marking-to-market

6.10 In response to the issue raised in subpara. 6.2(a), the Commission recognises the importance of marking to market given the volatility of securities markets. It is a widely accepted international practice which facilitates a speedy determination of the true financial strength of the dealer and prevents the accumulation of unrealised losses. The proposed CCASS requires daily marking to market of securities held by dealers in the clearing system. ***The more generous treatment of position risk contained in these proposals compared with the present treatment is predicated on acceptance of the daily mark to market principle.***

Trade date basis

6.11 In response to the problem raised in subpara. 6.2(b), for the purpose of preparing the s65B computation, **it is proposed** that all house positions must be accounted for on a trade date basis except where the Commission otherwise permits. A change in accounting policy may not be feasible where firms have traditionally and consistently applied the settlement date basis or where it is in the form of some standard group policy adopted worldwide. During periods of extreme volatility, the Commission may require these dealers to effect the necessary adjustment to the trade date basis. For example, there may be situations where dealers acquire investments which are not due for settlement but share prices suddenly plunge. Dealers will then be required to mark these investments to market (i.e. to recognise the unrealised losses) and to subject them to the haircut deduction. However, they will not be required to effect or quantify the adjustment where the positions are immaterial to the dealers' ALC computation, for example, in a case where these positions are assigned a nil value (whilst recognising the related amounts payable as ranking liabilities) and the dealer continues to have enough assets to maintain ALC sufficient not to trigger any early warning signal [Chapter 8, Part G].

Securities: local and overseas

6.12 In response to the issue raised in subpara. 6.2(c), the Commission has reviewed the existing haircuts for **overseas equities instruments**. The Commission has made the reasonable assumption that the haircuts adopted by overseas regulators in the more sophisticated markets reflect the perceived risks of the relevant securities. Our proposed haircuts are therefore based to a large extent on the haircuts applicable in the respective countries; these in turn have been standardised in order to avoid rules that are too complex. **It is proposed** that a 20% haircut be applied to equities listed in recognised stock markets [i.e. stock markets specified in the Securities (Specification of Approved Assets, Liquid Assets and Ranking Liabilities)

Notice 1990] in OECD countries and 30% to those listed on other recognised stock markets. Other equities will bear the existing 100% haircut except for over-the-counter stocks covered in para. 6.28 below.

6.13 As regards **securities listed in Hong Kong**, the market collapse of 5 June 1989 appears to justify the existing 40% haircut given existing market practices. However, having regard to the proposed daily marking to market control, **it is proposed** to apply a reduced haircut of 25% on the grounds that this is likely to be adequate to cover normal market fluctuations.

6.14 In addition, "high quality" stocks should be treated more favourably in view of their greater liquidity: typically, their prices reflect a ready market and the fundamental soundness of the issuing companies. The Commission does not think it feasible to lay down qualifying criteria based on market capitalisation, average daily turnover and such like. It is not considered reasonable to expect individual dealers to perform the test on each and every house position, especially for those investing overseas where such information may not be readily available. It is preferable to adopt some yardstick which provides a quick and easy reference and which is widely accepted as being indicative of a liquid stock.

6.15 The Securities and Futures Authority (the "SFA") in the UK has recently issued a consultative document on new financial supervision rules (14 November 1991) in which it recognises five broad categories of equities and assigns different haircuts thereto. They include a UK portfolio, a US portfolio, a Japanese portfolio, other country constituents of the FT-Actuaries World Indices and other equities. The UK, US and Japanese portfolios are sub-analysed into three to four strata with the lowest haircuts being applied to equities designated constituents of the FTSE-100 Index (10.5%), constituents of the Standard & Poor's 500 Index (11.5%) and constituents of the Nikkei 225 Index (10.5%). **It is proposed** to adopt a similar approach for Hong Kong and apply a reduced haircut of 15% to constituent stocks of prime indices in the UK, US and Japan. Based on the same principle, **it is proposed** to apply a lower haircut (20% instead of 25%) to constituents of the local Hang Seng Index.

6.16 This adjustment requires more elaborate record keeping and is offered as an option to dealers; dealers may continue to apply the blanket 20% or 25% haircut as proposed in paras. 6.12 and 6.13 above.

Warrants

6.17 Warrants are subject to the same 40% haircut as are equities under the present regime although they are intrinsically more volatile. **It is proposed** to recognise the greater volatility of warrants by maintaining the 40% haircut for warrants listed on the SEHK and recognised stock markets in the OECD countries. All other warrants will be subject to a 100% haircut. The increased differential gap between the haircuts for warrants and the underlying stocks more properly reflects the volatility and risk attaching to warrants. Allowances will however be made where the holding of warrants forms part of a hedging arrangement [para. 6.42].

Qualifying debt instruments

6.18 In response to the problem raised in subpara. 6.2(d), **it is proposed** to set some **qualifying criteria** for debt instruments: they must be instruments rated investment grade by a relevant agency, for example, Moody's, Standard & Poor's and Fitch. Alternatively, the issuer or guarantor must be the government of a member state of the OECD or Hong Kong or its central bank, or the debt instruments are either listed or traded in Hong Kong. (For clarification, "special" debt instruments which are covered in para. 6.26 must also meet the above-mentioned qualifying criteria and the treatment will be the same for all dealers holding those positions.)

6.19 **It is proposed** that non-qualifying debt instruments will be subject to the existing haircut of 100% and that for qualifying debt instruments (other than those referred to in para. 6.26), dealers can either adopt a relatively simple approach with "standard" haircuts **or** a more complex one with lower haircuts. Dealers who choose **Option One** need only analyse their debt instruments into government issues [para. 6.20] and others. Government issues normally carry small credit risks for which a 10% haircut is deemed to suffice; all others shall be subject to a 20% haircut. **Option Two** pools all qualifying debt instruments, whether government issues or otherwise, and then categorises them into the following:

(a) Category A debt instruments, which broadly speaking include paper issued or guaranteed by selected OECD and Hong Kong governments or their central banks and instruments with high credit ratings (for example, Moody's Aaa or Prime-1), are assigned the lowest haircut, which ranges from 2% to 7% depending on the remaining term to maturity.

(b) Category B debt instruments include paper issued or guaranteed by other OECD governments or their central banks, instruments with medium credit ratings (for example, Moody's Aa, A or Prime-2) and bonds listed on the SEHK. They will be subject to haircuts in the range of 4% to 10%.

(c) Category C debt instruments include instruments with Moody's Baa, Ba or Prime-3 rating (or equivalent) and unlisted bonds traded in Hong Kong for which a haircut of 10% to 20% is proposed.

Government issues

6.20 In response to the issue raised in subpara. 6.2(e), the 20% haircut on selected government issues appears high compared with other overseas jurisdictions. Under **Option One** [para. 6.19], **it is proposed** to reduce the haircut to 10% and to redefine government issues to cover instruments issued or guaranteed by the Governments of Australia, Belgium, Canada, France, Germany, Hong Kong, Italy, Japan, Netherlands, Sweden, Switzerland, UK and US. Under **Option Two**, government issues by the OECD countries and Hong Kong will be subject to a haircut range of 2% to 10%.

Investment in unit trusts or mutual funds

6.21. In response to the issue raised in subpara. 6.2(f), we have carried out a study of the securities dealers in Hong Kong. Our findings are that the vast majority of them do not hold investments in unit trusts or mutual funds. **It is therefore proposed** to assign a simplified haircut structure based on the stated investment policy.

Unit trusts and mutual funds authorised in Hong Kong	Proposed haircut
- warrant and leveraged funds	40%
- others	20%

6.22 In response to the issue raised in subpara. 6.2(g), **it is proposed** to extend the above treatment to investments in units trusts and mutual funds subject to acceptable regulatory supervision overseas; individual applications will be considered by Commission staff. Investment in other trusts and funds is to attract a 100% haircut.

Miscellaneous

6.23 In response to the issues raised in subparas. 6.2(h) and (i), **it is proposed** to **mark paper gold** (as authorised by the Commission) and **gold bullion** to market and subject them to a 10% haircut which is lower than the 15% proposed for top equities on the basis that despite the market volatility, gold can also be readily liquidated at any time.

6.24 Similarly, payments made for or towards the purchase of **securities pending listing** are not considered risk-free although subscription prices are inclined to be set low in order to attract investors. However, they remain subject to risk of market volatility. Furthermore, before the issuer allocates and distributes the securities (and/or returns cash for oversubscribed issues), the money paid is effectively locked in and not available for resolving a liquidity problem. In view of the above, **it is proposed** to apply a 10% haircut to payments in respect of securities pending listing in Hong Kong or recognised stock markets in OECD countries and a 20% in respect of those pending listing on other recognised stock markets.

6.25 In response to the issues raised in subpara. 6.2(j), the Commission recognises the importance of **off-balance sheet risks** but addresses them separately under Chapter 8, Part D.

6.26 In response to the issue raised in subpara. 6.2(k), **it is proposed** to have special treatment for **certain types of debt instruments**, namely indexed bonds, convertible debt instruments, bonds carrying warrants and bonds with a zero coupon. As a class, these are referred to as "special" debt instruments. At present, these instruments are not commonly traded in Hong Kong and treatment thereof is included primarily for completeness and future reference. The proposals are set out in Part A of Appendix 4.

6.27 In response to the issue raised in subpara. 6.2(l), **short positions** are at least as risky as long positions and therefore provision should be made for the risk. **It is proposed** that they should be daily marked to market and subject to the same haircuts as if the short positions were long ones. These haircuts shall then be added to ranking liabilities. At the same time, margin deposits paid to recognised stock markets (or their clearing houses) for the taking up of short positions are included in liquid assets under other receivables and income accruals.

6.28 In response to subpara. 6.2(m), we analyse the risk of the **over-the-counter ("OTC") stocks** as follows: they are considerably more risky than listed stocks on the basis that the issuing companies often have short histories and their operational risks are likely to be higher than those for companies with a full listing. **It is proposed** to apply a 30% haircut to selected OTC stocks traded in the UK, US and Japan. These include instruments traded on NASDAQ - NMS (US), Nihon Tento Securities (Japan) or the USM (UK) on the basis that they may be considered to form the first tier within the OTC markets. All other OTC stocks shall remain subject to the existing 100% haircut. The Commission is to review this situation if and when there is a significant increase in their popularity and acceptance.

Futures

6.29 In response to the issue raised in subpara. 6.2(n), where a dealer has positions in futures contracts as principal, the margin requirements laid down by the exchanges are deemed sufficient to cover the perceived risks. For instance, for trading of Hang Seng Index futures, the Hong Kong Futures Clearing Corporation ("HKCC") currently requires a dealer to pay an initial deposit of HK$10,000 per contract. The perceived risk, in this case, is 200 points in HSI (valued at $50 each). In addition, HKCC will require top-up payment on a daily basis where the market has moved in the opposite direction to the nature of the contract and the initial margin has fallen to the maintenance margin level. No further deductions are considered necessary provided that all margins paid are excluded from liquid assets; **it is proposed** therefore to not reflect futures margins on the face of the computation as a separate category or to add any provision to ranking liabilities.

Options

6.30 As few dealers in Hong Kong hold positions in options, there are currently no requirements for options. We must therefore look abroad and examine the way in which overseas regulators treat option positions in their respective capital adequacy requirements. The following proposals have been recommended to ensure that the rules are simple, easy to understand and not so stringent as to stifle a potential market; however, the rules are also designed to properly reflect the risks.

6.31 **Long positions:**

(a) Where there is **no margin requirement** for the holding of a long (both call and put) position in options, **it is proposed** to apply the same treatment to options as for long positions in warrants in view of their similar risk profiles (both being leveraged financial instruments): long positions in options are to be marked to market; a 40% haircut is then applied to exchange-traded options and a 100% haircut to OTC options.

This situation is likely to be the most common for dealers. Full premiums will have been paid in advance by the dealer to the exchange (or option-writer); and the dealer will not be incurring any further costs or losses.

(b) Where the **exchange** (e.g. the London International Financial Futures Exchange) has set a **margin** requirement for both long and short option positions, **it is proposed** that the long position be marked to market, but instead of effecting a haircut deduction the margin requirement is to be excluded from liquid assets. If a dealer deposits more margin than is required, such excess margin shall be eligible for inclusion as part of liquid assets under other receivables and income accruals. It is assumed that the relevant exchange is the organisation best equipped to set margins for options traded on it.

(c) However, this comfort is not available where the margin requirement is set between private parties in respect of an **OTC option.**

In this case, **it is proposed** to subject the market value of the long position to a 100% haircut less the margin so required. This will ensure that the dealer is not penalised in excess of his total exposure.

6.32 **Short positions:** As with long positions, all short option positions must also be marked to market. The industry practice is for an option exchange to ask market participants holding short positions to make margin deposits, in the form of cash or short term marketable securities, and where applicable to make subsequent margin calls. This control should be sufficient to cover the underlying risk arising from a short position in an exchange-traded option. **It is therefore proposed** that besides marking to market, dealers shall be required to exclude all margin requirements (excess payments can however be recognised as liquid assets) from liquid assets. This is considered to be more effective than the application of some arbitrary haircut; some countries (e.g. the UK and Japan) exclude the margin deposits as specified by the exchanges instead of haircut deductions.

6.33 For a short position in an option which is traded OTC, **it is proposed** to adopt the same treatment as a short position in an exchange-traded option [para. 6.32] except that an additional provision will be included in ranking liabilities representing 100% of the premium, at market price or fair value, in order to recognise the greater risk inherent in shorting an OTC option.

Concentrated positions

6.34 In response to the issue raised in subpara. 6.2(o), we have considered overseas practice. It is generally recognised in the UK, US, Japan, Canada, Switzerland, Netherlands and France that increased haircuts should be applied to concentrated positions because there may be greater difficulty in liquidating these.

(a) Firstly, take a dealer who holds a position amounting to a sizeable proportion of an equity issue. He may not be able to find buyers willing to take up such a large holding of the shares at the current market value. The use of the market price to calculate the value of his shareholding in such a case would be unrealistic as the market value would not truly reflect the net realisable value. An additional haircut should be applied to cover this reduction in liquidity.

(b) Secondly, the risk may not be that of reduced liquidity but that of an issuer default. Besides normal market price fluctuations, investors are thus subject to the risk of the underlying company going out of business. This risk is not significant enough to require a separate risk adjustment in the normal case where there is a spread of shares in the portfolio held. However, where a dealer holds a large proportion of his portfolio in the same shares it needs to be considered.

6.35 Dealers in Hong Kong may not commonly hold concentrated positions at present. However, it is desirable to cover the treatment of concentrations by incorporating increased haircuts in the proposed regulatory framework because:

(a) the rationale behind the approach is an extension of that which underlies the review of position risk;

(b) the proposed rules should be sufficiently forward-looking and comprehensive;

(c) the rules will then be in line with international standards; and

(d) the adjustment might still be important for the few dealers who might be affected.

6.36 The detailed proposals and definition of concentrated positions per issue/issuer are based on the UK and the Japanese rules which are themselves very similar. The main difference is that, unlike the UK and the Japanese rules, outstanding net (sub)underwriting commitments and long term investments are to be included in the calculation of concentrated positions, on the principle that they form part of the dealer's overall holding in that position.

6.37 **It is proposed** that where a dealer holds a concentrated position in any one issue (i.e. 5% or more in an equity, after adding all classes of shares together, or 25% or more in a debt instrument), he will be subject to another 50% - 100% of the "normal" haircut. For example, if Dealer A holds 10% of Equity X which is a constituent of the Hang Seng Index, he will be subject to 30% haircut instead of the "normal" 20%. Similarly, **it is proposed** that a dealer's total exposure to any one issuer should be gauged in terms of his Actual Liquid Capital (ALC). An additional haircut is proposed where such exposure amounts to 25% or more of the ALC. The proposals are set out in detail in Part A of Appendix 4.

Arbitrage and hedging

6.38 In response to the issues raised in subpara. 6.2(p), we are currently discussing the treatment of arbitrage activity within the IOSCO Working Group of which Hong Kong is a member. As the basic principles are similar to those used in considering hedging operations, **we are proposing** that the ideas developed in the paragraphs which follow relating to hedging will broadly apply to arbitrage. **We propose** to await the outcome of our discussions with IOSCO before making detailed proposals to cover arbitrage; this will be provided to interested parties during the consultation stage.

We have studied the hedging allowances permitted by overseas regulators: the survey conducted by IOSCO in 1989 indicates that the UK, US, Switzerland and Netherlands make such allowances in their capital adequacy requirements; Japan has also recently adopted this approach. It is considered that similar allowances should be incorporated in the new FRR because:

(a) they may encourage dealers to hedge their positions and reduce uncovered risks;

(b) with reduced haircuts and allowances for hedging, dealers will be encouraged to retain house positions in their books and not transfer them to other unregulated group companies; and

(c) the Hong Kong rules will then be in line with international standards. It is appropriate that they cater for the special needs of large securities houses.

6.39 Whilst it has generally been the objective of the Commission to set simple, clear-cut rules, this is difficult to achieve when designing hedging allowances. With the evolution of the financial markets and the introduction of a wide variety of products, a dealer may formulate a hedge programme using a combination of financial instruments spread over different markets, with risk profiles to match closely its objectives. Indeed, the process of developing a hedge programme is very dynamic and innovative in nature. Apart from a need to observe a few fundamental ground rules, a hedger has flexibility in devising his programme. Given the above, it is very difficult, if not impossible, for any regulator to lay down general rules to cover all conceivable hedging programmes.

6.40 Capital adequacy requirements imposed by overseas regulatory bodies have been referred to when formulating the FRR for hedging. Requirements set by the UK and the US mirror the sophistication of the local markets and are considered to be too complex to be adopted in Hong Kong. Australia and Singapore have not addressed this aspect whilst Japan lays down relatively simple but not comprehensive rules. **It is proposed** that, with the exceptions included in para. 6.42, no hedging allowance will be given unless dealers have submitted their hedge programmes to the Commission and made specific application for an allowance. The Commission will review the merits of each programme on a case-by-case basis. Appropriate fees will be charged.

6.41 As a guideline, the minimum requirement for a hedge programme to be approved by the Commission for allowance purposes is that it must

(a) separate the investments to be hedged from the trading portfolio;

(b) achieve the intended hedging effect; and

(c) be continuously monitored by the dealer in a controlled manner.

6.42 There are however hedging techniques for which guidelines have been drafted:

(a) to hedge equity positions with options;

(b) to offset long and short positions in debt instruments; and

(c) to hedge a short equity position with a long position in warrants in situations where the exercise price of the warrant is less than the market price of the underlying equity.

Such guidelines are included as part of the proforma computation in Part A of Appendix 4. Market representations received during the consultation period will be considered in determining whether guidelines should be developed for other hedge techniques.

6.43 Techniques (a) to (c) have been considered first for the following reasons:

(a) Hedging by options is a relatively common technique with evident benefit. Overseas regulators have made specific allowances for it.

(b) Both offsetting of debt instruments and hedging by warrants involve relatively simple hedging concepts for which clear-cut principles have evolved.

Repurchase and reverse repurchase agreements

6.44 In response to the issue raised in subpara. 6.2(q), it is necessary to clarify the treatment of securities underlying a repurchase and reverse repurchase agreement. **It is proposed** that securities purchased under reverse repurchase agreements are excluded from liquid assets while securities committed to be repurchased are recorded as positions and are subject to haircuts for position risks. The counterparty risk which underlines such an agreement is addressed in paras. 7.39 to 7.44.

Stock borrowing and lending

6.45 No fundamental change is proposed to the Securities (Specification of Approved Assets, Liquid Assets, and Ranking Liabilities) Notice 1991 which recognises SBLs meeting the following criteria:

(a) a dealer borrows Hong Kong stock for the sole purpose of settling a sale of such stock effected by him on behalf of his clients or himself in accordance with the rules and practices of the SEHK; and

(b) the borrowed stock must be returned to the lender within 14 days, or such longer period as the Collector of Stamp Revenue may allow, from the date of the borrowing.

The 1991 Notice satisfactorily deals with the underlying risk faced by both parties. The potential risk to a lender due to a shortfall in collateral value and the potential risk to a borrower as a result of excess collateral placed with the lender are reflected as ranking liabilities.

6.46 However the above suffers from the defect that it only applies to selected SBLs; for example, SBLs effected off the SEHK are automatically excluded. The Commission **proposes** that the same provisions should apply to **all** SBLs. Dealers who are engaged in SBLs overseas may apply to the Commission for a modification on a case-by-case basis.

C. EXISTING RULES AND PROPOSED RULES COMPARED

6.47 As a conclusion, the major differences between the existing and the proposed rules are summarised here, focusing on the treatment of equities, warrants and debt instruments. The treatment of other instruments is likely to affect a much smaller number of dealers and is therefore omitted from this summary. As will be obvious from the summary the proposed rules are more generous than the existing rules for position risk. Therefore detailed testing across the whole spectrum of dealers is unnecessary. However, because the proposals include some new requirements which will mainly affect dealers participating in overseas markets, it was decided to test the proposals on a sample of five dealers with large house positions and off-balance sheet exposures [Appendix 6] and the result was found to be satisfactory.

		Under existing rules	**Under proposed rules**
EQUITIES			
(a)	**Listed Hong Kong equities**	40%	25%
	Optional: to segregate prime index stocks and apply 20% thereto		
(b)	**Equities listed on recognised stock markets** (analysed by country)		
	(i) OECD countries	40%	20%
	Optional: to segregate prime index stocks in US, UK and Japan and apply 15% thereto		
	(ii) Non-OECD countries	40%	30%
(c)	**Selected OTC equities** in US, UK and Japan	100%	30%
(d)	**Other equity securities**	100%	100%

		Under existing rules	Under proposed rules
WARRANTS			
(a)	**Warrants listed in HK or recognised stock markets in OECD countries**	40%	40%
(b)	**Other warrants**	40%	100%
DEBT INSTRUMENTS (not addressing sundry exceptions)			
(a)	**Qualifying government issues**	20%	10%
(b)	**Qualifying debt instruments**	20%	20%

[Optional: to classify both qualifying government issues and qualifying debt instruments by Categories A, B and C and apply different haircuts based on remaining term to maturity.

		Under existing rules	Under proposed rules
	(i) Category A	20%	2-7%
	(ii) Category B	20%	4-10%
	(iii) Category C	20%	10-20%]
(c)	**Non-qualifying debt instruments**	100%	100%

CHAPTER 7

COUNTERPARTY RISKS

A. OVERVIEW

7.1 Dealers are exposed to the risk that their counterparty dealers or clients might renege on their obligations. In addition to the human factors, the risk that counterparty dealers might default varies according to the standards and practices of the markets in which they operate and depends also on the efficiency of the clearing and settlement systems in those markets. In Hong Kong, until recently there has been a reasonably satisfactory level of settlements between dealers and this is likely to improve when CCASS is installed and dealers settle most of their Stock Exchange transactions on a net basis with the Hong Kong Securities Clearing Company Limited (HKSCC). Thus, in Hong Kong the focus should be on counterparty risks arising from client receivables, although a perceived increase in corporate fraud may extend to dealer defaults in the future.

7.2 The objectives of this review of counterparty risk are threefold.

(a) To consider the soundness of the criticisms of the existing rules made by the market;

(b) To identify issues relating to the existing rules which have not been addressed by the market; and

(c) Where appropriate, to propose improvements with due consideration of local factors and overseas models.

7.3 Counterparty risks relating to cash against delivery ("CAD") transactions (and free deliveries which are less common) and those relating to margin trading (where the dealer finances his clients trading against collateral deposits) will be discussed separately in the sections which follow. A separate section is included [paras. 7.45 to 7.52] addressing the various implications of the rules and regulations being developed by HKSCC on the FRR. Para. 7.72 summarises the comparison between the existing rules and the proposed rules.

7.4 All other amounts receivable (including fee and commission receivables and accruals) are addressed in Chapter 8.

B. CAD DEALING RISKS

7.5 Under the present regime, CAD receivables are excluded from approved and liquid assets once they have been outstanding for more than 5 bank trading days. This rule has been criticised as being excessively harsh and has, in many cases, been avoided by the use of various devices.

Principal criticism

7.6 The rule excludes the entire amount receivable from a CAD client which is over 5 bank trading days old from approved and liquid assets even where the dealer is in possession of the underlying securities (where he has already settled with the other counterparty), or there is a corresponding payable outstanding in the dealer's books (where delivery has not been received from the counterparty). The following are the main criticisms:

(a) In the first case above, the dealer is likely to be exposed to default by the counterparty only when the market price of the underlying securities falls. The risk to be covered is really the difference between the receivable and the lower market value of the securities as he should be able to sell the securities he holds if the counterparty defaults.

(b) In the second case, the dealer is exposed to possible default by either or both counterparties, the buyer and the seller. He is exposed to loss whether the market price moves up or down; if the price goes down the buyer might not pay as in (a); if it goes up, the seller might not deliver, forcing the dealer to purchase the securities in the open market for onward delivery at a greater cost than the amount payable.

In both cases, it is a market-cum-counterparty risk rather than a purely counterparty one.

7.7 The conclusion of the arguments is that, at worst, the amounts to be provided are the differences between the respective monetary and market values and not the entire monetary balances. Indeed in the second case considered above, some dealers have proposed to set-off, for FRR, amounts payable against amounts receivable where both remain outstanding.

7.8 However, any test that is based on providing for the difference between an amount receivable and the (lesser) value of the underlying stock as a deduction of liquid assets depends on the right of the broker to sell the security in the event of the client default. One way of establishing this right is to state it in clear and unambiguous terms in a client agreement. Where dealers have in existence this right which is clearly demonstrable, they may include the lower of the monetary value and the value of the underlying stock on a transaction by transaction basis in liquid assets. Where dealers cannot establish a legal right of sale, or do not wish to set up the necessary accounting support for effecting this adjustment (for example, related clients' securities will have to be marked to market on a daily basis), they can use a simplified deduction scale by ageing. As for the treatment of position risks in Chapter 6, flexible rules are being proposed here seeking to satisfy the various needs of our securities dealers whilst striking a balance between a conceptually correct approach and a practical solution.

Delays in settlement

7.9 Some dealers argue that if, because of settlement problems, they cannot deliver scrip to the counterparties within the prescribed 5 bank trading days, the amounts receivable should not be regarded as overdue at all. Alternatively they argue that the FRR should provide relief for cases of late settlement which are outside the control of dealers and their clients.

7.10 The SEHK is dealing with settlement problems in two ways.

(a) The stock borrowing and lending arrangement [paras. 6.45 to 6.46] should help, as should the Central Clearing System.

(b) The SEHK has the power to force a buy in (where the buying broker/member who is unable to obtain delivery of securities from his corresponding broker/member can purchase the securities in the market and charge the difference to the corresponding broker/member) as well as a sell out.

7.11 The worst scenario would be the case where the selling dealer is unable to deliver the securities. In turn, the buying dealer would not be able to deliver to his client whose receivable would remain outstanding and the dealer might have to buy from the market to settle with the client.

7.12 The offsetting of amounts payable against amounts receivable suggested in para. 7.7 is not acceptable for the purposes of the FRR. Certainly for this purpose, the interpretation is that the account between broker and client consists of individual transactions. For a fuller treatment of set off relating to clients and brokers balances see paras. 7.20 to 7.23.

7.13 In view of the above, a more effective relief would be in the form of a modification to the FRR to make allowance for such occurrences as described in para. 7.9; such a form of relief would be available to all intermediaries and not confined to SEHK members.

Overdue debts may be good assets

7.14 Some have claimed that debts outstanding for more than 5 bank trading days might well be good debts and that such debts should be allowed in full as approved and liquid assets. The argument confuses the assessment of the eventual recoverability of the debt with the matter of its quick realisability in the short term. It is the latter issue which is focused upon in defining criteria for liquid assets. It is considered that with increasing age the chances of quick settlement of debts recede. This uncertain element impacts on liquidity and should be recognised in setting the requirements.

7.15 Ageing is not as conceptually sound as the recognition of price differences [paras. 7.7 to 7.8]; for example percentage deductions which are increased with the age of debts tend to be set arbitrarily. The justification for using ageing as a basis for valuing outstanding receivables is that it provides easy relief particularly for small agency brokers from the oppressive effects of the 5 day rule.

7.16 In designing the simplified deduction scale by ageing, the experience in Hong Kong has been borne in mind where some 95% of all trades are consistently reported as settled by Trade Date ("T")+3 among brokers. Most unsettled trades are settled within 2 weeks; the number of trades outstanding on the SEHK after 2 weeks is on average 50 out of about 17,000 traded in any week. It is reasonable, therefore, to recognise 2 weeks from settlement date as a dividing point beyond which debts become slow-moving. Debts outstanding for more than a month are likely to have settlement problems.

Free deliveries

7.17 For administrative purposes, some dealers may from time to time be required to settle on a "free delivery" basis. This is so called because the custodian is instructed to release securities without apparent consideration, the client or the fellow broker being relied on to concurrently transmit funds to the dealer's banker. The dealer is clearly more at risk than in a normal CAD transaction as he may have parted with the securities without receiving the sales proceeds.

Proposals

7.18 The various criticisms of the 5 day rule have been analysed in the preceding paragraphs. It is considered that the deficiencies may be eliminated by the proposals in this chapter. Instead of addressing all CAD receivables on the same basis, we have separated broker receivables from client receivables as they are perceived to be subject to different risks. The following **proposals** relate to **client receivables only**. Broker receivables are dealt with in paras. 7.24 to 7.26.

(a) Amounts receivable arising from transactions outstanding for **less than or equal to 5 bank trading days** from settlement date shall be included in full as liquid assets except to the extent that the dealer has doubts as to their collectibility.

(b) Amounts receivable arising from transactions settled on a **"free delivery"** outstanding for more than 5 bank trading days from settlement date shall be excluded in full from liquid assets.

(c) Amounts receivable, other than those relating to free deliveries, arising from a transaction outstanding for **more than 1 calendar month** from settlement date shall be excluded in full from liquid assets.

(d) Amounts receivable, other than those relating to free deliveries, arising from a transaction outstanding for **more than 5 bank trading days and less than or equal to 1 calendar month** shall be included in liquid assets by adopting either the "price difference" method or the "ageing" method.

(i) under the "price difference" method - the amount eligible to be included as a liquid asset will be the lesser of the amount receivable and the market value of the underlying security.

It should be stressed that dealers can only adopt this method when they have the right to dispose of securities in the event of a client default.

(ii) under the "ageing" method -

Outstanding period	Deduction percentage
over 5 bank trading days and up to 2 weeks old from settlement date	20%
over 2 weeks and up to 1 calendar month old	50%

Practical problems

7.19 In addition to the criticisms which have been described and covered in the proposals above, there are practical problems which make the existing 5 day rule difficult to apply.

Ascertaining the due settlement date

(a) Some dealers have misinterpreted the rule and count the 5 days from trade date instead of due settlement date. This leads to undue hardship for dealers operating on some overseas exchanges where settlement date is fixed at a number of days after the trade date or where there is no pre-determined settlement date as opposed to the Hong Kong settlement cycle of T + 1 (to be extended to 2 upon the adoption of CCASS). Clarification has since been made by an amendment to the Specification Notice issued in November 1990. When there are no predetermined settlement dates, **it is proposed** to establish a practice of setting the settlement date within a range of 20 days from the trade date, the precise date to be determined by the Commission dependent on the circumstances of the market and its location.

It should be stressed that in the majority of cases, settlement dates are pre-determined by the relevant exchanges. The Commission has only dealt with two cases where there were no pre-determined settlement dates.

Treatment of Saturdays

(b) There has been some confusion in respect of the correct treatment of **Saturdays**, being bank trading days but not days when the Stock Exchange is open for business. At present, some dealers count Saturdays as forming part of the 5 bank trading days while others do not. **It is proposed** to exclude Saturdays from the 5 day count on the grounds that most dealers in Hong Kong are not open for business to effect settlement on Saturdays.

Treatment of set-off arrangements

7.20 Another factor is that some dealers adopt **different set-off** methods which can lead to very different values for liquid (and approved) assets in the s65B computation:

(a) Some dealers refer solely to the list of client buys. They add up all individual transactions which have remained unsettled for more than 5 bank trading days irrespective of whether there are outstanding sales with the same clients.

(b) Some review both client buys and sells and net off balances with the same client provided that the balances are in the same currency.

(c) Some review the client ledger and only analyse net debtor balances, ignoring credit balances which may include old outstanding debits.

7.21 Although a dealer may have the legal right to set-off balances with the same client, it is inappropriate to ignore the effects of market price changes on the underlying securities. For example, a cash client has bought $10,000 worth of shares in Stock A and sold $8,000 worth of shares in Stock B. A setting-off of balances will result in a net receivable of $2,000 in the books of the dealer. The net balance does not, however, reveal the underlying risk to which the dealer is exposed should there be a significant drop in market value of Stock A and/or a sharp increase in value of Stock B. Set-off in this case will understate the possible loss resulted upon the client default.

7.22 It should be stressed that any treatment proposed in FRR would seek to reflect the financial position of the dealer and the underlying risks. Whilst, for example, the common law right to set off may exist, the dealer is effectively subject to a position risk for each outstanding receivable (client purchase) and payable (client sale) [subparas. 7.6 (a) and (b)]. Should a set-off be permitted for s65B purposes, such position risk would have been overlooked. **It is proposed** to disallow set-off of amounts receivable and payable unless they relate to the same security and the same client (i.e. before effecting a contra in accounting terms) or when the dealer has exercised his right to set-off by re-purchasing and/or re-selling the underlying securities. Note that this restriction only applies to trades which have been outstanding for more than 5 bank trading days from settlement date, as we do not recognise risks in trades outstanding for a shorter time.

7.23 The same principle will also apply to balances held with other brokers except those settling on the CNS basis [para. 7.47].

Other issues

Broker receivables

7.24 There are risks associated with outstanding broker receivables in as much as a fellow broker does not pay because the securities are not available for delivery and the price has fallen; or where the fellow dealer does not pay against delivery and the price has fallen. However, generally speaking, the risk is perceived to be lower than those associated with CAD client receivables on the grounds that the financial position of brokers is regulated and supervised. Whilst some of the institutional clients may be as creditworthy as fellow brokers, it cannot be disputed that the average individual investor must be carrying substantially higher risks. These arguments will be reinforced when the HKSCC is substituted for other brokers in the new clearing arrangements and the amount receivable is effectively guaranteed. As a risk control procedure, the HKSCC is to collect unfavourable marks [paras. 7.49 and subpara. 7.52(b)] under specific circumstances. However, for the purpose of FRR, we have to propose risk adjustments which can be applied to all, and not just a selection of, dealers. Our proposals are incorporated in paras. 7.25 and 7.26.

7.25 **It is proposed** that dealers will be able to choose either the "ageing" method or the "price difference" method to provide for the risks. To make allowances for the perceived lower risks, risk adjustments are not proposed until broker receivables have been outstanding for more than 2 weeks (as against the 5 bank trading days in the case of CAD client receivables). Similarly, the scale of deduction has been relaxed when compared to subpara. 7.18(d)(ii).

	Outstanding periods	**Deduction percentages**
(a)	up to 2 weeks old from settlement date	0%
(b)	over 2 weeks and up to 1 calendar month old	50%
(c)	over 1 calendar month old	100%

7.26 It should be stressed that dealers may adopt the "price difference" method only where

(a) there are buy-in and sell-out provisions on the stock market where the particular transaction has been made; or

The SEHK currently can require compulsory buy-ins and sell-outs. ***It is proposed*** *that any difference claimed from a defaulting broker arising from these is excluded from liquid assets. The reason is that such claims no longer constitute CAD receivables and that they are unsecured.*

(b) the dealer has in existence a right to dispose of securities pending delivery to a broker in case of delayed payment and that the prescribed period of time has lapsed; and

(c) the balances are over 2 weeks and up to 1 calendar month old. (Balances over 1 calender month old will be deducted in full from liquid assets.)

Assignment of debts

7.27 Dealing corporations are tending to assign their CAD amounts receivable (which may or may not be outstanding for more than 5 bank trading days) to group companies on a regular basis; this trend is on the increase. It is possible but less usual for debts to be assigned to an unrelated company. The consequences of this practice is that these receivables which are material items relating to a dealer's business fall outside the regulatory net. To illustrate, some dealers have transferred client balances to group companies and cleared out the intergroup balances at regular intervals while retaining outstanding client balances within the group. This is unsatisfactory as a default affecting the financial position of the transferee company may have a domino effect on the dealer company. If net positions with clients are transferred, the potential dangers may be greater and may also mask non-compliance with the FRR; for example ranking liabilities may be set off against balances which do not qualify as liquid (or approved) assets.

7.28 In revising Chapter 4 of its Rules, the SEHK has proposed certain conditions, subject to which these assigned debts can be included as liquid (and approved) assets, viz.,

(a) The person to whom the debts have been assigned is a licensed bank or a deposit-taking company.

(b) The assignment is effected pursuant to a valid and legally enforceable agreement which must be approved by the SEHK.

(c) The assignment is made without recourse to the dealer.

7.29 **It is proposed** to adopt the SEHK rules in the FRR except that "licensed banks and deposit-taking companies" will be changed to "authorised institutions", the term now adopted by the Banking Ordinance to cover both types of entities; and to add registered dealers to authorised institutions as acceptable assignees. This is to ensure that the assignees are subject to prudential supervision by a recognised regulator and investors interests are protected. A time limit will be set for restructuring or liquidating existing arrangements which do not comply with those proposed. In addition, the assignees must settle on a strictly CAD or a margin client basis and the clients must be duly notified and consent to the assignment.

Amounts payable

7.30 The current rules focus on the collectibility of amounts receivable, yet, there are also risks relating to amounts payable. As mentioned in subpara. 7.6(b), where the selling counterparty is late in making the delivery and the market price is rising steeply, the dealer will be exposed to the price difference when he buys in the stock at market price and has to claim the difference from the defaulting seller. On the basis that brokers will be governed by the relevant exchanges or regulators, the Commission is more concerned with the potential risk of default by clients rather than by brokers. In view of the above, **it is not proposed** to introduce any risk adjustment to cover broker payables.

7.31 As far as CAD clients are concerned, some risk adjustment will be necessary except in cases where

(a) a dealer has obtained the securities from clients before executing a sell order; or

(b) a dealer, by prior agreement with clients, has bought in the shares from the market after the elapse of a prescribed time period and is claiming the additional cost from the clients. This will effectively lock in the loss and require no further risk adjustment on the premise that the claim will not be counted as a liquid asset.

7.32 On the basis that it is primarily a position risk which arises from CAD client payables, **it is proposed** to adopt the "price difference" method which is a more appropriate risk adjustment than deduction by ageing. Notwithstanding the above, the "price difference" method may prove onerous to those dealers who do not have a system in place to daily mark to market CAD clients' securities. For practical consideration therefore, **it is proposed** to offer dealers the alternative of deduction by ageing.

7.33 The scale for CAD client receivables was used as a starting point in developing an ageing approach. Points to consider are that with receivables, we are concerned with ready realisability; with payables, we are concerned with the extent of any likely liability. A payable remaining outstanding for a long period is unsatisfactory from the dealer's point of view as well as that of the regulator as there could be an accumulating loss which the dealer must not leave open-ended. The **proposals** for ageing are developed with the objective of limiting the dealer's potential loss and encouraging him to close out old outstanding positions. However if a dealer is able to identify CAD payables and receivables with a particular trade, **it is proposed** that as long as the CAD receivable is being provided against, no ageing adjustment needs to be applied to the CAD payable.

7.34 In summary, **it is proposed** that dealers can adopt either of the following methods:

(a) **Price difference:** To provide on a trade-by-trade basis for any adverse price movement and add it to ranking liabilities where the amounts payable have remained outstanding for more than 2 weeks after settlement date.

(b) **Ageing:** To add the following percentages of amounts payable to ranking liabilities other than in the case referred to in para. 7.33 above:

	Outstanding periods	**Percentages**
(i)	up to 2 weeks old from settlement date	0%
(ii)	over 2 weeks and up to 1 calendar month old	20%
(iii)	over 1 and up to 2 calendar months old	50%
(iv)	over 2 calendar months old	100%

However as an overriding requirement, where the payable has remained outstanding for more than 5 days and the price of the underlying position has increased by 100% or more, dealers will be required to quantify the price difference and include in ranking liabilities.

Sole proprietors, partners and group companies receivable arising from securities dealings

7.35 Current accounts with sole proprietors or partners are not recognized as liquid assets under s65B as they normally represent the amount of private drawings (Dr balance) or movement of capital. However, current accounts have also been used to handle the sales and purchases of securities by the proprietor/partners in his (or their) personal capacity. Inconsistencies arise where dealers adopt various accounting methods to account for securities transactions undertaken in their personal capacity - as CAD client, as margin client, or effecting entries through their current accounts, each with its different s65B implications. To ensure consistency, amounts receivable or payable arising from a securities purchase or sale respectively by a sole proprietor or a partner for his personal account should not be effected through the proprietor's or partner's current accounts. Instead, separate accounts for securities trading should be opened in the name of the proprietor/partner concerned. **It is proposed** that amounts receivable in respect of securities trading by sole proprietors or partners are includable as liquid assets, provided that they settle strictly on the same basis as a margin client (balance must be adequately secured by discounted collateral) or their transactions are deemed to be free deliveries (exclusion in full after 5 days from settlement date).

7.36 Transactions with group companies will give rise to counterparty risk especially when group companies are permitted to settle by way of book entries only. Under the existing regime, group accounts receivable arising from securities dealing business are not subject to deduction except for bad and doubtful debt provisions. Some groups book their "house investments" through a related unregulated company which is not subject to s65B with its haircuts. Instead of settlement in cash or by way of a margin transaction, the fund movements are effected by way of book entries only. There may or may not be regular cash settlements; if there are, they may be in round sums. Take an example where Dealer A buys securities and sells them on to Group Company B which is permitted to roll over balances on the current account. When Group Company B becomes insolvent, the intergroup receivable will cease to be a valuable asset to Dealer A. In this type of group company settlement, Dealer A is exposed, unavoidably, to the counterparty risk.

7.37 It is arguable that the management or the financial controller of a group is responsible for monitoring the overall financial position and will transfer funds in and out of various entities as and when necessary thereby giving the dealing corporation the liquidity it requires. However, there is no guarantee that the group company will always have the adequate resources to meet its obligations. The Commission may not have the power to satisfy itself by inspection or otherwise on this point.

7.38 In view of the above, **it is proposed** that these amounts receivable from group companies will be subject to the same restrictions or deductions as amounts receivable from sole proprietors or partners [para. 7.35].

Repurchase and reverse repurchase agreements (including gensaki transactions)

7.39 A repurchase agreement is an arrangement whereby a dealer (the Seller/Borrower) sells a position to another person with a commitment to repurchase the same at predetermined price and date. This transaction shall be recorded as secured borrowing by the dealer ("Repo liability"). A reverse repurchase agreement is an agreement whereby a position is purchased by a dealer (the Buyer/Lender) subject to a commitment to sell the position back to the Seller. This arrangement shall be recorded as secured lending ("Reverse repo asset").

7.40 The accounting treatment for FRR needs to be clarified. **It is proposed** that for Repos where the position has been "taken out" of house positions by the Borrower, the same must be added back subject to haircuts for FRR purposes. At the same time, the principal advanced is recognised as a ranking liability. For Reverse Repos, where the Lender has recognised the position as his house position, for FRR purposes, this position should be "taken out" and not subject to haircuts. Instead, an account receivable is to be added to liquid assets subject to counterparty risk adjustments as explained in paras. 7.41 and 7.42.

7.41 The Borrower will recognise the amount borrowed as an amount payable and include the securities under a repurchase agreement in his liquid assets where they will be subject to the normal haircuts. The risks associated with the Borrower are two-fold: position risk during a slump and counterparty risk of Lender's default in a booming market. It is considered adequate to provide for one side of such risks instead of both in a stable market. Therefore, under normal circumstances, no counterparty risk adjustment is required for the Borrower who is already subject to position haircuts. However should the market value of the securities be substantially higher than the principal amount, the Borrower might be exposed to the risk that the Lender would default preventing the repurchase of securities. **It is proposed** that the Borrower in a Repo contract will be required to provide for counterparty risk in an amount equal to the market value of the securities less 150% of the loan. The percentage appears high and thus lenient when compared to the 120% adopted by the SIB. The Commission has decided to relax the percentage in this respect so that frequent revaluations will not be required from the dealers concerned.

7.42 The Lender who has purchased securities under a reverse repurchase agreement is exposed to the counterparty risk of a Borrower default which will prevent him from selling the securities at the agreed price. The maximum exposure is the shortfall between the then lower market price and the agreed price which is the money advanced plus interest. It is inappropriate for the Lender to recognise the securities as his liquid assets as they constitute collateral held to secure the principal advanced (i.e. the resale consideration). Therefore, the amount advanced should be included as an account receivable. An adjustment for counterparty risk **is proposed**, amounting to the excess of the amount advanced over the value of the collateral; this is to be added to ranking liabilities.

7.43 Certain Japanese brokers are engaged in gensaki transactions (a form of repurchase and reverse repurchase agreement). Under the requirement set by the Ministry of Finance ("MOF") in Japan, the counterparty risk faced by the dealer is deemed to be governed by the creditworthiness of the counterparty and the nature of the underlying securities. MOF requires a risk adjustment to be added to ranking liabilities; it is calculated as a multiple of the principal amount (the resale consideration fixed in advance) and two risk weights: one in relation to who the counterparty is, for example, where the counterparty is a fellow broker or an authorised institution, the risk weight proposed is 5%. The other is in relation to the risk appending to the underlying securities, for example, for bonds with remaining term to maturity of more than 1 year, the risk weight assigned is 10%. For illustration, take a gensaki transaction which has been arranged with a securities house to sell Yen500M worth of bonds maturing in 2 years' time. The risk adjustment is Yen500M x 5% x 10% = Yen2.5M.

7.44 **It is proposed** to allow dealers in gensakis to apply the MOF basis in their computation of counterparty risk for simplicity and to avoid their having to carry out cumbersome parallel calculations [Part A of Appendix 4]. They will be required to apply to the Commission for its prior approval before using this basis.

Implication of the CCASS

7.45 As mentioned in para. 7.1, CCASS is scheduled to come into operation in early 1992. This will have considerable effect on the treatment of counterparty risk in the FRR relating to transactions on SEHK.

7.46 This section first summarises the main features and operations of CCASS in so far as they relate currently to s65B. It is based on ongoing discussions with both the HKSCC and the SEHK.

7.47 The main feature of CCASS is Continuous Net Settlement ("CNS") whereby the majority of broker-broker trades on the Stock Exchange will be settled on a net basis. HKSCC will, by novation, be substituted as the settlement counterparty of such trades and effectively provide a guarantee in favour of participating brokers in respect of these CNS trades. The HKSCC guarantee will not cover non-CNS trades, i.e. isolated brokers' trades.

7.48 **Holding mechanism:** Under the CCASS, shares will be allocated to brokers' accounts before payment is received by HKSCC. To cover the credit risk of a broker not paying for the allocated shares, each broker is required to provide a bank guarantee with the HKSCC to cover the amount due before he is permitted to withdraw these shares. Without such a bank guarantee, shares allocated to his stock accounts cannot be withdrawn until good funds are paid to HKSCC.

7.49 **Unfavourable marks:** Overdue stock positions (long or short) of a participating broker arising out of netted novated trades will be subject to marking-to-market after T+2. The HKSCC will collect marks from the dealer in order to limit its risk exposure as central risk taker. Dealers must pay cash to cover the unfavourable marks.

7.50 **Contribution to Guarantee Fund:** A guarantee fund is to be established to cover risks arising from brokers' trades. It is proposed that 2/3 ($100M) of the fund will be contributed by participating brokers in the form of cash and bank guarantees (on terms which are acceptable to the HKSCC) and the remaining 1/3 ($50M) will be composed of insurance coverage. Each participating broker will be required to contribute to the Fund based on his market share but subject to a minimum of $50,000 per seat of the SEHK. It is estimated that some 270 brokers will only be required to pay the minimum $50,000 cash deposit. The minimum $50,000 will not be interest-earning but any additional cash deposit shall be. At this stage, it has not been established as to whether dealers are likely to opt for the cash contribution or the bank guarantee in respect of amounts due in excess of the base cash contribution of $50,000.

7.51 **Settlement cap:** It has been proposed that each participating broker will have a settlement cap based on its net capital as defined under s65B.

7.52 The following proposals are currently being discussed. They are likely to be put to the Commission for its consideration as a package with the CCASS rules and regulations. Provisions affecting approved assets are not included here as the concept does not form part of the proposed FRR.

(a) **Pending good payment**

House positions allocated to a dealer's stock accounts but pending good payment should be treated on the same basis as other house positions.

It is proposed to adopt the above as part of the FRR on the basis that house positions are to be recognised on the trade date basis [para. 6.11] irrespective of settlement status.

A **guarantee** provided by a dealer to the HKSCC for the release of shares need not be recognised as a ranking liability.

It is proposed to adopt the above in order to avoid double counting the liability (due to the HKSCC) which will already have been included in ranking liabilities.

(b) **Amount receivable from the HKSCC arising from CNS trades** (including unfavourable marks collected by HKSCC) should be included as a liquid asset without any deduction.

It is proposed to adopt the above on the assumption that the HKSCC rules are accepted by the Commission as containing good risk control procedures and amounts receivable from the HKSCC will normally be settled within the next business day; the HKFE also gives full value to amounts receivable from the HKCC.

(c) **Contribution to the HKSCC Guarantee Fund**

Cash contribution should be excluded from liquid assets in full.

It is proposed to adopt the above. In our view the contribution does not qualify as a liquid asset as it is illiquid (the dealer can only withdraw on ceasing to be a HKSCC member and the HKSCC is contemplating withholding the fund for a period of 6 to 12 months to meet any late claims).

The proposed treatment of guarantees given in the course of making a contribution to the HKSCC Guarantee Fund is yet to be finalised. For general discussion about financial guarantees as a type of off-balance sheet exposure, please refer to paras. 8.22 to 8.25.

(d) **Settlement cap**

The HKSCC proposes to apply a multiplier to the current net capital to set the settlement cap. As it is proposed to replace net capital with ALC, HKSCC may have to consider revising the proposed basis.

C. MARGIN LENDING RISKS

Introduction

7.53 Dealers who undertake margin business frequently pledge client collateral with their bank to finance the margin trading, although some dealers utilise their own resources for this purpose. The majority of dealers lend up to 50% to 60% of the value of collateral pledged and charge interest equal to the prime rate plus some 3%. Should clients fail to meet a margin call, dealers have the contractual right, under the usual form of written contractual agreement between broker and client, to dispose of the collateral to make good any deficit. The SRC Report noted that regulation of margin trading requires urgent attention [Appendix, 1 Part A Note 10]. It comments that there are no regulations covering the following aspects:

(a) minimum margin levels;

(b) the types of security accepted as margin deposits;

(c) requirement to mark client collateral to market on a daily basis;

(d) the extent of margin trading conducted by a client or a dealer; and

(e) the rates of interest charged to clients.

The issues raised in (a) to (c) are addressed in this review. In response to that raised in (d), the absence of a monetary cap on exposure to individual clients is not considered to be an area of concern provided that each client receivable is adequately secured [para. 7.67]. At the same time, haircuts on house positions may be the more appropriate control over dealer's own trading (cash or margin). In response to the issue raised in (e), it is not considered appropriate to cover this by way of financial regulation and is therefore not addressed here.

7.54 In the following sections we analyse the risks, review the adequacy of existing controls and make recommendations for improvements. We have not limited our analysis to the issues raised by the SRC above.

Weaknesses of the existing risk control procedures

7.55 **Risk to the dealer - imprudent margin lending:** Although a 50% to 60% lending limit is the industry norm, some dealers make exceptions and lend up to 150% to 200% of the value of collateral pledged. Obviously, this can jeopardise the financial position of the dealer. Others utilise for themselves the overdraft facilities made available by banks through the re-pledging of their margin client collateral and in this way may be making use of excess client resources to finance their business [refer to the illustration at paras. 7.59 to 7.63]. It is also true that some dealers are reluctant to dispose of client collateral when the latter fail to meet their commitments for fear of losing their business.

7.56 **Risk to the client - risk of loss (general):** Margin clients are subject to risk of loss. For example, in the event of the insolvency of the dealer, client securities pledged with the bank to support the bank's lending may be subject to foreclosure by the bank as a secured creditor. The proceeds could be used to offset the indebtedness of the dealer which may in the case of a sole proprietor extend to business activities other than those for which he is registered with the Commission. If the margin client suffers loss, his only remedy is to prove his claim together with other unsecured creditors or to claim on the compensation fund. Both processes are time consuming and the client may not get back his property or the full amount of his claim.

7.57 The treatment of net credit balances held by margin clients with their dealers involves custodial and segregation issues and is to be dealt with in a separate review.

7.58 **Risk to the client - utilisation of excess collateral:** Although the Specification Notice assumes that dealers account for margin client receivables on a client-by-client basis, this has never been made explicit. As a result, some dealers calculate liquid assets by grouping all margin client receivables on a global basis. This has serious implications as can be seen from the following illustration.

A worked example

7.59 Take a dealer with Clients A, B and C who obtains funding from a bank where collateral worth HK$100 can secure a funding limit of HK$50.

Client	Collateral value	Funding limit	Amount (*) due to dealer	Liquid (**) assets
A	800	400	400	400
B	300	150	400	300
	1,100	550	800	700
C	900	450	100	100
	2,000	1,000	900	800

(Above figures are stated in HK$'000)

Note: * Amount due can be taken to equal overdraft utilised by the dealer to finance that client buys.

** Liquid assets are calculated by taking the lower of amount due and collateral value on a client-by-client basis.

7.60 From the table, the positions of Clients A, B and C can be compared with reference to the amounts due to the dealer and the value of the collateral pledged respectively.

(a) The position of Client A is neutral as the total amount due is exactly 50% of the collateral value, which is equal to the funding limit imposed by the bank.

(b) The position of Client B is adverse from the dealer's point of view as the total amount due is 133% of the collateral value, which is much in excess of the funding limit. In other words, for Client B to be provided with a HK$400,000 margin loan facility, he should have provided HK$800,000 worth of collateral instead of HK$300,000.

(c) The position of Client C is favourable as the total amount due is only 11% of the value of the collateral pledged.

7.61 If no additional funding is provided by the dealer from his own resources in respect of the deficit in Client B's account, the excess funds derived from using the excess collateral provided by Client C will be utilised to make up for the shortfall of Client B's account and Client C's position may, depending on the financial position of the dealer and/or Client B, be jeopardised. However, should the dealer be required to compare the amount due with the collateral value on a client-by-client basis and to take the lower of the two, the dealer would then have to himself fund the deficit on Client B's account. This is clearly more satisfactory than the global basis under which the dealer can compare the aggregate of collateral worth (HK$2M) with the aggregate of amounts due (HK$900,000) and to include the full HK$900,000 as margin client receivables.

7.62 In addition, the dealer may buy shares worth HK$100,000 by utilising the spare overdraft facility of HK$100,000 (i.e. HK$1M less HK$900,000). Instead of having to set aside his own funds to buy shares, the dealer could use the excess margin provided by Client C. Such an action would put the client assets at risk as the dealer may be tempted to buy more risky assets or to carry a larger investment portfolio than he can otherwise afford. Even if the dealer limits the use of this overdraft to his margin clients, should Client C close his positions, thus reducing the available funding limit to HK$550,000 against the overdraft utilised of HK$800,000, the dealer would be required to fund a total shortfall of HK$250,000 which could result in a liquidity squeeze and undermine the soundness of the dealer's financial position. This HK$250,000 is higher than the HK$100,000 deficit previously identified as regard Client B, being HK$400,000 (amount due) less HK$300,000 (collateral worth).

7.63 The illustration clearly indicates the pitfalls of dealers utilising excess client collateral to fund their own in-house trading and of accounting for margin clients on a global basis. Such practice is currently very common in Hong Kong.

7.64 **Risk to the client - transfer of margin lending business:** Some dealers transfer their margin trading business to other companies in the group so that the dealers have the transferee companies as their clients while the margin clients become clients of the transferee companies. These companies provide the necessary financing for the margin clients and are hereafter referred to as "finance companies". Normally they are neither banks nor deposit-taking companies, although they must be registered as money lenders which apparently are not subject to any financial regulation. These finance companies settle as CAD clients or margin clients - alternatively, the dealer may increase/decrease the inter-company current account as the means to effect settlement. Some dealers allow the inter-company receivable to accumulate without requiring regular cash payments. This will pose a risk similar to that arising from the assignment of CAD receivables [para. 7.27].

7.65 Where client debts and collateral are transferred to a finance company, the clients become subject to additional risks as they fall outside the scope of the regulatory framework. For example, clients would not be able to lodge a claim against the compensation fund should the finance company fail. At the same time, the finance companies will be at liberty to group all collateral and settle with the securities dealer on a net basis. Hence margin clients placing excess collateral with the finance company may be exposed to the same type of risk illustrated in paras 7.59 to 7.62. On this premise, we consider that rules should be framed to protect margin clients who probably do not appreciate the implications of settling via a finance company, especially when the finance company and the dealer share the same office and employ the same staff. This was the sort of danger the SRC had in mind in drawing attention to the need to control margin trading [Appendix 1, Part A Note 10].

Proposed risk control procedures

7.66 **It is proposed** to impose the following requirements which seek to eliminate the risks described above. Whilst evidently they are designed to strengthen investor protection, in the long run, they should also be beneficial to the dealers who will be encouraged to ensure that debts are adequately secured and also be discouraged from gearing up their business on "borrowed" liquidity.

7.67 **Accounting basis and application of haircuts**: All calculations must be prepared strictly on a client-by-client basis. The individual client accounts should, at all times, be adequately secured; margin calls should be made promptly. An amount receivable is considered to be adequately secured when the market value of collateral obtained, after deducting haircuts as prescribed under the standard or the optional methods, exceeds the amount receivable. The application of haircuts to collateral is desirable as it should reinforce the prudent lending policy implicit in the existing industry practice. This will effectively tighten up controls over minimum margin levels and the types of security accepted as margin deposits. Dealers are not required to daily revalue client collateral provided that there are other controls to ensure adequate security of margin accounts. For example, some dealers may require a buffer in addition to the haircut deduction in which case they may only need to revalue client collateral in times of substantial market falls.

7.68 **Separate banking facilities**: Totally separate banking facilities should be maintained for margin client trading. More specifically, the banking arrangements should have the following provisions.

(a) A separate overdraft account should be opened with an authorised institution for pledging of margin client securities. The account should be designated as margin client account.

(b) The overdrawn balance on the margin client account should, at all times, be equal to or less than the aggregate of all the debit balances with margin clients.

7.69 This should substantially improve investor protection since a dealer can no longer utilise the margin client overdraft facility for in-house trading. Also, in the event that the dealer enters into liquidation or becomes insolvent, client securities pledged with the bank as the collateral for the overdraft facilities will not be grouped with the dealer's assets and be available to meet the claims of creditors.

7.70 This course of action is preferred to requiring dealers to treat margin client collateral as safe custody assets which is deemed to be excess to the dealer's need to cover his credit exposures. The reasons are:

(a) It is difficult to define what constitutes excess collateral. Any definition must be arbitrary.

(b) The prescription of a specific limit would amount to an interference with the commercial judgement of the intermediary and industry practice, which requires the use of variable levels of collateral depending on the dealer's assessment of the risk attaching to his clients, the credit attaching to varying securities and the common practice of sometimes leaving large amounts of securities with intermediaries in margin trading situations, where the client may occasionally want to make a substantial investment.

(c) Furthermore, the dealer will have to continuously monitor the level of collateral held for each margin client against his outstanding debt and to deposit or withdraw client scrip which may be both cumbersome and costly, especially with clients who are active traders.

7.71 **Transfer of margin clients:** In addition to assignment of CAD accounts receivable [paras. 7.27 to 7.29], a dealer may transfer margin clients to finance companies within a group, it is important to protect the dealer as well as the investor. This is achieved by ensuring that

(a) the transfer is made without recourse to the dealer;

(b) it is effected pursuant to a valid and legally enforceable agreement which must be approved by the Commission;

(c) the finance company is financially stable and properly supervised either by being an authorised institution (supervised by the Commissioner of Banking) or itself registered as a dealer with the Commission;

(d) the finance company must settle on a strictly CAD or a margin client basis; and

(e) the clients must be notified and consent to the transfer.

D. EXISTING RULES AND PROPOSED RULES COMPARED

7.72 As a conclusion, the major differences between the existing and the proposed rules are summarised here.

	Under existing rules	Under proposed rules
CAD client receivables (Not including free deliveries)	**Ageing**: to exclude 100% over 5 days old from liquid assets.	**Ageing**: to exclude 20% for debts over 5 days and up to 2 weeks old; 50% over 2 weeks and up to 1 calendar month old; 100% for debts over 1 calendar month old. **OR Price difference**: to deduct adverse price difference for amounts over 5 days and up to 1 calendar month old; 100% deduction for debts over 1 calendar month old.

Broker receivables	As above.	**Ageing**: to exclude 50% for debts over 2 weeks and up to 1 calendar month old; 100% deduction for debts over 1 calendar month old. **OR Price difference** as for CAD client receivables.
CAD client payables	No adjustment under existing rules.	**Price difference**: to add adverse price difference to amounts payable over 2 weeks old. **OR** **Ageing**: to add 20% to amounts payable over 2 weeks and up to 1 calendar month old; 50% to amounts over 1 and up to 2 calendar months old; and 100% to amounts over 2 months old (except in the case where a payable is outstanding for more than 5 days and market price has risen by 100% or more, then dealer must adopt the "price difference" method).
Margin client receivables	To allow the lower of amount due and market value of collateral	Methodology unchanged, except (i) application of haircut; (ii) separate banking facilities *Note that (ii) constitutes a risk control procedure only; it does not directly impact on a dealer's s65B position.*

(The above has not made any reference to CCASS. The provisions proposed in para. 7.52 are likely to be incorporated into the existing rules before the FRR become effective.)

CHAPTER 8

OTHER CAPITAL ADEQUACY CONSIDERATIONS

8.1 This chapter brings together a number of miscellaneous items which have not been dealt with fully or at all in other Chapters and are considered under the following headings:

(a) reporting entity

(b) other amounts receivable and assets

(c) ranking liabilities

(d) off-balance sheet risks

(e) sole proprietors - capital issues

(f) branches - financial regulation

(g) early warning system

A. REPORTING ENTITY

8.2 Consideration has to be given as to the manner in which FRR are to be applied to a reporting entity:

(a) if the dealer is a holding company, whether the ALC shall be calculated on the group level or on the company level;

(b) if the dealer is a sole proprietor or partnership, whether the ALC shall be calculated based only on the dealing business, or on all the businesses carried out under the same business name, or on the net worth of the sole proprietor or partnership; and

(c) if the dealer is a branch, whether the ALC shall be calculated based on the branch's activities alone or the company of which it is a branch, or both.

8.3 **It is proposed** for FRR purposes that the company level be used for dealing corporations. The financial position of a dealer's subsidiaries shall not affect compliance with FRR on the basis that investment in a subsidiary is not an allowable asset for the computation. If financial support has been promised by the dealer, this would be in the form of a guarantee which has been catered for under off-balance sheet risk [para. 8.24]. If a subsidiary runs into difficulties, the creditors do not have recourse to the holding company or other subsidiaries within the group.

8.4 In the case of sole proprietors and partnerships, **it is proposed** to base the ALC computation on the businesses carried out under the same business name. This proposal is based on the impracticality of splitting the sole proprietors/partnerships securities businesses and other businesses under the same business name. The proposal does not yield the same degree of comfort as a detailed examination of the net worth of a dealer (as used in the US) but the latter approach has been rejected on practical grounds. Instead, protection for the investors will be in the form of a bank guarantee or a solvency declaration [para. 8.37]. If the latter option is used, the sole proprietor will have to be monitored very closely given the reliance on his own declaration, unsupported as it is by third party assurances e.g. from an independent auditor. Close monitoring will involve more frequent visits and requests for information.

8.5 **It is proposed** to treat branches as part of an indivisible corporation and to base the ALC computation on the company to which the branch is affiliated and not the branch itself. Reliance will be placed on the home regulator to monitor the day to day operations of the company provided that there is a Memorandum of Understanding (MOU) between the Commission and the regulator. Where there is no MOU, a branch operation will be required to be supported by a performance bond or irrevocable guarantee.

B. OTHER AMOUNTS RECEIVABLE AND ASSETS

8.6 Chapter 7 considered cash dealing and margin lending risks associated with amounts receivable arising from these activities. We now turn to certain issues relating to amounts receivable and assets other than the above.

Treatment of assets not related to securities dealings

8.7 The Specification Notice currently limits liquid assets to those which are beneficially owned by the dealer and form part of his business of dealing in securities. This requirement excludes from approved and liquid assets all assets which do not arise from securities dealings, while it includes all liabilities irrespective of their nature in ranking liabilities. One of the major functions which it serves is to prevent the bringing in of risks which may arise from the undertaking of unregulated businesses by a diversified company. The SRC made a general observation that it thought this unduly punitive to firms which undertake other activities [Appendix 1, Part A Note 5]. However it did not develop the point further.

8.8 IOSCO has suggested that a capital adequacy requirement for securities firms should cover both securities and non-securities activities. However, the papers released by IOSCO to date have not elaborated on how this may be achieved. Thus neither IOSCO nor the SRC provide any useful guidance on how the concept might be translated into workable rules. The strict segregation of business activities in the US and certain other jurisdictions, particularly between securities and banking, has usually meant that they have not had a material problem.

8.9 One of the problems for a securities regulator in dealing with an entity which engages in multiple activities arises from the need to apply value judgements to other businesses where the nature of the risks and their evaluation are significantly different from those associated with securities business. We propose to take a pragmatic view in this study and to consider those assets which commonly form part of a dealer's balance sheet and do not currently qualify as liquid or approved assets with a view to lifting the restrictions where justification might be made. In making our judgements, we shall have regard to the basic need to protect the interests of the investor and the systemic stability of the securities market.

8.10 The practical problems are not as difficult as the earlier discussion of general principles might have suggested. The actual items in the accounts of dealers which are now excluded are few and are considered in the paragraphs which follow. We propose to review them using the criteria of ready realisability and the availability of security with acceptable market values. It would be a favourable factor if the debtors are subject to prudential supervision. It is necessary to ensure that the relaxation of the requirements will not be open to abuse. Depending on the nature and risks attached to them, some liquid assets are to be included in full, others will be subject to conditions, risk adjustments or both.

Current accounts not arising from securities dealings

8.11 In this section we refer to the current accounts maintained by securities dealers which represent amounts receivable, not arising from securities dealings, due to the company by the sole proprietor, partner or a group company. **It is proposed** to include as liquid assets only those balances that are secured in a manner such that the realisable value of the security is not less than the amount of the balance, and, in the case of a group company subject to its being an authorised institution or a registered dealer. In the case of the group company the inclusion is on the basis that the Commission has the comfort of knowing that the financial position of the debtor is adequately monitored. In this case the security can be held by way of lien and its realisable value would not be subject to any haircuts. **It is proposed** that dealers will have the right to set-off group company receivables and payables, not arising from securities dealings, as long as they relate to the same group company.

8.12 **It is also proposed** that in the case of all amounts receivable from group companies other than those referred in para. 8.11 above, such assets may be treated as liquid assets up to the value of collateral held. In respect of the collateral:

(a) it must fall within the categories of liquid assets as defined in Chapter 6;

(b) it must be subject to the appropriate haircuts; and

(c) the dealer must have an unconditional and legally enforceable right to realise such security if repayment is not made on demand.

Other amounts receivable

8.13 **It is proposed,** as in the UK, to recognise all amounts receivable (other than those already covered in paras. 8.11 and 8.12 which relate to amounts due from related parties) as liquid assets provided that they are secured on the same basis as stated in para. 8.12 above and that they are recoverable or receivable within 2 calendar months. Such a receivable will be acceptable subject to conditions which would include the provision of information relating to the debtor company being available whenever requested by the Commission.

8.14 In addition, **it is proposed** that accrued fees and commissions will be recognised as liquid assets provided there are legally binding agreements confirming the dealer's entitlement to such income, the accruals have been calculated in accordance with the methods specified in the agreements and they have not been outstanding for more than 2 weeks from the date payment falls due. Margin deposits paid to recognised stock markets (or their clearing houses) for the purpose of taking up short equity/debt position can be included in liquid assets.

8.15 **Other assets**

It is proposed to include the following items in liquid assets subject to the conditions stated:

(a) Cash at bank and in hand which may be held in HK Dollars or other currencies subject to the following restrictions:

(i) Cash at bank must be held with authorised institutions or approved overseas banks. At this stage, **it is proposed** to approve only those banks which are licensed or registered by the government or central bank of OECD countries.

(ii) Bank deposits must be payable within 6 months.

(iii) Balances held overseas in currencies subject to exchange controls may, on application, be included as cash at bank provided that remittance normally occurs within an acceptable period and provided the receipt of the requisite approval is largely a formality. The existing rules only permit the inclusion of money which is freely remittable to Hong Kong. Applications may be made to the Commission to waive or modify the FRR requirement under s55A of the SFCO in situations where the strict application of the freely remittable rule may be unduly burdensome to the dealer (foreign exchange risk is treated in para. 8.29).

(iv) Accrued bank interest can be included as a liquid asset except to the extent that it may not be receivable because of potential early withdrawal penalties.

(v) Trust account balances are eligible for inclusion if the corresponding liabilities have been reflected as ranking liabilities.

(b) Declared dividends receivable on ex-div equities and accrued interest on qualifying debt instruments held as house positions.

(c) Deposits paid to SEHK and transfer deed stamps for the purpose of the Stamp Duty Ordinance.

(d) Prepaid expenses relating to operating expenses due to be incurred within 3 months. As the benefits to dealers flow through fairly quickly, these assets may be considered sufficiently liquid.

(e) Prepaid tax and tax reserve certificates to the extent that the dealer can clearly demonstrate that the business has accumulated adequate taxable income to cover the amount included as liquid assets.

C. RANKING LIABILITIES (AND THEIR EXCEPTIONS)

8.16 Under the present regime, ranking liabilities primarily include on-balance sheet liabilities (including provisions for contingent liabilities to the extent that they have been provided for in accordance with generally accepted accounting principles), with the exclusion of approved subordinated loans, and in addition any liability which is secured on an approved asset under the Specification Notice. This provision will continue to be effective under the proposed regime subject to replacing "approved asset" with "liquid asset". The remainder of this section addresses the issue of subordinated loans whilst Part D reviews off-balance sheet risks.

8.17 **Subordinated loans:** The previous restrictions on the use of approved subordinated loans were relaxed in 1990. Previously, the lender had to be a member of a recognised stock market and a holding, associated or subsidiary company of the dealer. This prevented the use of many potential lenders of substance such as banks and was difficult to defend on any logical or equitable grounds. Now any party who is acceptable to the Commission can be the lender.

8.18 Approved subordinated loans normally have to meet the following criteria:

(a) the subordination must be documented in proper form and be legally enforceable;

(b) be for a term of at least 2 years;

(c) repayment is subject to prior Commission approval and the maintenance of the RLC after such payment;

(d) total subordinated loans must not be greater than a prescribed percentage of the aggregate of capital and reserves; and

(e) interest must be calculated at a reasonable rate and its payment should not be made if the payment gives rise to a breach of FRR or increases the extent of an existing breach.

D. OFF-BALANCE SHEET RISKS

8.19 Under the present rules, all off-balance sheet items giving rise to financial risk are not specifically recognised. The SRC recommended that off-balance sheet risks should be provided for in the FRR [Appendix 1, Part A Note 6]. Off balance-sheet items are recognised in the methodology of other financial centres.

8.20 Off-balance sheet items are analysed in this Review and, as far as possible, a methodology has been developed to assess the financial risk of each item based on the consideration of counterparty risk, remaining maturity of the obligation, any guarantees and qualifying collateral. Different weights are assigned to each off-balance sheet item according to its level of risk. The weights are then applied to the principal amounts of off-balance items converting them into liability equivalents that can be added to the dealer's other ranking liabilities. This methodology is simple and provides a logical and consistent basis for the measurement of ranking liabilities. It is also consistent with the approach adopted elsewhere. However, in some circumstances, it is necessary for the Commission to adopt a more pragmatic approach; appropriate treatment has to be considered on a case-by-case basis.

8.21 Off-balance sheet items can be basically categorised into three groups. They are:

(a) financial guarantee items;

(b) commitments; and

(c) interest rate and foreign exchange rate items.

8.22 **Financial guarantees** and equivalents (e.g. letters of credit) given by a dealer are irrevocable obligations which attract risks, as the dealer might be called upon to honour them at any time thus affecting his liquidity adversely. The issues considered will apply to guarantees given by third parties in respect of the obligations of a dealer in the common situation when there is recourse to the dealer. Some jurisdictions recognise the risk by imposing liability requirements on these items; others do not.

(a) Under the Japanese regulations, dealers are subject to additional customer risk haircuts which are equivalent to the amounts of the guarantees multiplied by customer risk weights ranging from 0% to 10%. Alternatively they may use a flat rate of 10% to avoid the burden of detailed analysis and record keeping which using multiple rates would entail.

(b) Under the UK regulations, a ranking liability provision is made on a basis to be determined by the regulator having regard to the nature of the guarantee, except where assets have been deposited with, or pledged to, third parties as part of an arrangement to obtain or retain a guarantee or other undertaking. These assets shall not be eligible to be included as assets under the capital adequacy requirement.

(c) Both Australia and Singapore have not addressed financial guarantees in their respective capital rules.

8.23 Under the current regime, financial guarantees are not recognised as ranking liabilities except to the extent they are regarded as liabilities under generally accepted accounting principles.

8.24 **It is proposed** as a general rule that the risk of the dealer being called upon to meet an obligation under the guarantee is recognised by providing 10% of the guarantee amount as a ranking liability. This will of course be in addition to outstanding claims under the guarantee which require to be treated as ranking liabilities separately. Special treatment is proposed for certain forms of guarantee which are common to dealers and are described in para. 8.25. A further exceptional case is where the guarantee is secured by a fixed charge over liquid assets: the full amount of the pledged assets will be deducted from liquid assets and no provision made for the guarantee, on the principle that the assets secured are immobilised by the guarantee and are no longer liquid. As there are many variations in the forms of guarantees which cannot be covered by comprehensive rules, the Commission will be prepared to consider any special individual cases in applying the 10% rule.

8.25 The special cases referred to in para. 8.24 are discussed below.

(a) A SEHK member may make his $2M contribution to the SEHK fidelity fund in the form of a guarantee. The guarantee will only be drawn down upon the financial failure of the member himself (i.e. this does not form part of a pooling system where the failures of other brokers will also result in a draw down). As all his liabilities are already reflected in his ranking liabilities, it would be unduly penal to require a further cushion to safeguard against his own failure. However, if security for the guarantee is given in the form of a fixed charge on liquid assets, **it is proposed** to exclude these pledged assets from liquid assets as stated in para. 8.24 above.

(b) The same rationale as stated under (a) should apply to guarantees given to release shares held in the CCASS system [para. 7.52]. To recognise the guarantee as a liability would constitute double counting, as the amount payable to the HKSCC will have already been included in ranking liabilities.

Where the guarantees are for the purpose of making a contribution to the SEHK fidelity fund or for the release of shares under CCASS, dealers will not be required to inform the Commission of the arrangements. No ranking liability is to be recognised.

(c) Contributions to the HKSCC guarantee fund by way of a guarantee give rise to different concerns. The fund is different in nature from the SEHK fidelity fund. It is a pooling system under which the financial failures of fellow-HKSCC members may result in a draw down of contributions. Furthermore, there is no cap of $2M per dealer as in the case of the fidelity fund. Dealers are to be compensated in full for broker-to-broker trades which are settled on the CNS basis.

However, given the tight risk controls effected by the HKSCC and the fact that any losses will first be met by an insurance cover of $50M, **it is proposed** to recognise as a ranking liability only 10% of any guarantees given. The Commission will keep the situation under review.

8.26 **Commitments** generally represent undertakings to assume financial risks in the future. It is important to note that it is the nature of the obligation which matters rather than the terminology used. Specific examples of commitments include repurchase agreements and reverse repurchase agreements, which have been dealt with in paras. 7.39 to 7.44, and underwriting facilities.

8.27 **Underwriting arrangements** entered into by a dealer can give rise to a liability to take up unplaced shares or securities. In general most of the exposures taken on by the dealers will be relatively short-lived. The stringent disclosure requirements, sub-underwriting arrangements and protective underwriting clauses tend to reduce the degree of risk arising from particular holdings.

8.28 The UK rules have a complex structure of differential risk weights which would be unduly burdensome to apply in Hong Kong. We propose to use a simplified version of the Japanese model which is itself simpler than the UK structure. **It is proposed** that risks relating to underwriting commitments are provided for by the inclusion of 10% of net underwriting commitments as a ranking liability. As a further relief the percentage will be reduced to one percent if there are pari passu issues already trading in the market and the market price is higher than the subscription price.

8.29 The last group of off-balance sheet items are **interest rate** and **foreign exchange rate** items. The most common off-balance sheet exposure faced by all dealers in Hong Kong is **foreign currency risk** arising from holding of monetary assets and liabilities denominated in non-reporting currency. To provide for a cushion for the movement of foreign currencies, **it is proposed** that the net position in each currency (including off-balance sheet transactions like futures contracts) be multiplied by a risk weight of 5% and added to the ranking liabilities of the dealer. This method has been adopted from the UK and Japanese models and has the merit of not being too difficult to quantify.

8.30 Other instruments that would create exposures include **interest rate swaps** and **exchange rate swaps**. The swap arrangement usually does not involve any exchange of principal amounts at the inception. Differences of either interest or exchange rate will be settled either periodically or at the end of the swap. It is recognised that the dealer will sustain loss if the counterparty defaults. The loss is limited to the position difference between the prevailing market rate and the original contract rate. The Japanese rules calculate the risk as contract amount x risk weight in accordance with original maturity x customer risk weight which is 10% for most corporations. The Japanese rule has the merit that it links counterparty risk and maturity risk.

It is proposed that the liability equivalent added to ranking liabilities will be the amount of contract x 10% x the following risk weights:

Original maturity	Exchange rate contracts	Interest rate contracts
Under 1 year	2.0%	0.5%
1 year and less than 2 years	5.0%	1.0%
For each additional year	3.0%	1.0%

8.31 When a dealer has given a commitment under a **note issuance facility** to purchase securities at the request of the borrower or issuer, the following weighting will apply in calculating the corresponding ranking liability.

Original termination date of facility	Weighting to be applied to commitment value
Less than 1 year	1%
1-5 years	2.5%
More than 5 years	5%

8.32 The risks related to options are discussed in Chapter 6 [paras. 6.30 to 6.33].

8.33 The effect of the proposals in respect of off-balance sheet risks were tested on 5 dealers [Appendix 6], to ensure that the rules were not too onerous. The result was that one dealer would not be able to comply with the RLC because of his positions in exchange and interest rate contracts. It was considered that the proposed rules would properly recognise his risk.

E. SOLE PROPRIETORS - CAPITAL ISSUES

8.34 The treatment of amounts receivable from sole proprietors has been considered in paras. 7.35 and 8.11. The risks associated with the liabilities of sole proprietors pose significant regulatory problems. The problems contemplated here relate to the risks arising from the diversity of businesses undertaken by sole proprietors. The Commission is not authorised to investigate the overall financial position of the sole proprietor; its supervisory function is generally confined to the business entity which has been registered with it. The restrictions on its investigatory powers may materially affect the Commission's ability to deal with an actual or potential high risk situation. For example, the dealing business may reflect a substantial surplus when the sole proprietor, in his personal capacity, is heavily in debt.

8.35 Overseas regulators have adopted a variety of approaches to sole proprietors:

(a) Japan and Singapore categorically forbid sole proprietors from obtaining a dealer's licence.

(b) The UK capital adequacy rules effectively exclude all assets and liabilities which have not arisen in the course of the firm's business activities. In addition, sole proprietors are required to make a solvency declaration annually, taking into account all assets and liabilities as at the date of declaration. The declaration is not supported by an audit confirmation.

(c) Australia also requires a solvency declaration. Once again this is not supported by an audit confirmation.

(d) In the US, the excess of liabilities which have not been incurred in the course of business as a broker or dealer over assets not used in the business has to be treated as a ranking liability. In addition, such a calculation is subject to review by the auditors.

8.36 The various means of monitoring sole proprietors have been considered and **it is proposed** to make the following options available to each sole proprietor:

(a) The sole proprietor can opt for **incorporation**. The possibility of imposing incorporation has been considered for Hong Kong. The Compliance Division of the SEHK encourages its members to incorporate. It is attractive as it requires a clear segregation of assets and liabilities relating to the businesses supervised and protects the interests of the investor as well as the sole proprietor. However, it is not proposed to make it mandatory as it is difficult to see how incorporation can be insisted upon for some 300 unincorporated members (and a smaller number of non-SEHK members) as a condition for continuing their business given the historical background in Hong Kong.

(b) The sole proprietor can opt to provide a **bank guarantee** whereby in the event of the business folding up, the Commission could call on funds under the guarantee to satisfy claims arising from the securities business. This would be in addition to the protection already provided by the various compensation and fidelity funds. For the bank guarantee to be acceptable to the Commission, the bank should not be able to have recourse to the assets of the securities firm, otherwise it would simply amount to substituting one liability for another. (However, provided the collateral is not also included in the dealers' liquid assets in the liquidity computation, this might be acceptable.) The principal guaranteed would have to be at least equal to RLC revised on an annual basis. In addition the guarantee must only be available **either** to satisfy the liabilities relating to the securities business **or** to satisfy these liabilities first, any surplus then being available to satisfy other liabilities of the proprietor.

(c) The sole proprietor can opt to produce a **solvency declaration**. This approach is more practical in Hong Kong than the US approach of requiring a detailed computation of the overall financial position of each proprietor. The major difficulty in Hong Kong is that dealers may carry out activities which do not require the maintenance of proper books and records and which may not be supervised by other regulators. Although the value of a solvency declaration may be limited without an independent check to verify the declaration, it will help to focus the attention of sole proprietors on the possible impact which their other activities have on the dealing business. The solvency declaration can be made more effective if it is supplemented by requiring sole proprietors to provide details of other businesses such as their nature and the capitalisation. Such information is indeed furnished by an applicant for registration. To strengthen the effectiveness of the solvency declaration, **it is proposed** that any subsequent changes e.g. cessation or commencement of other businesses, should be notified to the Commission promptly so that the overall position of the proprietor can be monitored. Attention will be focused on high risk businesses, e.g. forex dealings. The existing requirements of s63(1)(b), SO will facilitate reporting in this regard.

If a sole proprietor chooses the solvency declaration option, he must be prepared to be monitored more closely by the Exchange of which he is a member, and by the Commission, with inspections on a more frequent basis, and with more regular returns and requests for information.

8.37 In summary, **it is proposed** that if a sole proprietor is not prepared to choose the incorporation option, he must either provide the Commission with an acceptable bank guarantee or make an annual solvency declaration. The solvency declaration option will involve closer supervision. Similar requirements will be adopted for partnerships which include individual partners. In addition, notification of changes of other businesses must be made by sole proprietors or partners on a timely basis.

F. BRANCHES - FINANCIAL REGULATION

8.38 Branches of overseas companies are uncommon in Hong Kong's financial services industry although they are more common in other countries. Overseas practice varies considerably between the UK, US and Japan.

(a) **UK**: Regulation of branches is based on the concept of "home country" control supported by MOUs to facilitate exchange of information. In effect the home regulators are responsible for monitoring the financial position of the company including branches. Wherever possible, the UK regulator seeks to obtain regular returns relating to the whole company (which is a securities firm in its own capacity) from the home regulator.

(b) **Japan**: A foreign securities firm which is to distribute securities in Japan must first set up operations as a representative office and satisfy the Ministry of Finance as to its competence; few other requirements are made on these offices. After a period of six months to a year they can establish a "branch". It is however important to note that up until last year foreign companies could not become incorporated in Japan. The status of a branch is not clearly spelt out, although it seems to have some of the attributes of a separate legal entity. These branches are required to have issued share capital and reserves in excess of Yen200M (HK dollars equivalent of some $10M) for each individual branch. Issued share capital is defined as working capital and there appears to be no strict monitoring of the position once the branch is established. In addition, for each branch located in Japan, the firm must deposit a performance bond equivalent to 10% of the minimum amount of capital.

[There are other classifications of foreign securities firms in Japan which are not included in this summary.]

(c) US: There is no detailed coverage of this topic in the US rules. Currently, the SEC treats a branch as a separate entity which must comply with the same capital requirements as an incorporated broker. It has recently solicited comment on a conceptual approach to the regulation of foreign brokers/dealers that would recognise comparable foreign broker/dealer regulation. The results of the consultation are not available.

8.39 The Commission has combined the UK and the Japanese approaches in drafting proposals. A two-tier approach is proposed for Hong Kong whereby both the overseas parent company and the local branch will be reviewed.

8.40 **It is proposed** to adopt the "home country" regulatory principle. Now that the legal groundwork for entering into MOUs with overseas regulators has been established, the Commission is likely to sign MOUs with regulators in the more sophisticated jurisdictions which are likely to be the home countries for branches which might be established in Hong Kong. The Commission will receive information and returns relating to the home company incorporating the branch on a regular basis through the home regulator who will be relied on to supervise the company effectively. The branch will have to maintain full records as required by the SO, provide information on the activities of the branch on request and comply with all financial regulatory requirements except FRR.

8.41 Where there is no MOU with the home regulator, a branch will, in addition to the requirements in para. 8.40 above, be required to maintain a performance bond or an irrevocable guarantee of an amount not less than the RLC, which is approved by the Commission. In addition the overseas company will be required to comply with Hong Kong's FRR as an entity and supply quarterly returns.

G. EARLY WARNING SYSTEM

8.42 Early warning systems are an important element of most systems of financial regulation but are conspicuous by their absence in Hong Kong; the SRC recommended introducing a system of early notification for falling capital levels [Appendix 1, Part A Note 7]. Given the volatility of markets this would be a useful hazard warning.

8.43 Matters triggering off reporting requirements in overseas jurisdictions vary. Generally, reporting is required when surpluses over the RLC fall by prescribed percentages; when significant losses are made; or when the level of indebtedness is high in relation to capital.

8.44 **It is proposed** to adopt the following early warning system whereby securities dealers are to notify the Commission when

(a) the ALC falls below 120% of the RLC; or

(b) the ALC has fallen by 50% when compared with the last reported figure.

CHAPTER 9

PROPOSED LIQUID CAPITAL REQUIREMENT FOR SECURITIES DEALERS

A. INTRODUCTION

9.1 The proposals for securities dealers have had to be designed to cover the whole spectrum of securities dealers in Hong Kong. Since they have to cater for international securities houses dealing in large volumes in a wide range of markets and using sophisticated hedging techniques, the rules are necessarily lengthy and complex. Notwithstanding this, it is envisaged that the bulk of the rules will not apply to the majority of dealers. Most dealers should find that the proposals which apply to them are not significantly different from the existing s65B rules.

9.2 The first part of this chapter explains the components of the proposed Liquid Capital Requirement and illustrates the method by which RLC is calculated. The illustration is a rearrangement of the detailed proforma set out in Part A of Appendix 4. Appendix 4 also contains 2 worked examples - a simple computation likely to be prepared by the majority of dealers and a second, more complicated computation (incorporating the items in the third group of assets forming part of the illustration) likely to be prepared by a small number of international dealers who enter into the types of transactions which necessitate the more complex rules relating to options, hedging etc.

9.3 The second part of this chapter consists of a comparison between the existing and the proposed requirements for securities dealers. It is presented in summary form.

B. METHOD OF CALCULATION

9.4 A dealer's actual liquid capital (ALC) is calculated by subtracting ranking liabilities from qualifying liquid assets. Qualifying **liquid assets** (LA) can be divided into three groups. The first group ("Group I" in the illustration) consists of assets which will be valued on the same basis for all dealers. The second group ("Group II") consists of those assets for which a choice of valuation is offered - a simple valuation basis derived from basic records and a more complex valuation basis requiring more detailed records and more frequent calculations. All dealers are likely to have some assets falling within the first two groups. The third group ("Group III") of assets consists of exceptional items likely to be held by only a small group of brokers who carry out transactions such as hedges. **Ranking liabilities** (RL) involve less complex arrangements. Normally, there is a choice of treatment for only one item, viz. cash client payables.

ILLUSTRATION - CALCULATION OF ACTUAL AND REQUIRED LIQUID CAPITAL

Liquid assets (LA)

		Para. ref.
Group I		
Margin client receivables		9.12
Market receivables		9.18
Other receivables & income accrued		9.16
Other receivables not arising in ordinary course		9.19
Cash & bank		9.20
Other assets		
- stamps	)	
- prepaid tax & tax reserve certificate	)	9.21
- prepayments	)	
- accrued interest & declared dividends	)	
House Positions		
- warrants	)	
- OTC stocks	)	
- unit trusts & mutual funds	)	9.10
- Gold bullion & paper gold	)	
- Amounts re. securities pending listings	)	
Group II		
Cash client/broker receivables	)	
	)	
Choice (a) ageing	)	9.11
	)	
or (b) price difference	)	
Equity positions	)	
	)	
Choice (a) blanket rates	)	9.10
	)	
or (b) prime index)	)	
other)	)	
Debt instruments	)	
	)	
Choice (a) blanket rates) Govt	)	
) Others	)	
	)	9.10
or (b) categories - A	)	
- B	)	
- C	)	

Liquid assets for most brokers	X

		Para. ref.
Group III		
Exceptional liquid asset adjustments		
Concentrations		9.10
Hedgers		9.10
Options		9.25
Total liquid assets	X	
Less ranking liabilities (RL)		
Cash client payables		) 9.23
Choice (a) price difference		)
or (b) ageing		)
(No adjustment required if dealer has stock or has bought in)		)
All other ranking liabilities		) 9.22 & 9.25
REQUIRED LIQUID CAPITAL		
Greater of: - Corporations $3M / Sole props $0.5M **or** - 5% of liabilities (historic)	X	) 9.6
EXCESS/DEFICIENCY IN LIQUID CAPITAL	X	

A number of choices are available to the dealer. For monitoring purposes, a dealer will be required to include in any financial return a statement as to how particular assets or liabilities have been treated.

C. EXISTING RULES AND PROPOSED RULES COMPARED

Replacement of the net capital and liquidity margin computations by one liquid capital computation

9.5 The existing rules require a dealer to maintain a net capital of not less than HK$5M (for a corporation) or HK$1M (for an individual other than a corporation) **and** a liquidity margin of not less than 10% of the minimum net capital requirement.

9.6 The liquid capital requirement is founded on the concept that the liquid assets possessed by the dealer should be sufficient to meet all the outstanding liabilities with a safe margin to cover contingencies [para. 5.27]. **It is proposed** that each dealer will have to maintain at all times an ALC equal or greater than the RLC; the RLC is itself equal to the greater of:

(a) HK$3M (for corporations) or HK$500,000 for sole proprietors [para. 5.19]; and

(b) 5% of liabilities [para. 5.12].

9.7 At present introducing brokers are required to comply with the s65B rules. The **proposed rules** fix the RLC at the greater of 5% of liabilities and HK$500,000 [para. 5.20] where a dealer has proved to the satisfaction of the Commission that he operates in the capacity as an introducing broker (Appendix 7).

9.8 The other rules, where applicable, are identical for introducing brokers.

Deductions for house positions and accounts receivable

9.9 Under the **proposed rules** more realistic haircuts and deductions are applied to house positions and accounts receivable, some assets are accepted as liquid assets which have previously been excluded (such as certain prepayments and paper gold) and haircuts are introduced for some assets for the first time (for example off-balance sheet exposures and concentrated positions).

9.10 **House positions** [Chapter 6]

	Under existing rules	**Under proposed rules**
Equities	% deductions (haircuts)	
(a) Hong Kong equities		
(i) HSI constituent stocks	40%	20%(*)
(ii) Other listed stocks	40%	25%
(b) Overseas listed equities on recognised stock markets of OECD countries		
(i) Constituent stocks of S&P 500, FTSE-100, Nikkei 225	40%	15%(*)
(ii) Others	40%	20%
(c) Overseas listed equities on other recognised stock markets	40%	30%
(d) Equities traded on NASDAQ NMS (US), USM (UK) or registered with Nihon Tento Securities (Japan)	100%	30%
(e) Other equity securities	100%	100%

* There is an option to apply the higher rate in each category as a blanket rate on all stocks in the category.

	Under existing rules	Under proposed rules
Equities % deductions (haircuts)		
(a) Warrants listed in HK or recognised stock markets of OECD countries	40%	40%
(b) Other warrants	40%	100%
Debt instruments		
(a) Qualifying debt instruments other than "special" debt instruments.		
Choice (i) Qualifying government securities	20%	10%
Qualifying debt instruments	20%	20%
or (ii) to classify both qualifying government issues and qualifying debt instruments by categories A, B and C and apply different haircuts based on remaining term to maturity		
Category A	20%	2-7%
Category B	20%	4-10%
Category C	20%	10-20%
(b) "Special" debt instruments	Not specified	Various [see Part A of Appendix 4]
(c) Non-qualifying debt instruments	100%	100%
Others		
(a) Units in unit trusts and shares in mutual funds authorised under SO/subject to acceptable regulatory supervision (on application)		
(i) warrants and leveraged funds	40%	40%
(ii) others	40%	20%
(b) Payments made towards the purchase of securities pending listing	NIL	10%-20% Depending on markets
(c) Paper gold & gold bullion	NIL	10%

Others		Under existing rules	Under proposed rules
		% deductions (haircuts)	
(d)	Short positions	NIL	To add haircut as for long positions to ranking liabilities
(e)	Concentrated positions	NIL	150%-200% of haircuts
(f)	Allowances for hedging	NIL	Depending on circumstances

9.11 **CAD client receivables** [Chapter 7]

	Overdue period	Under existing rules	Under proposed rules
		% deductions	
(a)	Up to 5 bank trading days old from settlement date	NIL	NIL
(b)	Over 5 bank trading days and up to 2 weeks old	100%	20%(*)
(c)	Over 2 weeks and up to 1 calendar month old	100%	50%(*)
(d)	Over 1 calendar month old	100%	100%

(*) As an alternative basis the price difference may be taken as the counterparty risk provided there is a demonstrable legal right vested in the dealer to dispose of the underlying securities.

9.12 **Margin clients** [Chapter 7, Part C] - Currently margin client receivables are acceptable as liquid assets up to the value of collateral held. **It is proposed** to line this up with the general treatment of similar items and with the Stock Exchange Rules and to limit the liquid assets to the discounted value of collateral held applying the usual haircuts. If the collateral does not fall within the description of liquid assets, the margin client receivables will be totally excluded.

9.13 At present there is no reference in the Rules to the amount which a dealer may borrow using margin client securities as collateral. **It is proposed** that dealers will be required to arrange for separate bank facilities to fund tradings of margin clients which must not exceed the aggregate of all the debit balances with margin clients.

Miscellaneous provisions in respect of amounts receivable arising from dealings in securities

9.14 **Assignment of debts** - Currently there are no restrictions on the assigning of client receivables. To better monitor such arrangements **it is proposed** that dealers will continue to be able to assign CAD receivables [paras. 7.27 to 7.29], subject to:

(a) the person to whom the debts are assigned being an "authorised institution" or another registered dealer;

(b) the assignment should be effected pursuant to a valid and legally enforceable agreement;

(c) the assignment should be made without recourse to the dealer;

(d) the assignee will be settling on a strictly CAD or a margin client basis; and

(e) the clients must be notified and consent to the assignment.

9.15 **Intercompany receivables** - Currently, intercompany receivables are not acceptable as liquid assets except to the extent they are settled on a CAD or a margin client basis. **It is proposed** that intercompany receivables which arise from an assignment of CAD receivables or a transfer of margin clients, be recognised as liquid assets provided the group company is either an authorised institution or a registered dealer. In addition there must not be any recourse to the dealer. Where a dealer has bought securities as an agent for a group company, the intercompany receivable may be treated as a liquid asset provided it is settled on a strictly CAD or a margin client basis [paras. 7.36 to 7.38].

9.16 **Other accounts receivable arising from dealing in securities** - These include, inter alia, fees, commissions and rebates receivable. At present these amounts do not qualify as liquid assets. Under the **proposed rules**, they are eligible to be included as liquid assets provided that the amounts are calculated in accordance with a legally binding agreement and have not been outstanding for more than 2 weeks [paras. 8.13 and 8.14].

9.17 **Sole proprietors** - **It is proposed** that balances arising from securities dealing by sole proprietors or partners are to be separated from their capital or current accounts. When the firm has in his possession or control the underlying securities, and can dispose of them, the balances will be eligible to be included as liquid assets up to the discounted value of the collateral held. If no such securities are held, the balances will not be eligible to be included as liquid assets after 5 bank trading days from settlement date [para. 7.35]. A sole proprietor should be able to demonstrate that unencumbered securities are held at all times.

9.18 **Broker receivables** - At present broker receivables are treated in the same way as CAD client receivables. **It is proposed** to treat them on a less stringent ageing basis and dealers will also have the **option** to adopt the price difference method for balances which are over 2 weeks and up to 1 calendar month old if they prefer to do so [paras. 7.24 to 7.26].

	Overdue period	Under existing rules	Under proposed rules
(a)	Up to 5 bank trading days old from settlement date	NIL	NIL
(b)	Over 5 bank trading days and up to 2 weeks old	100%	NIL
(c)	Over 2 weeks and up to 1 calendar month old	100%	50%
(d)	Over 1 calendar month old	100%	100%

Other amounts receivable and assets not arising from dealing in securities

9.19 Currently these amounts receivable do not qualify as liquid assets. **It is proposed** that amounts receivable not arising from dealing in securities qualify as liquid assets, [paras. 8.11 to 8.14] provided that they are:

(a) current accounts with sole proprietors, partners or group companies which are adequately secured provided that in the case of a group company it is an authorised institution or a registered dealer;

(b) amounts receivable which are adequately secured, the collateral is subject to haircuts and a legally enforceable right to realise the security in full can be exercised if repayment is not made on demand. Other than in the case of group companies, the amount must be receivable or recoverable within 2 calendar months.

9.20 **Cash at bank** - Accrued bank interest does not qualify as a liquid asset at the moment. **It is proposed** that it is acceptable as a liquid asset except to the extent that it might not be receivable because of potential early withdrawal penalties [para. 8.15].

9.21 **Prepaid expenses and tax, tax reserve certificates and stamps** - The existing rule does not allow prepayments as liquid assets. The **proposed rules** allow them as liquid assets if they relate to operating expenses. Currently the full amount of tax reserve certificates qualify as liquid assets. It is proposed that they will be allowed only if the dealer has a sufficiently large taxable profit accrued to cover the certificates at the date of computation. The same principle will apply to prepaid tax. Under the existing rules contract note stamps are allowed as liquid assets whereas under the proposed rules deposits paid to SEHK and transfer deed stamps for the purpose of the Stamp Duty Ordinance will be treated as liquid assets. In addition, accrued interest on qualifying debt instruments and declared dividends on ex-div equities held as house positions will also be included in liquid assets.

Ranking liabilities [para. 8.16]

9.22 Few changes are proposed in respect of the computation of ranking liabilities except for the recognition of risks arising from outstanding clients payable [para. 9.23], recognition of potential losses arising from stock lending and borrowing [para. 9.24] and off-balance sheet risk adjustments [para. 9.25].

9.23 **CAD clients payable** - In the existing rules accounts payable are included as ranking liabilities. The **proposed rules** recommend an additional amount to be added to ranking liabilities to recognise market and counterparty risk. The additional amount should be based on the market value, unless dealers do not have a system in place to daily mark to market in which case they can choose an "ageing" method, which requires the following percentages to be used to calculate the additional amount to be included as ranking liabilities [paras. 7.30 to 7.34]:

	Outstanding periods	Percentages
(a)	Up to 2 weeks old from settlement date	0%
(b)	Over 2 weeks and up to 1 calendar month old	20%
(c)	Over 1 and up to 2 calendar months old	50%
(d)	Over 2 calendar months old	100%

9.24 **Stock borrowing and lending agreements (SBLs) and their implications** - No fundamental change is **proposed** in respect of the existing requirements for SBLs although the principles will now apply to all stock lending and borrowing arrangements whether they are executed in Hong Kong or elsewhere [paras. 6.45 to 6.46].

9.25 **Risk requirements for off-balance sheet exposures** - Under the existing rules off-balance sheet risk is not specifically recognised. The appropriate treatment has been considered and the following table represents the **proposals**:

		Under existing rules	**Under proposed rules**
(a)	Financial guarantees [paras. 8.22 to 8.25]	NIL	10% of the amount of the guarantee or submission to the Commission (except in the specific cases noted in para. 8.25)
(b)	(Sub)Underwriting commitments [paras. 8.27 and 8.28]	NIL	Haircut of 1-10%
(c)	Foreign exchange exposures [para. 8.29]	NIL	5% on net absolute position
(d)	Exchange rate contracts [para. 8.30]	NIL	Haircut of 0.2% up
(e)	Interest rate contracts [para. 8.30]	NIL	Haircut of 0.05% up
(f)	Note issuance facilities [para. 8.31]	NIL	Haircut of 1-5%
(g)	Long/Short positions in option contracts [paras. 6.30 to 6.33]	NIL	Market value deduct/add margin and/or haircut
(h)	Repurchase & reverse repurchase agreements (including gensakis) [paras. 7.39 to 7.44]	NIL	Depending on circumstances; submission to Commission

CHAPTER 10

FINANCIAL RESOURCES RULES FOR FUTURES DEALERS

A. INTRODUCTION

10.1 As at 31 August 1991 there were 90 registered futures dealers of whom 75 were members of the HKFE. The CTO does not impose FRR on futures dealers: members of the HKFE follow the rules of the HKFE; others either have to comply with the rules imposed by the specified exchanges [as defined in subpara. 1.16(b)] of which they are members or do not have to follow any rules if they are not members of those exchanges ["overseas futures subsidiaries" as defined in subpara. 1.16(c)]. On the basis that these overseas futures subsidiaries will not have any trading or clearing rights on an exchange, their operation is effectively limited to that of introducing brokers.

10.2 Harmonisation of capital adequacy requirements among futures exchanges is a long way off and at present we do not have assurances that the rules of specified exchanges are always adequate or are effectively administered. It is the responsibility of the Commission to ensure that all futures dealers in Hong Kong are governed by FRR to provide comfort as to their financial strength. The proposals are designed to achieve this objective and reflect the recommendation of the SRC in para. 10.43 of its Report.

10.3 The risk profile of a futures dealer differs from that of his securities counterpart. The equivalent of the liquid capital requirement for securities dealers is more important than considerations of position and counterparty risk. This is because of the impact of margin requirements, centralised clearing and guarantee arrangements and the setting of position limits.

10.4 The manner in which position risk and counterparty risk are controlled and minimised in the regulation of futures dealers may be analysed as follows:

(a) Position risk: Dealers are required to provide margin cover in respect of their open positions. The limits are set by exchanges or clearing houses which are able to adjust these quickly and sufficiently to take account of market volatility and other considerations. If, in designing FRR, these margins are excluded from approved or admissible assets, no further adjustments such as discounts to house positions are likely to be necessary.

(b) Counterparty risk - broker/client: Dealers in turn take margin deposits from clients, which should not be less than the margin required by the exchange or clearing house. The rigorous observance of this practice minimises the risk of client defaults.

(c) Counterparty risk - broker/broker: In all well-regulated markets, the central clearing and guarantee system is designed to protect a dealer against losses caused by a defaulting broker; it should also reduce the likelihood of the market experiencing a domino effect initiated by the collapse of an individual participant. Besides providing margin cover as described in subpara. (a) above, dealers are required to contribute to a central guarantee fund. They are also required to restrict trading within position limits.

10.5 A liquid capital requirement therefore becomes more important than measures of position and counterparty risks for futures dealers. The exposures which need to be covered by the requirement are various:

(a) The clearing house may require immediate settlement of any floating loss on open positions.

(b) Clients making a gain may want immediate cash settlement.

(c) Clients making a loss may not be able to meet the margin calls which may involve amounts greatly exceeding the margin deposits previously made.

(d) Dealers also have to fund shortfalls arising from their own open positions.

10.6 Whilst most of the controls described above were in place in Hong Kong in October 1987, they had proved insufficient to cope with the sudden collapse of the market. Weaknesses then identified were subsequently rectified by a general tightening of controls - financial and otherwise.

10.7 We consider that the HKFE rules provide a good local starting point for the drafting of our rules.

(a) The HKFE rules as amended following the October 1987 crash have been used since and found to be effective.

(b) The rules have already been approved by the Commission as providing a fair basis for regulating members of the Exchange.

(c) Unless they are proved to be unsatisfactory, the concept of operating a level playing field provides a good reason to consider extending the HKFE rules to futures dealers who are not members of the Exchange.

(d) Equally, the argument for level playing fields suggests that the rules which we draft should not be unduly onerous when compared with those in other well-regulated markets. This has been borne in mind in considering the HKFE rules.

(e) The HKFE rules cover markets with different risks, financial futures and commodities. Any rules devised by the Commission will also have to cover markets with a wide range of risks.

10.8 In the first part of the Chapter [paras. 10.10 to 10.68] which broadly follows the order of the review of FRR for securities dealers, items (a) and (b) and (d) below are developed on the lines of the liquid capital requirement for securities dealers and item (c) corresponds to position and counterparty risk.

(a) A summary of the current HKFE rules;

The rules of the Hong Kong Futures Exchange Clearing Corporation Limited (the "HKCC") are not considered separately as it only requires its members to satisfy the capital adequacy requirements prescribed by the Exchange.

(b) An assessment of the suitability of each rule for regulating futures dealers in general, with regard to:

(i) feedback from the marketplace which reflects commercial considerations and prudence;

(ii) FRR proposed for the regulation of securities dealers (the general principles proposed in Chapters 4 and 5 may apply to futures as well as securities dealers);

(iii) comparisons with overseas regimes;

(c) A review of margins, position limits and reserve fund which have been shown earlier to cover the areas of position and counterparty risk as considered for securities dealers; and

(d) Proposed FRR to be incorporated in the overall framework.

10.9 The second part of the Chapter [paras. 10.69 to 10.78] considers the extension of the above rules to non-HKFE members. A lower liquid capital requirement is then designed for introducing brokers who do not handle client funds or assets [paras. 11.5 to 11.6]. The proposed requirement has then been tested on the 15 non-HKFE members registered as at August 1991.

The HKFE FRR: the overall framework

10.10 The HKFE FRR comprise the following components:

(a) minimum paid up share capital;

(b) a liquid capital requirement called the Adjusted Net Admissible Assets ("ANAA") of no less than the greater of 50% of the minimum capital requirement, which constitutes a floor comparable with that for securities dealers, and 4% of the amounts required to be segregated for client accounts; and

ANAA is defined in detail in Schedule I to the HKFE rules and is generally equivalent to current assets less liabilities (including long term liabilities) after deducting margin. For details, see paras. 10.51 to 10.58.

(c) debt-equity ratio of no higher than 2:1.

Debt is defined as long term liabilities in accordance with generally accepted accounting principles, except for amounts due under approved subordinated loans. Equity is defined as the shareholders' funds of a company less any unsecured advances to shareholders plus amounts received under an approved subordinated loan.

10.11 All three requirements existed before the October crash in 1987 and have remained unchanged except for the minimum paid up share capital requirement (and thus indirectly the floor requirement of the ANAA computation which is set at 50% of the minimum share capital requirement) which was substantially increased in early 1989 when the HKCC first came into being. There has however been no change to the basis of the computation.

10.12 The HKFE members have little difficulty in complying with these rules; non-compliance tends to be brought about by clerical error and does not reflect a deficiency. In practice, reliance is effectively placed by the Exchange, the HKCC and the dealers on the ANAA test supported by the close supervision of margins [paras. 10.63 to 10.65] and position limits [para. 10.67]; the minimum capital test [subpara. 10.10(a)] and the debt-equity ratio test [subpara. 10.10(c)] seem to be of limited value.

B. MINIMUM PAID UP SHARE CAPITAL

10.13 HKFE members are required to maintain different levels of minimum paid up share capital depending on the class of their membership. The paid up share capital was apparently intended to reflect the commitment of a futures business to servicing its customers and to be an entry barrier to financially inadequate firms.

10.14 Arguments in favour of doing away with the minimum capital requirement include:

(a) The objective of establishing a resource commitment and an entry barrier [para. 10.13 above] may be achieved by way of the floor requirement in the ANAA computation. Should the ANAA requirement not be considered to provide a sufficient buffer, it ought to be increased accordingly; there is no need to burden the regulatory framework with yet another requirement to achieve the buffer.

(b) We noted that as at February 1991, there were a number of HKFE members with paid up share capital in excess of $10M (compared to the prescribed minimum of $5M) but their ANAA levels were barely above the $2.5M ANAA base. One dealer with $15M paid up share capital actually failed the ANAA test because of high intercompany receivables which are excluded from the ANAA computation. Such observations demonstrate that

(i) paid up share capital may be eaten up by losses or locked up in illiquid assets;

(ii) the paid up share capital requirement in no way guarantees the continuous availability of financial resources; and

(iii) it does not have an intrinsic value which is not already provided by the ANAA test.

(c) The real test of financial viability is when a dealer is called upon to meet its claims. Futures dealers, like their securities counterparts, should have sufficient liquid resources to exceed all liabilities on a "going concern" basis. The minimum share capital requirement serves little purpose in meeting this objective.

(d) To drop the requirement may add flexibility: for example, a group may then decide to carry the illiquid assets, currently locked in the business, in an unregulated group company where capital may be better utilised to generate higher returns. Such a rearrangement will not jeopardise the liquidity of the regulated business and should be made easier to carry out.

(e) For the Commission's purposes, it is desirable to streamline HKFE's rules to facilitate application to non-HKFE members which may, in the general case, not be subject to capital adequacy requirements.

10.15 On the other hand, there are the following arguments in favour of retaining the minimum share capital requirement:

(a) The elimination of the minimum share capital requirement may lead to members financing their business primarily with subordinated loans. However, this can be avoided by applying the criteria used for securities dealers, i.e. limit subordinated loans to some % of capital and reserves.

(b) Except in a group situation, the elimination of the minimum share capital requirement may be of little real benefit to members. Take a dealing corporation with individual clearing rights. In addition to ANAA, it must finance illiquid assets of at least $2M (including the deposit with HKCC of $1.5M and a share in the HKFE with market value of, say, $0.5M) excluding office furniture and fittings. The source of financing would normally come from paid up share capital; this means that the dealer must have capital well above the ANAA requirement with or without the minimum capital requirement. However, this is a negative argument and does not really reinforce the case for retaining the minimum share capital requirement.

(c) US and Singapore both have minimum share capital requirements for their clearing members and ANAA-based requirements for trading members. Once again, this is not an argument for having minimum share capital requirements for every dealer. For example, the UK only relies on the ANAA-based requirement to regulate its futures dealers (in the main, on the same basis as it regulates securities dealers).

10.16 On balance, we conclude that a minimum share capital requirement is not an essential element of FRR for futures dealers. Therefore, **it is proposed** to not include a minimum share capital requirement in the Commission's rules, provided that suitable restrictions are introduced to regulate subordinated loans [para. 10.57], that an adequate liquid capital requirement is in place and that margin requirements and position limits are effective. However, this will not prevent HKFE from continuing to impose minimum share capital requirements on its own members if it decides them necessary in the interests of financial prudence.

C. LIQUID CAPITAL REQUIREMENT (THE ANAA TEST)

10.17 The ANAA computation can be analysed into four independent components:

(a) 50% of the minimum share capital requirement;

(b) 4% of segregated client funds;

(c) admissible assets; and

(d) ranking liabilities.

Note: The liquid capital requirement is the greater of (a) and (b); "admissible assets" and "ranking liabilities" are those assets and liabilities respectively which are recognised in the ANAA computation.

The 50% minimum share capital requirement - the existing rules

10.18 Based on their trading rights, exchange members are classified as Floor Traders, Floor Brokers, Merchant Traders and Futures Commission Merchants ("FCM"). The business of the four categories of HKFE's members [para. 312 of the HKFE Rules] is:

(a) A Floor Trader is entitled to trade on **his own account** only.

(b) A Floor Broker is entitled to trade on **his own account** only but may act as floor agent for completing transactions of other members but not to clear their positions.

(c) A Merchant Trader is entitled to trade on **his own account** only and is a merchant in a deliverable commodity traded on the HKFE. A Merchant Trader must be a limited company.

(d) A FCM is entitled to trade on his own account and **for clients**, and may act as floor agent for completing transactions of other members. A FCM must also be a limited company.

10.19 Moreover, these members are further differentiated for clearing purposes by the HKCC into General Clearing Members ("GCM"), Individual Clearing Members ("ICM") and Non-Clearing Members ("NCM"). The functions of these members are summarised as:

(a) GCM is entitled to clear his trades and those of his clients; he will also clear trades on behalf of NCMs.

(b) ICM is entitled to clear his trades and those of his clients.

(c) NCM cannot clear any trades of his own or of his clients and must enter into an agreement with a GCM relating to the clearing of his trades.

10.20 A matrix of the floor requirements (i.e. 50% of the existing minimum share capital requirement) is set out as follows:

HKFE Membership Category	**HKFE Membership Category**		
	GCM HK$	ICM HK$	NCM HK$
Floor Trader	-	1.00M	0.25M
Floor Broker	-	1.25M	0.25M
Merchant Trader	-	2.50M	1.25M
FCM	12.5M	2.50M	1.25M

10.21 The importance of this floor requirement cannot be overemphasised especially when the market is relatively quiet. Few dealers are likely to trigger the requirement based on 4% of segregated client funds during periods of low daily turnover, viz. NCM/FCMs would have to carry segregated funds in excess of HK$31.25M, ICMs in excess of $62.5M and GCMs in excess of $312.5M to do so.

10.22 Some market participants have criticised the current floor requirement as being excessive for the following reasons:

(a) it was designed to cover an isolated situation namely the extreme conditions prevalent during the October 1987 crash;

(b) it does not take into account the subsequent improvement in controls (paras. 10.60 to 10.68 on non-financial controls);

(c) no HKFE members have, since the 1987 crisis, had their registration revoked due to insolvency, and none have had financial problems over the market instability in June 1989; and

(d) lower floor ANAA requirements may suffice to cover the risks associated with lower, more realistically set, position limits. To illustrate, the 1987 monthly average excluding November and December months was 350,000 contracts; the current monthly average (say, 22 x 2,000 contracts per day) is 44,000.

A simplified structure

10.23 To put the membership categories in their correct perspective, the matrix by members for the active traders (defined as having positive segregated client funds) as at February 1991 is as follows:

HKFE Membership Category	HKFE Membership Category		
	GCM	ICM	NCM
Floor Trader	-	-	1
Floor Broker	-	1	7
Merchant Trader	-	-	-
FCM	4	38	28

It is evident that some of the floor requirements are of little relevance in the Hong Kong market as some of the classes defined and provided for do not have any active participants.

10.24 The existing membership categories are rather detailed, and to simplify matters ***as far as the Commission's rules are concerned***, we **propose** the following categories:

(a) NCM who trades as principal only;

(b) CM who trades as principal only;

(c) NCM who can deal for clients and

(d) CM who can deal for clients and clear for his own and his client accounts;

(e) CM who can deal for clients and clear for all persons including NCMs; and

(f) introducing broker.

NCM who trades as principal only

10.25 This category of futures dealers comprises the existing NCM/Floor Traders, NCM/Floor Brokers and the NCM/Merchant Traders. They are not permitted to deal for clients and thus will not be in a position to handle client money. A NCM can only clear his trades through a GCM. HKCC monitors these trades by imposing position limits on the GCMs, the limits being linked to the level of ANAA of the GCMs. The GCMs are responsible for the satisfactory completion of trades they clear for the NCMs.

10.26 It is undesirable to delegate the monitoring of one class of market professionals, namely the NCM in para. 10.25, entirely to another, i.e. the GCM; any NCM bad debts incurred by the GCMs will inevitably weaken the position of the GCMs concerned and potentially impact on central clearing. We therefore consider it appropriate to set a minimum floor requirement as a safety net to regulate this category of NCMs. As they do not handle client funds, their liquid capital requirement will be the floor requirement. It is also felt appropriate for our purposes to amalgamate the three HKFE categories on the basis that the exact nature of their business operations does not materially alter their underlying risk. Under the present regime, the minimum ANAA requirement ranges from $0.25M for Floor Trader and Broker to $1.25M for Merchant Trader. For uniformity of application non-HKFE members, it is **proposed** to adopt $0.25M as the liquid capital requirement.

10.27 It is considered reasonable to reduce the Merchant Trader's requirement in line with the others. This is based on the fact that Merchant Traders are hedgers by definition and thus carry relatively low market risk. They service those engaged in the production, distribution, processing or storing of actual commodities and which need the futures market to protect the value of their commodities or to control production cost against unfavourable price movements. In the UK, futures contracts are excluded from regulation if they are made for commercial and not investment purposes. Whilst the Commission does not intend to follow the UK approach, we are of the opinion that the $1.25M requirement may be reduced to $0.25M without compromising regulatory integrity. The issues are somewhat academic anyway as at present there are no Merchant Traders registered with the HKFE.

10.28 However, the above proposition may be invalidated if the HKFE introduces market makers. Though they are by definition NCMs trading as principals, they play a completely different role from Floor Traders, Floor Brokers or Merchant Traders. Their position will be examined when the proposals for their introduction are more advanced.

CM who trades as principal only

10.29 This category comprises the ICM/Floor Trader, ICM/Floor Broker and ICM/Merchant Trader. For our purposes, they are amalgamated into one category on the basis that they essentially pose similar risk to the market, i.e. they are responsible for clearing their own trades which are subject to position limits. No compatible category is identified from overseas regulatory systems, thus giving no guidance as to what is likely to constitute a reasonable floor requirement.

10.30 **It is proposed** to standardise the requirements and adopt the lowest minimum of $1M as the floor. The relaxation of the requirement for a Merchant Trader has already been justified in para. 10.27 above. For ICMs, we have the added assurance that they are governed by HKCC's position limits. Should the HKCC have any doubt as to a Member's financial viability, it could increase its capital requirements, lower the position limits or require placing of additional cash buffer deposits for extra comfort.

NCM who can deal for clients

10.31 This category is the equivalent to the HKFE's NCM/FCM. These dealers are able to handle client money though they do not pose a significant risk to the market. The current requirement stands at $1.25M and we are not aware of circumstances requiring any adjustment thereto. This level is compared with overseas requirements.

(a) **US**: a NCM is required to maintain minimum Adjusted Net Capital ("ANC", not dissimilar in nature from ANAA) of US$20,000 or US$40,000 (about HK$160,000 or HK$320,000) if not itself a member of a self-regulatory organisation.

(b) **Singapore**: minimum paid up capital required is S$1M (about HK$4M).

(c) **UK**: minimum liquid capital ("MLC", again similar to ANAA) is STP5,000 (about HK$75,000).

10.32 The overseas requirements fall within a relatively large range, and do not provide any guidance as to whether the $1.25M is either too high or too low. **It is proposed** to retain the current figure of $1.25M as the floor requirement given that there is added protection in respect of the NCM's dealings as these are carried out through a CM who is separately supervised.

ICMs and GCMs

10.33 There are arguments both for and against merging **ICMs** and **GCMs** for the purposes of FRR.

For:

(a) The regulatory framework is made simpler.

(b) The only difference between ICMs and GCMs is the latter's ability to clear NCMs' trades. NCMs may be regarded as being no different from clients of a ICM, except that NCMs can carry omnibus accounts, thus making it more difficult for the GCMs to monitor the NCMs.

(c) From the 1990 IOSCO survey of futures dealers, other well-regulated markets do not appear to have this distinction between ICMs and GCMs.

10.34 **Against:**

(a) The ICM/GCM categories add flexibility to the membership structure. Trading members are given the option of whether they want to clear trades for other members or not. If they do not want to clear trades for NCMs, they are perceived to be less risky and to warrant lower ANAA requirements.

(b) The arrangement of having the GCMs clearing for the NCMs could reduce both the exposure and the workload of the HKCC. By delegating down to the GCMs the responsibility of clearing for the NCMs, the HKCC can reduce the scope of its regulation and improve efficiency without compromising regulatory prudence.

10.35 On balance, **it is proposed** to retain the two separate categories.

ICMs (i.e. who can deal for clients, clear own trades and those of clients)

10.36 Under the present regime, FCM/ICMs (which constitute the majority of existing HKFE members) are required to maintain minimum ANAA of $2.5M.

10.37 As in the case of NCMs, reference to overseas jurisdictions does not provide guidance as to the adequacy of the existing floor requirement.

(a) **US**: a CM must have an initial capital of US$1M (about HK$7.8M), and thereafter a minimum of US$750,000 (about HK$5.85M). A FCM must have in excess of US$50,000 or US$100,000 (about HK$390,000 or HK$780,000) depending on whether it is a member of a self-regulatory organisation or not.

(b) **UK**: a CM must have of STP250,000 (about HK$3.75M).

(c) **Singapore**: minimum paid up capital for a CM is S$2M (about HK$8M), minimum ANC of S$4M (about HK$16M).

10.38 We considered setting the floor liquid capital requirement at $3M which would be equivalent to the requirement for corporate securities dealers. This was rejected in favour of the existing $2.5M on the basis that no circumstances have arisen which cast doubts as to its overall adequacy. **It is therefore proposed** to set a liquid capital requirement equal to the HKFE's floor requirement of $2.5M.

GCMs (i.e. who can deal for clients and clear for all persons including NCMs)

10.39 As already mentioned in subpara. 10.33(c) above, other jurisdictions do not have this class of FCM/GCMs and therefore the existing $12.5M requirement of the HKFE cannot be compared with capital standards in other countries. **It is proposed** to set a liquid capital requirement equal to the current $12.5M as we do not have any evidence to suggest that it is either too high or too low.

Distinction between individual and corporate members

10.40 Unlike SEHK members, the vast majority (all except 2) of HKFE members are corporations. Also, all registered futures dealers who are not members of HKFE are corporations. In view of the above, **it is proposed** to not prescribe special liquid capital requirements for sole proprietors as this will unnecessarily complicate the overall framework without providing any added benefits.

Segregated client funds requirement - basis

10.41 The liquid capital requirement is the greater of 50% of the minimum share capital requirement and 4% of segregated client funds. In this context, "segregated client funds" is a proxy to reflect "volume of business" in the same way as liabilities are a proxy for "volume of business" in the proposals for securities dealers.

10.42 The advantages of basing the ANAA requirement on segregated client funds may be summarised as follows:

(a) It is related to the size of client open positions at any time. In this sense, it is risk-related and is a proper quantification of exposures arising from futures dealing.

(b) Using segregated client funds in the computation provides a direct link with our objective of investor protection.

(c) This was adapted from the rules of the Commodity Futures Trading Commission ("CFTC"). The Securities and Investment Board, UK (SIB) also has a similar "volume of business" requirement based on customers' initial margin requirements.

10.43 The measure is applied to segregated client funds and appears to ignore the dealers' margins on his house positions. However, the validity of this treatment is established when it is noted that margins on house positions are deducted in computing ANAA in order to cater for the underlying position risk. The 4% calculation is outside the calculation of ANAA and gives proper weighting to the actual level of client funds carried.

10.44 Possible criteria for measuring risks associated with business volumes are, in addition to segregated client funds, liabilities, turnover, expenses and maintenance margin. These have been considered in making a choice of parameter.

(a) **Liabilities:** liabilities may be simpler to compute and thus be the preferred parameter for non-HKFE members who may not be required to compute segregated client funds on a daily basis. Another point is that segregated client funds only form part of the aggregate liabilities. A futures dealer may carry bank overdrafts and intercompany loans which add to figures far in excess of the segregated client funds. However, no major futures regulators overseas lay down requirements based on total liabilities.

(b) **Expenditure:** The SRC Report recommended an expenses-related capital adequacy requirement [Appendix 1, Part B Note 1]. Of the more well-known overseas regulators, the SIB has incorporated such a requirement in its capital adequacy requirement, together with a floor and a "volume of business requirement". This basis was examined in para. 5.5 under securities dealers. The arguments for rejection remain valid in the case of futures dealers as well.

(c) **Turnover:** Turnover is not considered suitable because by nature it is difficult, if not impossible, to quantify. Once again this basis was considered in reviewing capital adequacy requirements for securities dealers and rejected; the issues are similar for futures dealers as well.

(d) **Maintenance margin:** This was suggested by the SRC as a possible replacement of the 4% segregated client funds requirement [Appendix 1, Part B Note 1]. Some overseas markets have proposed to base the requirement on a measure of risk, e.g. the relevant maintenance margin requirement or the historical volatility of the contract.

This has been rejected by the Commission on the grounds that such maintenance margins include margins on a dealer's house positions, risk of which has already been adjusted by not recognising them as assets in the ANAA computation.

10.45 In view of the above, **it is proposed** to continue to use segregated client funds as the proxy for "volume of business" in determining the ANAA required of a futures dealer.

10.46 This should not unduly burden non-HKFE members who deal for clients on the basis that they are expected, as a matter of their routine procedures, to closely monitor segregated client funds and generate the necessary accounting data. The basis having been chosen, the setting of the percentage (4%) is discussed below.

Segregated client funds requirement - percentage

10.47 The SRC Report recommended a review on the 4% requirement (Appendix 1, Part B Note 1). 4% is based on a CFTC Rule introduced in the late 70's and has been criticised for not being based on a true assessment of risk: it will be too low if the client has not actually paid sufficient margin and too high if idle funds are kept in a client account.

10.48 In response to the SRC's criticism, it can be said that most clients are unlikely to have margin shortfalls as dealers are required by HKFE rules to collect initial and maintenance margins from clients. Dealers are prohibited from extending credit to circumvent or evade this requirement and are required to monitor margin calls and notify the HKFE of clients failing to meet the calls. At the same time, it is unlikely that clients who are sophisticated enough to use the futures market will leave significant excess funds with the dealer for any length of time.

10.49 Compared with overseas jurisdictions, no pattern has emerged from the following observations to justify a change to the existing 4%.

(a) **US**: 4%;

(b) **Singapore**: 12.5% depending on circumstances; and

(c) **UK**: 3% of client initial margin requirements (which must be smaller than segregated client funds).

10.50 In all, there are no indications to suggest that 4% is either too low or too high. **It is proposed** to retain 4% as an appropriate percentage of segregated client funds. This, together with the floor requirements [paras. 10.26, 10.30, 10.32, 10.38 and 10.39], shall form the basis of the proposed FRR for futures dealers.

Assets

10.51 The ANAA recognises current assets (net of bad debt provision) which can be realised into cash within the next 12 months, deducting

(a) margin required by clearing house or execution agent in respect of open house positions in futures or options;

(b) unsecured client receivables which have been outstanding for 3 business days or more;

(c) all other unsecured receivables, except

(i) broker receivables relating to interest, brokerage or Commissions arising from futures and options transactions, which have not been outstanding for more than 1 month,

(ii) receivables from HKCC, and

(iii) amounts placed with an overseas clearing house or an execution agent and any profit due;

(d) prepaid expenses;

(e) shares, securities or spot futures which are not in the opinion of the HKFE readily marketable;

(f) equity interest and membership cost in any exchange or clearing house;

(g) deposits lodged under any compensation fund or scheme; and

(h) any assets used to secure a third party's liabilities where such liabilities are not reflected in the books of the HKFE member.

10.52 Although we accept most items included in the above list as being reasonable, we **propose** that item (c)(iii) above should be amended to read "amounts receivable from a recognised overseas clearing house (to be defined) or an execution agent and any profit due". We also **propose** that premiums paid for options should also be deducted for a consistent approach.

10.53 In addition, haircut deductions should be applied to the market value of house securities positions and collateral held. It is conceptually sound and consistent with securities regulation to apply haircuts in recognition of the underlying market risk. This approach is also applied in the US and the UK to futures dealers. The impact of the proposed treatment will not be material as few HKFE members carry house securities positions of any size, as they are not allowed to accept client securities as collateral. **It is therefore proposed** to apply the simpler structure of haircuts proposed for securities dealers (for summary, para. 6.47) to house securities positions and collateral.

10.54 In order to provide level playing fields for futures dealers, **it is proposed** to modify the hedging allowances designed for securities dealers for incorporation here [paras. 6.38 to 6.43]. The emphasis is placed on hedging by options; hedging by debt instruments or warrants is considered to be largely irrelevant. The Commission has considered making allowances for dealers maintaining a position in HSI futures whilst at the same time maintaining an opposite position in the newly introduced Hang Seng sub-indices futures but has not formulated any specific proposals in this regard. Market representations received during the consultation period will be considered in determining whether any amending rules are necessary.

10.55 As far as the house positions in options are concerned, **it is proposed** to exclude any premiums paid in respect of long options and margins paid in respect of short ones. This is considered to be in line with the existing HKFE's approach whereby all margins are specifically excluded from ANAA. At present, no options are being traded on the local exchange; where necessary, the Commission shall reconsider the situation when options assume greater importance.

Liabilities

10.56 The ANAA computation recognises all liabilities unless they are subordinated loans which have been approved by the HKFE. This is consistent with the approach adopted for securities dealers and with the practice of most overseas regulators. The Commission plans to incorporate some adjustments which are detailed in paras. 10.57 and 10.58.

Subordinated loans

10.57 In view of our proposal not to incorporate the minimum share capital requirements into our overall framework, dealers may potentially abuse the change in rules by relying to an excessive degree on subordinated loans. Currently, subordinated loans of HKFE members must be duly approved by the HKFE. Their use is limited usually to resolving short term liquidity problems. They are not subject to the same restrictions as those imposed by the Commission on securities dealers. **It is proposed** that subordinated loans for futures dealers be permitted on the same basis as for securities dealers. The current yardstick used is that subordinated loans should not exceed a prescribed % of paid up capital and reserves.

Other liabilities

10.58 Besides liabilities which are on balance sheet, **it is proposed** for futures dealers to recognise the risk on short positions by marking them to market adding the reverse haircut as a liability [para. 6.27]. **It is also proposed** to make the following adjustments to liabilities on the same basis as securities dealers. However, in situations where the estimated adjustment constitutes less than 10% of the dealer's ANAA and deduction of which will not result in the dealer's ANAA falling below 150% of the liquid capital requirement, the dealer is only required to make the adjustment at the month-end. This is based on past experience that the buffer provided by the dealer's ANAA is sufficient to cover such an amount.

(a) contingent liabilities provided in accordance with generally accepted accounting principles;

(b) 10% of the full value of any guarantee as a buffer [para. 8.24];

(c) foreign currency risk adjustment (5% of net currency exposure) as required of securities dealers [para. 8.29].

D. DEBT-EQUITY RATIO

10.59 At present, the HKFE has a requirement that long term liabilities must not exceed twice the equity. We have the following observations to make in the context of establishing FRR.

(a) Few HKFE members carry long term liabilities other than subordinated loans. If they are approved, subordinated loans are not included in the calculation of the long-term liabilities, so the requirement is unlikely to be breached. In practice, little significance has therefore been attached to this ratio by the regulator or market professionals.

(b) The ANAA calculation itself acts as a control on long-term liabilities as it makes full deduction of all liabilities, long as well as short term.

In view of the above, we conclude that the gearing ratio is not an essential element of FRR for futures dealers. Therefore, **it is proposed** to not include this ratio in the Commission's rules. However, this will not prevent the HKFE from continuing to impose such a ratio on its own members if it deems this necessary in the interests of financial prudence.

E. MARGINS, POSITION LIMITS AND RESERVE FUND

10.60 To put the HKFE rules in the correct perspective, they should be seen as forming a part, but not the entirety, of the financial regulation of futures dealers.

10.61 During the October 1987 market crash, some dealers (and their clients) were found to be holding substantial positions and therefore to have exposures which were not backed up by a strong enough capital base. The situation was made worse by the system of accounting for margin requirements on a net instead of a gross basis - dealers showing small net Hang Seng Index (HSI) positions might be holding substantial gross positions. Dealers were accountable to the clients making the gain whilst they could not collect their debts from some of the clients incurring the loss.

10.62 Besides an increase in minimum share capital requirements, the HKFE either instituted or considerably tightened other controls to avoid the pitfalls of October, 1987. They include:

(a) the setting of margin requirements;

(b) accounting for margin requirements on a gross basis (for selective markets);

(c) contributions to the HKCC reserve fund; and

(d) the setting of position limits.

10.63 The HKCC is currently responsible for setting the **margin deposits** required of CMs. Reference is made here to margin deposits required in respect of the HSI contract which remains the most actively traded instrument on the HKFE market. These deposit levels (currently set at $10,000) are reviewed monthly based on day-to-day changes in closing prices for the past 60-day period. The confidence level is set at 68.3% which means that the deposits should be sufficient to cover daily market fluctuations in most circumstances. They cannot sustain a crash of the 1987 scale. It is not unreasonable that they are not geared to do so as the 1987 Crash was an isolated occurrence: to set a margin sufficient to cover the 1987 swings would be unduly harsh. In addition, the Exchange now requires members to obtain a higher margin deposit ($15,000) from their clients as an extra cushion. The confidence level is thus increased to 99.7%. Furthermore, should the market be seen to experience turbulent movements during the day, the HKCC would demand payment for intra-day margins as part of its risk control procedures.

10.64 **Gross accounting** for margin requirements has been adopted for HSI, HIBOR (Hong Kong Inter-Bank Offer Rate) contracts and gold. This requirement reinforces HKFE Rule 623 forbidding its members from applying monies standing to the credit of a client for the benefit of their own trading accounts or those of their other clients.

10.65 Margin requirements, though not forming part of the FRR, perform a major function in the financial regulation of futures dealers. Margin requirements and capital rules should be seen as working hand in hand - high margin requirements can justify lower liquid capital requirements whilst low margin requirements require the support of more stringent requirements. The Commission is of the opinion that the margin requirements and controls set by the HKFE/HKCC are adequate and can be relied upon as a primary control to ensure market stability.

10.66 The HKCC has set up a **reserve fund** to which all CMs must contribute. This is to assist the HKCC in meeting its obligations to settle as principal with its members under each registered contract and in safeguarding the system against potential member default. GCMs [subpara. 10.19(a)] are currently required to pay $7.5M and ICMs [subpara. 10.19(b)] $1.5M. In addition, the HKCC arranges insurance policies and bank guarantees to provide additional resources for the fund. CMs are required to replenish the fund when so required.

10.67 **Position limits** are set by HKCC for its CMs in respect of all instruments traded on the HKFE. A new basis and methodology was introduced in August 1991 replacing position limits based on number of lots by a limit based on the gross and net exposure to the reserve fund. Gross exposure is defined as the gross clearing house margin liability incurred by the member and is equal to the aggregate of the number of gross open positions for all markets (to cater for multi-product exposures) in both house and client accounts times the respective clearing house margin rate. Net exposure is defined as the net clearing house margin liability where offsetting is allowed for positions in HSI futures versus opposite positions in HSI sub-index futures within the same account (to recognise the benefit of hedging). Limits of gross exposure and net exposure have been set equal to 4 times and 2 times the member's latest ANAA respectively. Where members wish to extend their limits temporarily, they can do so by lodging additional cover with HKCC in a buffer account. Such funds do not constitute an asset in the ANAA computation.

10.68 In addition to the above controls, there is the **early warning** system under Rule 506 which reinforces the basic HKFE FRR. Dealers are required to report if ANAA level falls below 150% of the liquid capital requirement or falls 20% lower than the previous level notified to the Exchange. This is designed to alert the Exchange of any potential problems so that it may initiate remedial action in good time.

F. APPLICATION TO NON-HKFE MEMBERS

10.69 It is proposed to apply the framework discussed in the foregoing paragraphs to HKFE members and non-HKFE members. Two issues arise for non-HKFE members. These relate to the concepts of introducing broker and lead regulation. Overseas futures subsidiaries can only operate as introducing brokers because they do not have a presence on any exchange. Where they do not handle client funds in the process, the risk to investors is limited to disruption costs only and therefore they will be classified as introducing brokers subject to a lower liquid capital requirement. Overseas futures subsidiaries who wish to be classified as introducing brokers must demonstrate that they do nothing more than introduce clients to brokers and that this does not involve handling client funds. Those who handle client funds will, however, be classified as NCMs with a higher liquid capital requirement.

10.70 The issue of lead regulation also has to be addressed. While HKFE members are not permitted to conduct non-futures related business, non-HKFE members may do so. Some are registered securities dealers, investment advisers, or DTCs regulated by the Commissioner of Banking. Non-HKFE members who are banks or DTCs supervised by the Commissioner of Banking will not be subject to additional financial regulation. This is consistent with the lead regulatory approach proposed for securities dealers who are authorised institutions.

G. LIQUID CAPITAL REQUIREMENT FOR INTRODUCING BROKERS

10.71 The objective of identifying introducing brokers as a separate category is to make due allowances for their low risk and yet at the same time to gain reasonable regulatory assurance that they have the resources to remain going concerns. Introducing brokers will not be subject to the 4% segregated client funds requirement as they do not carry such funds. **It is proposed** to set the ANAA requirement at $0.5M which will be compatible with the requirement proposed for introducing brokers operating in the securities field.

H. EARLY WARNING SYSTEM

10.72 **It is proposed** that the same early warning system as described in para. 10.68 be applied to non-HKFE members. This ensures consistency of treatment. The earlier threshold for the futures early warning system compared with that for securities dealers [para. 8.44] is justified on the grounds of its usefulness as found in practice by the HKFE and the greater risks normally associated with futures brokers.

I. PROPOSED FRR

10.73 In developing our proposals, we have had regard to the fact that the HKFE should be able to develop or maintain rules for its members which may be more stringent than the rules proposed by the Commission for futures dealers in general. In summary, the **Commission proposes** that all dealers must at least maintain the following floor requirements for ANAA:

(a) NCM who trades as principal only - $0.25M;

(b) CM who trades as principal only - $1M;

(c) NCM who can deal for clients - $1.25M;

(d) CM who can deal for clients, clear own trades and those of clients - $2.5M;

(e) CM who can deal for clients and clear for all persons including NCMs - $12.5M; and

(f) introducing broker - $0.5M.

In addition, categories (c), (d) and (e) must maintain ANAA which is at least equal to the greater of the floor requirements as stated above and 4% of segregated client funds.

10.74. In summary, the above requirements differ from the existing HKFE FRR in respect of the following:

(a) no minimum paid up share capital requirement;

(b) no debt-equity ratio requirement;

(c) dealer classification categories have been simplified and the liquid capital requirement standardised;

(d) recognition of introducing brokers as a separate class for FRR but not for licensing purposes; and

(e) minor differences as to the items which qualify as assets and constitute liabilities (Appendix 8).

10.75 In addition an early warning system is proposed in line with existing HKFE requirements [para. 10.72].

J. TESTING ON NON-HKFE MEMBERS

10.76 A modified version of the above framework was tested on 15 dealers registered as at 31 August 1991 and who are not members of the HKFE. Only 6 of the 15 were tested in detail on the basis that the others are either authorised institutions regulated by the Commissioner of Banking, dormant, inactive or carry out unrelated business.

10.77 Of the 6 dealers referred to in para. 10.76, 2 are actively involved in commodities and/or futures dealings whilst the remaining 4 operate in the capacity of introducing brokers. The 2 broker-dealers have substantial balance sheets. They should comfortably meet the proposed ANAA requirement irrespective of how they are categorised. It is not clear whether the 4 introducing brokers would handle client funds in the course of their business, but, assuming they do and that $1.25M is applied as the floor requirement for testing purposes, then 3 out of the 4 would comply with the proposed requirements. In the one case where the dealer could not comply with the requirements, there is a material deficiency and its financial position could not be considered satisfactory by any standards. The strong parental support which it enjoys should make it possible for it to obtain additional capital in the form of shares or subordinated loans.

10.78 In all, it is envisaged that non-HKFE members will not have any major difficulty in complying with the proposed requirements.

CHAPTER 11

SECURITIES ADVISERS AND FUTURES TRADING ADVISERS

Introduction

11.1 At present, the SO and the CTO impose no capital adequacy requirements on advisers, nor are advisers subject to financial regulations such as the keeping of proper accounting records and filing of annual audited accounts.

11.2 An investment adviser is defined in s2, SO as any person who -

(a) for remuneration carries on a business of advising other persons concerning securities;

(b) for remuneration as part of a regular business issues analyses or reports concerning securities; or

(c) for remuneration pursuant to a contract or arrangement with a client, undertakes on behalf of the client the management of a portfolio of securities, including the arranging of purchases, sales, or exchanges of securities through a dealer or exempt dealer.

11.3 The definition in s2, SO excludes the following persons:

(a) a licensed bank;

(b) a solicitor or professional accountant who offers investment advice wholly incidental to the practice of his profession;

(c) the proprietor or publisher of, or contributor to a bona fide newspaper, magazine or other periodical publication generally available to the public, otherwise than on subscription (unless the principal object of this publication is to advise others on securities);

(d) a dealer or exempt dealer who offers investment advice incidental to his business of dealing in securities;

(e) a trustee company registered under the Trustee Ordinance; and

(f) an exempt investment adviser.

S27, CTO excludes from futures trading advisers persons described in subparas. (c) and (d) above.

The licensing review

11.4 In November 1990 the Commission issued a consultative document, "Review of the Licensing Regime," which contained proposals relating to advisers. This Chapter provides a general overview of the current regulatory provisions as they affect these persons and considers the impact of the Licensing Proposals. Many persons currently registered as advisers are engaged in the management, distribution, administration and promotion of unit trusts and mutual funds, hereafter referred to as collective investment schemes ("CIS"). These persons are dealt with in detail in Chapter 12 as a separate group.

11.5 The Commission has suggested in the Licensing Proposals that any adviser who handles client **assets** (including money and other assets such as securities which are readily negotiable) shall be reclassified as a dealer notwithstanding that he does not perform any dealing functions. He would then be subject to the appropriate FRR and other rules drawn up for dealers. The thinking underlying this treatment is that the "handling" of client assets involves those types of risks which FRR are normally designed to cover. "Handling of client assets" is to mean custody, control and/or the ability to physically handle them (whether or not these include money at any time).

11.6 What constitutes handling client **money** needs to be separately considered. For example, take two cases of handling of client money. In the first case, cheques received by the adviser are made directly payable to third parties such as CIS Managers and Trustees of Unit Trusts; they in turn are promptly passed on to the relevant third parties. The adviser is primarily acting as a post box for the transmission of funds. In the second case, the adviser is able to deal freely with customer's cash either through his own bank account or otherwise, for custodial purposes or as a dealing agent; he may also be able to deal with other assets such as by way of transfer, disposal, pledge and so on. The post box type function as illustrated in the first case will not constitute handling of client funds for licensing purposes; that in the second case would fall within the "handling" definition and require the participant to fall within the dealer definition.

Proposed FRR for advisers

11.7 Advisers who arrange their affairs so as not to handle client and third party's assets will not get into a position where they have to account to such parties nor are they going to be the target of claims except possibly for execution errors and bad or negligent advice. A survey of the financial regulation of advisers in overseas jurisdictions was carried out and has revealed that there is considerable diversity in the approaches adopted.

11.8 Having considered the issues, we believe that in relation to the financial regulation of advisers (who do not handle client funds) the primary objective should be to ensure that they remain solvent and that their services will not be disrupted by a business discontinuation. A simple solvency requirement would achieve this objective. Since it is desirable to minimise the compliance work for advisers, it should not involve complex elements such as haircuts for investments, ageing of receivables, and rules for off-balance-sheet risks and contingencies as apply in the case of the financial resources rules for dealers.

11.9 **It is proposed** that solvency should be calculated on a net tangible assets basis which for this purpose means that total assets must exceed total liabilities, as shown in the annual audited balance sheet after adjusting for the following items:

(a) **Deductions**

(i) Intangible assets (e.g. business goodwill).
(ii) Any other adjustments specified by the Commission.

(b) **Additions**

Any other liabilities in the form of long term capital approved by the Commission (e.g. subordinated loan).

CHAPTER 12

COLLECTIVE INVESTMENT SCHEMES

12.1 Financial resources rules (FRR) for securities and commodities dealers were proposed in Chapters 9 and 10 respectively. Securities and commodity trading advisers were considered in Chapter 11 in general terms. The special circumstances of the managers of collective investment schemes (CIS), as well as those who are concerned with the advising, distribution and administrative functions in this area are considered in this chapter. The rationale for considering them separately is that they are a clearly defined category of professionals with common interests in an industry which has a separate identity and is subject to the Commission's overall supervision. The Commission supervises the industry as a whole through the Code on Unit Trusts and Mutual Funds ("the Code") and provisions of the SO. FRR will be recommended in this paper where appropriate for the businesses.

12.2 Broadly speaking, there are three categories of professionals involved in the CIS industry in Hong Kong:

(a) CIS managers;

(b) Hong Kong representatives; and

(c) Promoters/retailers.

CIS managers

12.3 CIS managers normally carry out administrative (including the creation and issue of new units) and investment management functions. If the CIS managers wish to carry out these functions in Hong Kong, they must be located here and are currently required to register with the Commission as dealers or exempt dealers (in respect of the administrative function) and advisers (in respect of the investment management function). There are however exceptions to this rule - in cases where the local CIS managers do not perform the distribution or administrative function, they are only required to register as investment advisers. For a collective investment arrangement to be authorised to be offered to the public in Hong Kong, the Code on Unit Trusts and Mutual Funds requires that the management company must have a minimum issued and paid up share capital and capital reserves of HK$1M or its equivalent in foreign currency; in addition it must maintain positive net assets at all times. CIS managers who have dealer status must adhere to the normal s65B requirements for dealers which in effect overrides the Code requirement.

12.4 Some CIS managers have exempt dealer status subject to certain conditions, viz. in addition to the minimum capital and capital reserves requirement of $1M as laid down by the Code, they are required to maintain a liquidity margin as defined in s65B of HK$100,000.

12.5 Currently, most CIS managers reside overseas and do not perform functions in Hong Kong which give rise to a dealer registration requirement. The s65B rules are therefore not applicable to them. There are 25 local CIS managers of which 4 are registered as securities dealers and 19 have exempt dealer status. The remaining 2 have appointed local dealers/ exempt dealers to carry out functions which involve dealing in securities.

Hong Kong representatives

12.6 If CIS managers are not incorporated and do not have a place of business in Hong Kong, they do not have to register with the Commission. However, if they want to carry out business in Hong Kong, they are required to appoint a Hong Kong representative. If the representative performs dealing activities, he must be registered as a dealer or have exempt dealer status. Dealing activities include the creation and issue of new units as well as distribution activities [defined in subparas. 9.3(a) to (d) of the Code] such as receiving applications and money for units.

Promoters/retailers

12.7 Besides the two categories as mentioned above, there are the promoters/retailers. They primarily provide investment advice on CIS products and arrange and effect transactions in such investments for customers. They may or may not handle client assets. At present, most are registered as investment advisers.

Proposals

12.8 These proposals are based on the concept set out in the Commission's Review of the Licensing Regime that persons who handle client assets (as defined in paras. 11.5 and 11.6) will be classified as dealers.

12.9 **CIS managers who do not handle client assets:** They will usually be registered as advisers. **It is proposed** that they will be subject to the solvency test [para. 11.9] and the minimum capital and capital reserves of HK$1M set under the Code. This is based on the fact that FRR are not the principal means to control risks arising from CIS management. Reliance can be placed on the fact that all CIS managers are run by reputable financial institutions and that the history of the CIS industry has so far been good in Hong Kong. In addition, their directors are carefully vetted by the Commission and constitutive documents of the scheme establish strict rules on the segregation of client funds.

12.10 Most of the authorized funds in Hong Kong have overseas CIS managers who are subject to capital rules laid down by their respective national regulators. Such capital requirements range between HK$1M and HK$10.4M, with most being well over HK$1M.

12.11 **CIS professionals, other than CIS managers, who do not handle client assets:** This group will be registered as advisers. **It is proposed** that they are subject to a solvency test proposed for advisers in Chapter 11 [para. 11.9].

12.12 **CIS professionals who handle client assets:** This category includes CIS managers, Hong Kong representatives and all others engaged in the industry who handle client assets as defined in para. 11.6. As they are dealers, **it is proposed** that they maintain the Required Liquid Capital (RLC) on the same basis as any other securities dealer. For CIS managers falling into this category, this requirement will, in effect, override the Code requirement.

12.13 As CIS professionals are unlikely to be carrying significant counterparty risk or position risk, most of the risk adjustments in the proforma liquid capital computation [Appendix 4] should not apply.

12.14 **CIS managers who handle client assets who are currently exempt dealers:** This category will be subject to a review by the Commission. For those who retain exempt dealer status, we **propose** to dispense with the current $100,000 liquidity margin requirement on the basis that no other exempt dealers are subject to an equivalent requirement.

12.15 To summarise, the proposals for CIS professionals are:

		FRR
(a)	CIS managers who are not dealers (i.e. not handle client assets)	Solvency test (under FRR para. 11.9) Capital and capital reserves test (under the Code)
(b)	Other CIS professionals who are not dealers (i.e. not handle client assets)	Solvency test (para. 11.9)
(c)	All CIS professionals who are dealers (i.e. who handle client assets)	RLC: corporation - the greater of $3M and 5% of total liabilities; and individual: the greater of $500,000 and 5% of total liabilities. Capital & capital reserves test and the positive net assets requirement (under the Code) would be automatically met by CIS managers in this category.